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INFINITY INTERNS

A unit of Infinitya1 Career Counselling Private Limited

INTERNSHIP REPORT

A REPORT ON FINANCIAL MANAGEMENT PRACTICES,
LEARNING AND PROFESSIONAL DEVELOPMENT

STUDENT DETAILS

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Session	:	2024 – 26
Course	:	Master of Business Administration (Management) – Financial Management (FM)
Internship Period	:	6th June 2025 to 21st July 2025 (seven weeks)

INTERNSHIP ORGANISATION

Company Name	:	Infinity Interns
Registered Name	:	Infinitya1 Career Counselling Private Limited
CIN	:	U85500BR2025PTC075319
Address	:	B-Hub, Maurya Lok Complex, Patna, Bihar – 800001
Department	:	Finance & Administration

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Submitted in partial fulfilment of the requirement for the award of the degree of Master of Business Administration

CERTIFICATE FROM THE ORGANISATION

This is to certify that Ms. Gunja Kumari, D/o Shri Raja Prasad, Roll No. 35, Registration No. 1053596/20, a student of Master of Business Administration (Management) – Financial Management (FM), Session 2024–26, has successfully undergone a Summer Internship Programme at Infinity Interns (Infinitya1 Career Counselling Private Limited), B-Hub, Maurya Lok Complex, Patna, Bihar, from 6th June 2025 to 21st July 2025.

During the course of the internship, the intern worked with the Finance and Administration department and was found to be sincere, hardworking, disciplined and eager to learn. She assisted the finance team with fee collection records, voucher preparation, petty cash and bank reconciliation, batch budgeting and monthly MIS compilation. Her conduct during the internship period was found to be satisfactory.

We wish her all success in her future academic and professional endeavours.

CERTIFICATION DETAILS

Reference: II/CERT/2025/047 — Place: Patna — Date: 21st July 2025 — Department of placement: Finance & Administration

Authorised Signatory

Infinity Interns

(Infinitya1 Career Counselling Private Limited)

Official seal / signature

STUDENT DECLARATION

I, Gunja Kumari, D/o Shri Raja Prasad, Roll No. 35, Registration No. 1053596/20, hereby declare that this internship report entitled "A Summer Internship Report on Financial Management Practices at Infinity Interns" is an original record of the work carried out by me during my internship at Infinity Interns (Infinitya1 Career Counselling Private Limited), B-Hub, Maurya Lok Complex, Patna, from 6th June 2025 to 21st July 2025, under the guidance of my faculty guide and the organisational mentor.

I further declare that this report, or any part thereof, has not been submitted by me or by any other person for the award of any other degree or diploma of this or any other university, and that all sources of information used in the preparation of this report have been duly acknowledged.

I also confirm that wherever the actual financial figures of the organisation were confidential, illustrative figures consistent in structure and proportion with what was observed have been used purely for academic analysis, and that every such instance has been clearly disclosed at the relevant place in this report.

Gunja Kumari

Roll No. 35 | Reg. No. 1053596/20
MBA (Financial Management), Session 2024–26

Place: Patna | Date: 21st July 2025

ACKNOWLEDGEMENT

The successful completion of this internship and the preparation of this report would not have been possible without the guidance, support and encouragement of several individuals, to whom I would like to express my sincere gratitude.

I am deeply thankful to the management of Infinity Interns (Infinitya1 Career Counselling Private Limited) for granting me the opportunity to undertake my internship with their esteemed organisation, and for extending complete cooperation throughout the internship period. I would especially like to thank my organisational mentor from the Finance and Administration department, whose patient guidance, willingness to explain concepts and processes in detail, and constructive feedback greatly enriched my learning experience.

I am equally grateful to the Director of the organisation for taking time out of a busy schedule to discuss the organisation's financial policies and decision-making processes with me, which added considerable depth and authenticity to this report.

I would like to place on record my sincere gratitude to my Faculty Guide and to the Director / Head of my Institute for their continuous academic guidance, valuable suggestions and encouragement throughout the internship and the preparation of this report.

I also wish to thank my family, particularly my father, Shri Raja Prasad, and other well-wishers for their constant support and motivation, without which this endeavour would not have been possible.

Finally, I extend my thanks to all the staff members of Infinity Interns who, despite their busy schedules, patiently answered my numerous questions and helped me feel welcome as a part of their team during this internship.

Gunja Kumari

EXECUTIVE SUMMARY

This report presents a detailed account of the summer internship undertaken by Gunja Kumari at Infinity Interns, a unit of Infinitya1 Career Counselling Private Limited, located at B-Hub, Maurya Lok Complex, Patna, over the period 6th June 2025 to 21st July 2025, as part of the Master of Business Administration programme with specialisation in Financial Management.

The report begins by introducing the objectives, scope, methodology and limitations of the study, followed by a comprehensive profile of the host organisation, including its business model, service portfolio, organisational structure and competitive position within the career counselling and skill-development industry. It then documents, on a week-wise basis, the specific tasks performed during the internship, ranging from fee-collection support and voucher preparation to assisting in budget formulation and MIS reporting.

The core analytical portion of the report examines the organisation's financial management practices, its approach to budgeting and cost control — including an illustrative batch budget, break-even analysis and sensitivity analysis — and a ratio analysis based on illustrative financial statements structured to reflect the proportions genuinely observed during the internship. The analysis indicates a financially sound organisation with comfortable liquidity, healthy profitability and a conservative, low-leverage capital structure, while also facing typical small-enterprise challenges such as revenue seasonality and continuing reliance on manual processes.

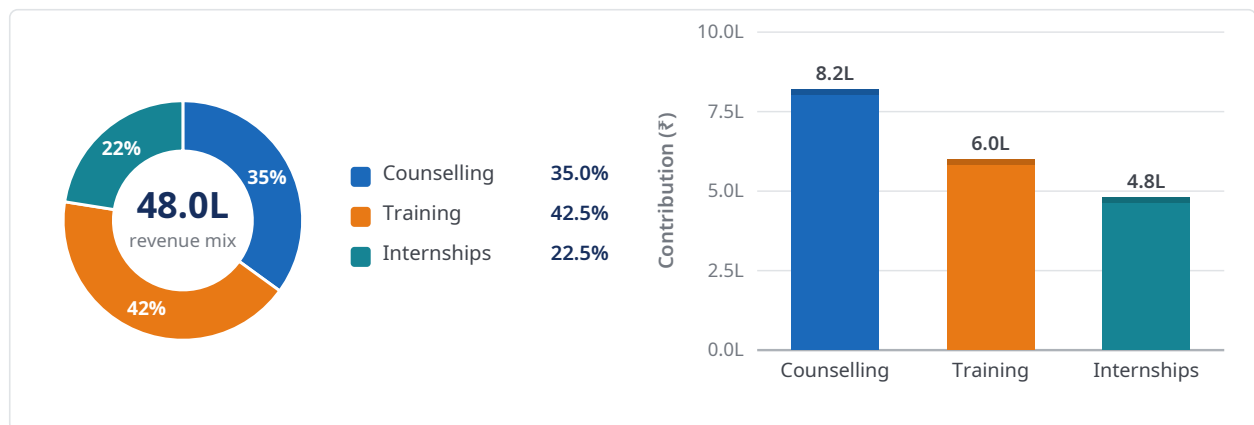
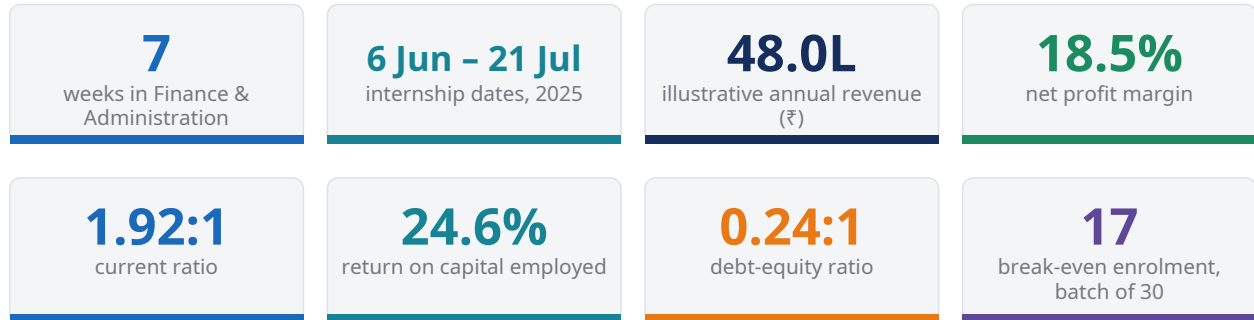
The report concludes with a reflection on the learning outcomes and challenges of the internship, a set of findings with constructive, prioritised suggestions for the organisation, and an overall conclusion affirming that the internship successfully achieved its objective of connecting classroom learning in financial management with practical, real-world organisational experience.

WHAT THIS EDITION ADDS

To make the analysis easier to read and to support the viva-voce examination, this edition of the report presents the same underlying work through a structured set of exhibits: charts for every quantitative statement and diagrams for every process, structure or framework described in the text. A complete list of these exhibits appears in the List of Figures and the List of Tables that follow the table of contents.

REPORT AT A GLANCE – KEY INDICATORS

The dashboard below summarises the internship engagement and the principal financial indicators of the host organisation for the year under review. All financial figures are illustrative, preserving the structure and proportions observed during the internship, and are explained in Chapter 6.



Dashboard 1: Revenue mix and contribution to overheads and profit by service vertical (illustrative figures for the year under review).

EXHIBIT COUNT IN THIS REPORT

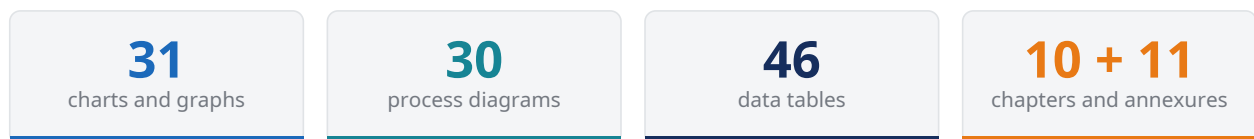


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CHAPTER 1

INTRODUCTION

This chapter sets out why the internship was undertaken, the industry context in which the host organisation operates, the objectives and scope of the study, the methodology followed in collecting and analysing information, the limitations within which the study was conducted, and the structure of the report that follows.

1.1 Background of the Study

Practical exposure to a real organisational environment is an indispensable component of professional management education. While classroom instruction equips a student with theoretical frameworks, models and analytical tools, it is only through direct engagement with a working business that the true complexity, interdependence and dynamism of organisational functions can be appreciated. The Summer Internship Programme undertaken as part of the Master of Business Administration curriculum, with specialisation in Financial Management, is designed precisely to bridge this gap between academic learning and industry practice.

This report is a comprehensive record of the seven-week internship undertaken at Infinity Interns, a unit of Infinitya1 Career Counselling Private Limited, located at B-Hub, Maurya Lok Complex, Patna. The internship provided an opportunity to work closely with the finance and administration function of the organisation, to observe how a growing service-sector enterprise manages its day-to-day financial operations, plans its budgets, controls its costs and evaluates its performance through financial statements.

The choice of specialisation in Financial Management made it particularly relevant to study how a relatively young private limited company structures its accounting records, monitors cash flow, allocates resources across departments such as counselling, training, placement and administration, and takes decisions regarding the pricing of its services, investment in infrastructure and control of overheads. The internship, therefore, was not restricted to passive observation but involved active participation in several finance-related tasks under the guidance and supervision of the finance and operations team of the organisation.

WHY THIS ORGANISATION WAS SELECTED

A small, growing private limited company offers an intern a rare vantage point: the entire finance cycle — from the receipt of a single student fee to the monthly MIS placed before the Director — is visible to one person within a few weeks, which would not be possible in a large corporation where each step is handled by a separate department.

1.2 Industry Overview: Career Counselling and Skill Development in India

Before proceeding to the specific objectives and scope of this study, it is useful to situate the internship within the broader context of the career counselling, skill-development and education-services industry in India, a sector that has undergone remarkable transformation over the past decade. Historically, career guidance in India was an informal affair, typically limited to advice offered by parents, relatives, school teachers or, at best, a handful of specialised counsellors concentrated in metropolitan cities. Students in smaller cities and towns had little access to structured, professional career guidance and often made important academic and career decisions based on incomplete information or social conformity rather than an informed assessment of their own aptitude and interest.

This scenario has changed considerably with the proliferation of new career pathways beyond the traditional trio of engineering, medicine and government service, the growing complexity of the higher-education landscape with hundreds of specialised undergraduate and postgraduate programmes now available, and rising parental awareness of the long-term consequences of an ill-informed career choice. According to various industry estimates and reports published by education-sector research bodies, the Indian career counselling and test-preparation market has been growing at a healthy compound annual rate, driven by increasing disposable incomes, the expansion of digital access even in tier-2 and tier-3 cities, and the entry of both online platforms and offline, centre-based providers into this space.

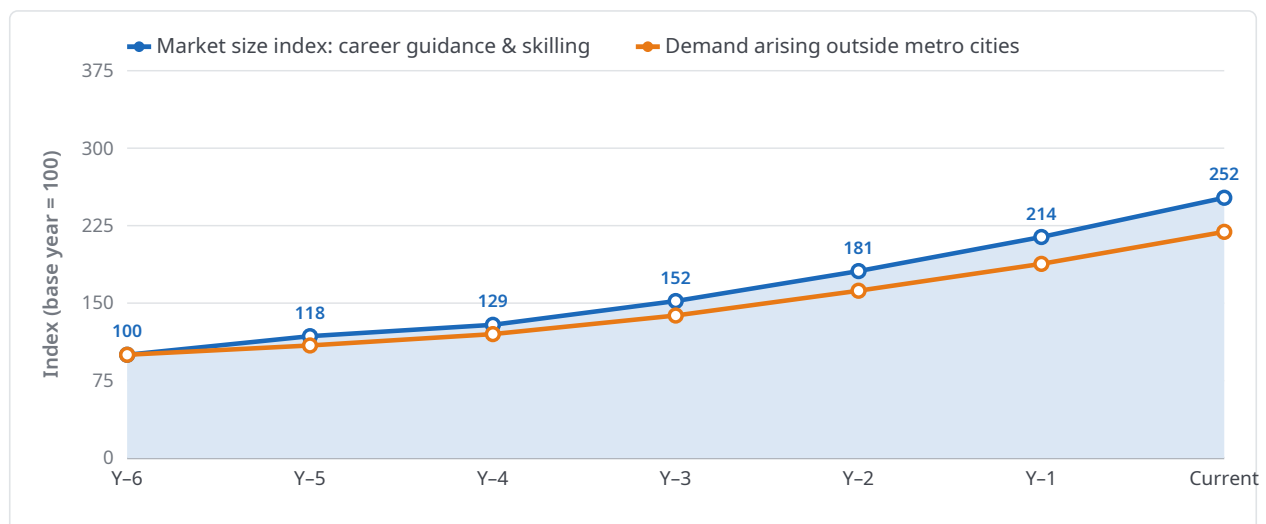


Figure 1.1: Indicative growth profile of the Indian career-guidance and skilling market, with demand from outside the metros expanding at a comparable pace.

Illustrative index constructed for discussion only; it is not a published statistic and is used to depict the direction of change described in the text.

The National Education Policy (NEP) 2020 has further accelerated this trend by placing explicit emphasis on career guidance, multidisciplinary learning, and skill-based education at the school and higher-education levels, thereby creating both a policy tailwind and a growing institutional expectation that schools and colleges will either provide, or facilitate access to, structured career counselling services. This has opened significant opportunities for private career counselling providers, such as Infinity Interns, to partner with educational institutions in addition to serving individual students and families directly.

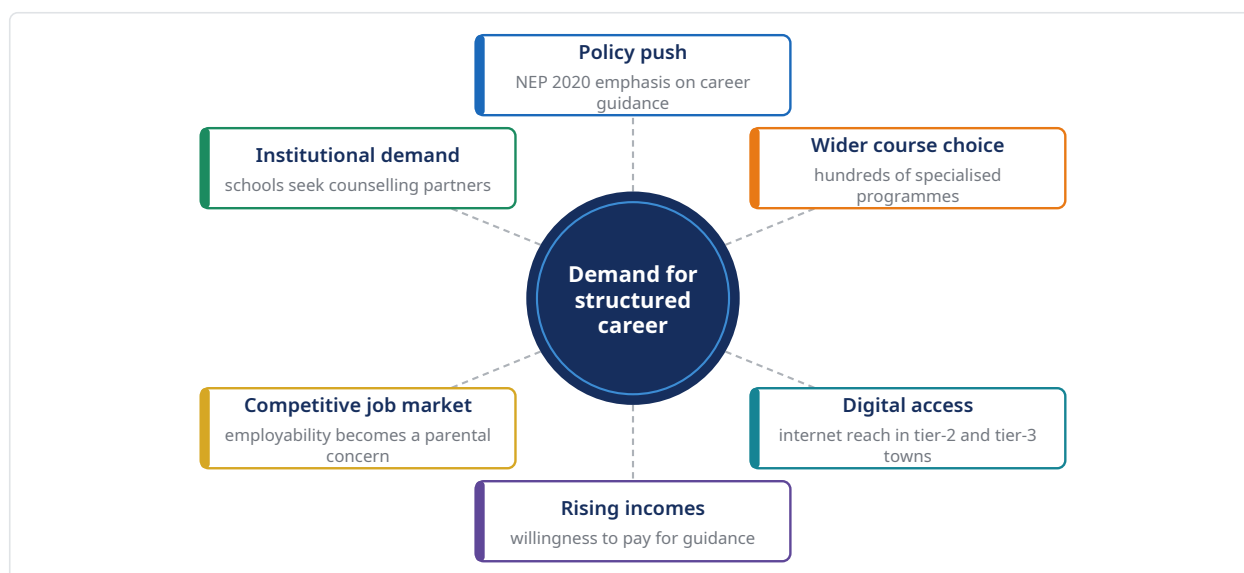


Figure 1.2: Principal drivers behind the growth of demand for professional career counselling and skill-development services.

Bihar, and Patna in particular, represents a market that has historically lagged behind metropolitan centres in terms of access to professional career counselling infrastructure, despite having a very large student population pursuing school and higher education. This combination of high underlying demand and a relatively limited existing supply of quality, professional career counselling services creates a favourable operating environment for an organisation such as Infinity Interns, while simultaneously presenting the challenge of building awareness and trust in a market where such services have not traditionally been considered a mainstream necessity.

1.3 Objectives of the Internship

The internship was undertaken with a well-defined set of objectives, which guided the day-to-day activities and the eventual preparation of this report. These objectives are enumerated below and are revisited in Chapter 7, where the extent to which each was achieved is assessed against the evidence generated during the internship.



Figure 1.3: The eight stated objectives of the internship, grouped as observation, analysis, skill-building and professional development.

1.4 Scope of the Study

The scope of this study is confined to the finance-related functions and processes observed and performed during the internship period at Infinity Interns. It covers the organisation's revenue streams, cost structure, budgeting practices, financial statement analysis for the available accounting periods, and the internal control mechanisms adopted by the organisation for safeguarding its financial resources.

Table 1.1: Boundaries of the study

Within the scope of this study	Outside the scope of this study
Revenue streams and the fee structure of each service vertical	A statutory audit or certification of the company's accounts
Cost structure, cost behaviour and cost control practices	Verification of the company's tax returns and statutory filings
Budget preparation, break-even analysis and variance review	Detailed marketing strategy and brand communication planning
Ratio analysis of illustrative financial statements	Technical design of the counselling and training curriculum
Working capital, collection practice and cash planning	Human-resource policy, appraisal and compensation benchmarking
Internal control, documentation and approval practices	Legal interpretation of contracts with corporate partners

Wherever exact figures were confidential or unavailable, illustrative and representative figures

consistent with the scale of operations observed have been used purely for the purpose of academic analysis, and this has been clearly indicated at the relevant places in the report. The report also draws upon secondary information gathered from the organisation's brochures, website, informal discussions with the management and employees, and general knowledge of the career counselling and education-services industry in India, so as to place the internship experience in a proper industry context.

1.5 Significance of Financial Management for a Service Organisation

Financial management is often associated in popular perception with large manufacturing corporations, but it is equally, if not more, critical for service-oriented enterprises such as career counselling and training institutes. Since such organisations do not carry large inventories of physical goods, their principal assets are human capital, brand reputation, technology and cash. Efficient financial management ensures that fee collections are recorded accurately, that trainers and counsellors are compensated on time, that marketing and outreach expenditure yields a favourable return, and that the organisation retains sufficient liquidity to meet its short-term obligations while planning for long-term growth such as opening new centres or launching new verticals.

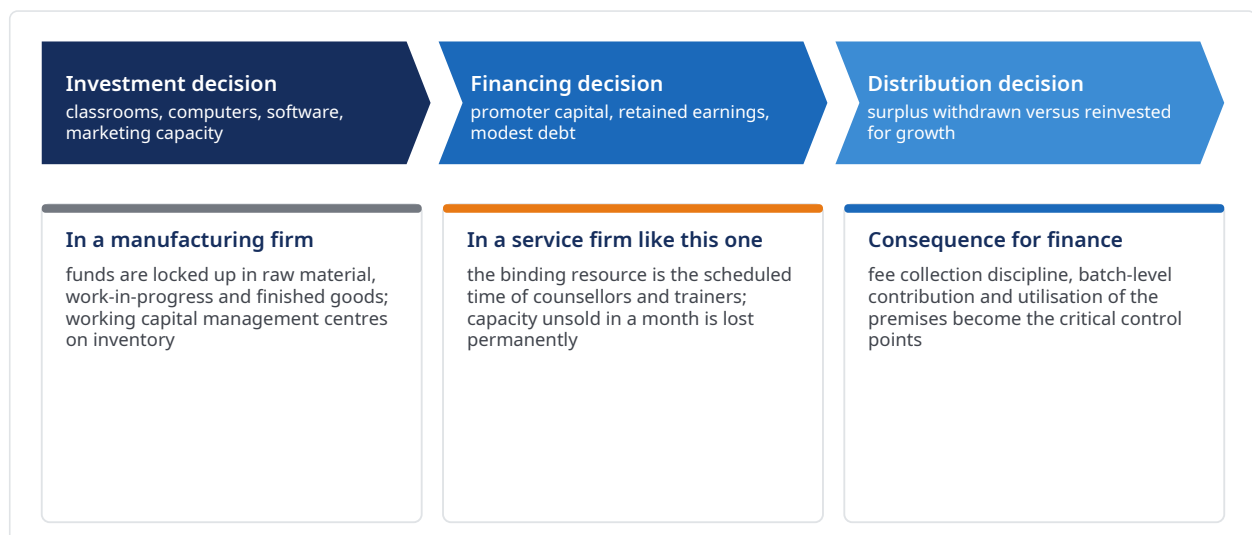


Figure 1.4: The three classical financial decisions as they appear in a service enterprise, and why the emphasis differs from a manufacturing business.

For an organisation like Infinity Interns, which operates in the competitive market of career counselling, skill development and internship facilitation, sound financial management is the backbone that allows the leadership to make informed decisions about which programmes to expand, which to discontinue, how much to invest in digital marketing, and how to price its services competitively while still maintaining healthy margins. This internship therefore offered a valuable window into how these decisions are actually made on the ground, as distinct from how they are described in a textbook.

1.6 Research Methodology

The methodology adopted for the preparation of this report is primarily descriptive and analytical in nature, based on both primary and secondary sources of data collected over the seven weeks of the internship.



Figure 1.5: Research design followed for the study: a sequence from observation to reporting, supported by primary and secondary sources.

Table 1.2: Sources of data and their use in the report

Source of data	Nature	How it was used in this report
Observation of the finance & administration function	Primary	Sections 4.6 to 4.10 on working capital, decision-making and internal control
Participation in routine finance tasks	Primary	Chapter 3 on internship tasks and Chapter 7 on learning outcomes
Discussion with the Director and finance executive	Primary	Sections 4.2, 4.8 and 5.2 on objectives, authority and budget types
Fee registers, expense trackers and MIS worksheets	Primary / internal	Chapter 5 on budgeting, variance analysis and cost control
Illustrative financial statements built from observed proportions	Derived	Chapter 6 on ratio, common-size, trend and DuPont analysis
Brochures, website and promotional material	Secondary	Chapter 2 on the company profile and service portfolio
Financial management and cost accounting literature	Secondary	Conceptual framing in Chapters 4, 5, 6 and Section 9.6
General industry articles on education services	Secondary	Section 1.2 on the industry overview

TOOLS OF ANALYSIS APPLIED

- **Ratio analysis:** liquidity, profitability, efficiency and solvency ratios computed from the illustrative statements presented in Chapter 6.
- **Common-size and trend analysis:** each income statement item expressed as a percentage of revenue, and a three-year movement in revenue and margin.
- **Cost-volume-profit analysis:** contribution margin, break-even enrolment and a sensitivity table for a representative training batch.
- **Budgetary variance analysis:** comparison of budgeted against actual figures for a representative month, with reasons recorded for each significant variance.
- **DuPont decomposition:** return on equity broken into margin, asset turnover and leverage to identify what actually drives the return.

1.7 Limitations of the Study

Every academic study conducted within the constraints of a short internship period is subject to certain limitations, and it is important to state these clearly so that the findings of this report are interpreted in the correct context.

- The internship duration of approximately seven weeks, from 6th June to 21st July, restricted the depth of exposure that could be gained into every financial process of the organisation, particularly those relating to long-term investment and statutory compliance.
- Being a private limited company, certain financial figures of Infinitya1 Career Counselling Private Limited are confidential in nature; hence, wherever exact data could not be disclosed, reasonable estimates based on observation and management discussion have been used, and this is noted at the appropriate places.
- The analysis is based on the data made available during the internship period and does not purport to be a statutory audit or a certified financial statement analysis.
- As a student intern, the depth of decision-making authority observed was limited to an assistant or support role, and hence certain strategic financial decisions were understood through discussion rather than direct participation.
- Trend analysis rests on only three periods of indicative data, which is sufficient to show direction but not to establish a statistically reliable pattern.
- The findings and suggestions offered in this report are based on the observations of a single intern over a short duration and should be read as an academic exercise rather than a professional consultancy report.

1.8 Organisation of the Report

This report is organised into ten substantive chapters followed by a bibliography and a set of annexures. The structure moves deliberately from context to organisation, from organisation to the work performed, from the work performed to analysis, and finally from analysis to reflection and recommendation.

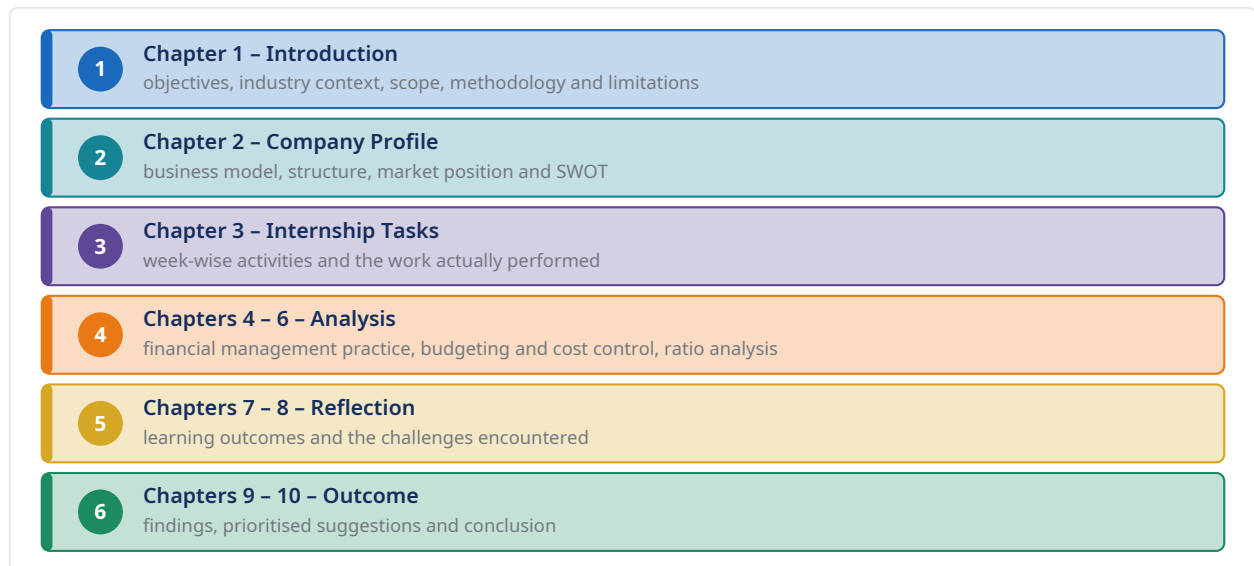


Figure 1.6: Structure of the report: each layer builds on the one below it.

The report closes with a bibliography of the texts and sources consulted and with ten annexures containing the document formats used during the internship, an illustrative ratio worksheet, the discussion guide followed during interviews, a glossary of technical terms, a list of abbreviations and an index of the exhibits presented throughout the report.

CHAPTER 2

COMPANY PROFILE

This chapter profiles the host organisation: its identity and philosophy, the services it sells and the fees it charges, how it is organised and staffed, where it stands in the competitive landscape of Patna, and the strengths and vulnerabilities that shape its financial decisions.

2.1 About Infinitya1 Career Counselling Private Limited

Infinitya1 Career Counselling Private Limited is a privately held company incorporated with the objective of providing career guidance, counselling, skill-development training and internship-facilitation services to students and young professionals. Operating under the trade name 'Infinity Interns', the company has positioned itself as a bridge between academic learning and the corporate world, helping students identify suitable career paths, acquire industry-relevant skills, and secure internship and placement opportunities with partner organisations.

The registered office of the company is situated at B-Hub, Maurya Lok Complex, Patna, a well-known commercial and business hub in the heart of the city, which provides the organisation excellent accessibility for students and corporate visitors alike. The choice of this location reflects the company's strategic intent of remaining close to the large student population of Patna and the wider state of Bihar, a region with a rapidly growing demand for structured career counselling and skill-development services.

The name 'Infinity Interns' and its logo, an infinity symbol rendered as two interlocking arrows in blue and orange, is a deliberate visual representation of the company's philosophy: that learning, growth and opportunity form a continuous, unending loop rather than a one-time event. The blue arrow is meant to represent trust, stability and professionalism, while the orange arrow represents energy, enthusiasm and opportunity for the youth that the company serves.

2.2 Vision, Mission and Core Values

The organisation's vision is to become one of the most trusted names in career counselling and internship facilitation in the eastern region of India, recognised for the quality of its guidance and the tangible outcomes it delivers to students. Its mission is to empower every student who walks through its doors with the clarity, confidence and practical skills needed to make informed career choices and to transition successfully from education into meaningful employment or entrepreneurship.



Figure 2.1: The five core values articulated by the organisation.

HOW THE VALUES CONNECT TO THE FINANCE FUNCTION

Two of these values have a direct financial expression: student-centricity is visible in the practice of refunding or adjusting fees where a programme is rescheduled, and accountability is visible in the insistence on a supporting bill and an authorisation for every payment, however small. Values that are not reflected in the voucher file rarely survive in practice.

2.3 Nature of Business and Service Portfolio

Infinity Interns operates primarily in the education and human-resource services sector, offering a bouquet of services that can broadly be classified into four verticals. Each vertical has a distinct cost behaviour and a distinct collection pattern, which is the reason the finance function tracks them separately rather than as one undifferentiated revenue line.

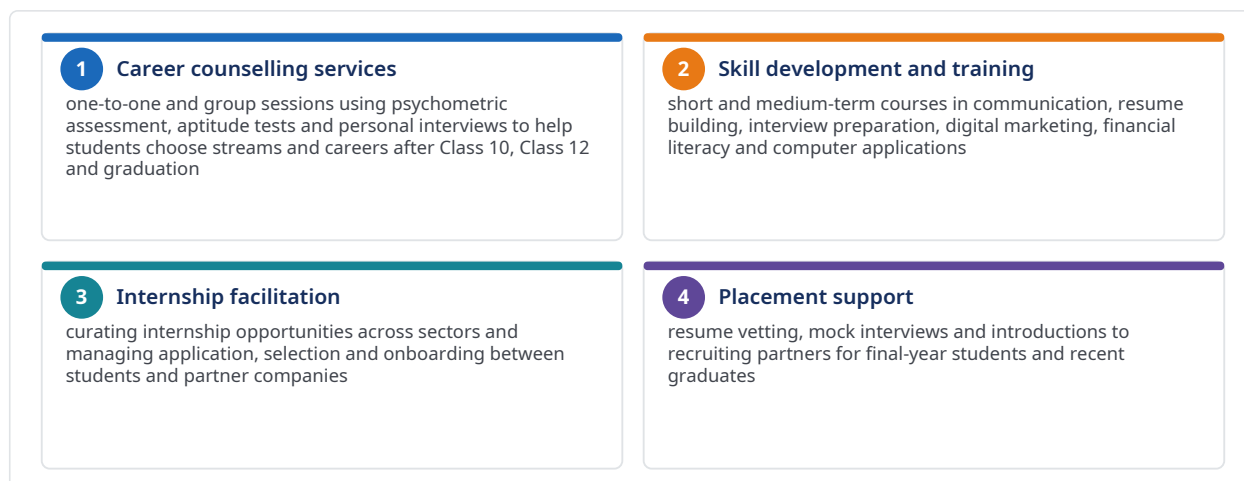


Figure 2.2: The four service verticals that make up the organisation's revenue.

Table 2.1: Service portfolio with indicative fee bands and cost behaviour

Service vertical	Basis of charge	Indicative fee band (₹)	Cost behaviour
Career counselling session	Per session	1,200 – 2,500	Mostly fixed (counsellor time)
Counselling package (multi-session)	Per package	4,500 – 8,000	Mostly fixed with material cost
Skill development programme	Per batch enrolment	4,500 – 9,500	Variable per student plus batch fixed cost
Internship facilitation (student)	One-time placement fee	2,500 – 6,000	Largely fixed effort, contingent collection
Internship facilitation (corporate)	Service fee per candidate	8,000 – 25,000	Negotiated, invoice with GST
Placement support add-on	Per student	1,500 – 3,500	Marginal incremental cost

Indicative bands discussed with the finance executive; actual fees vary by programme duration, batch size and any institutional tie-up in force.

2.4 Revenue Composition Across Verticals

For the year under review, the illustrative revenue of ₹ 48,00,000 is spread across the three revenue-earning verticals in the proportions shown below, with placement support included within the internship-facilitation vertical. Training programmes contribute the largest share of revenue, but because they also carry the highest variable cost per student, their contribution to overheads and profit is lower than that of career counselling.

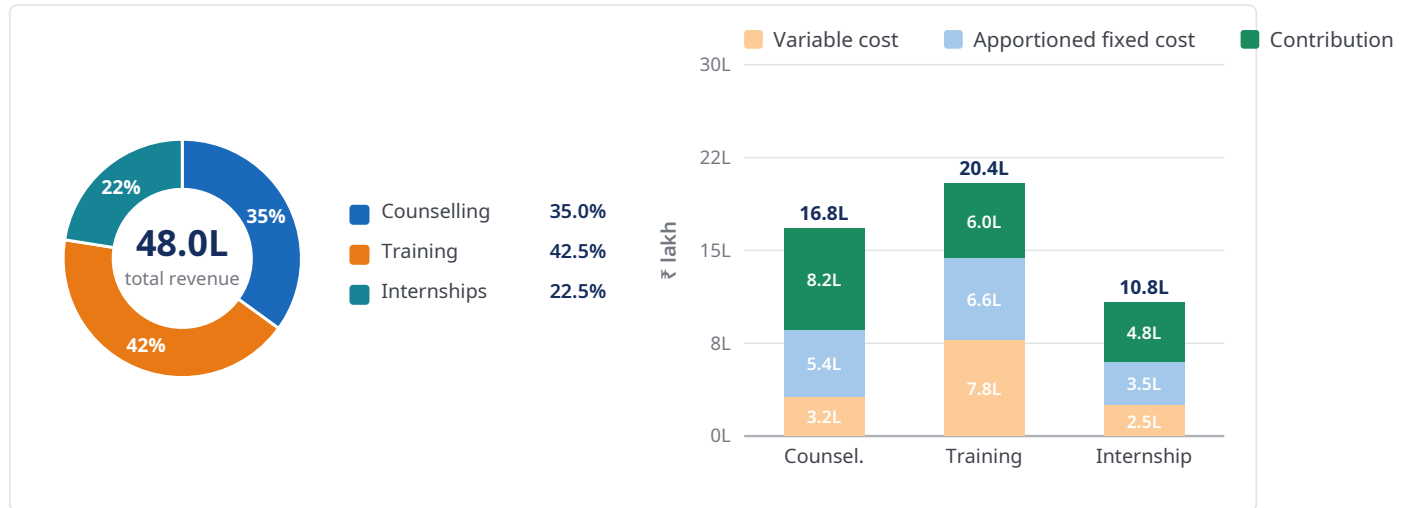


Figure 2.3: Revenue mix by vertical (left) and the split of each vertical's revenue between variable cost, apportioned fixed cost and contribution (right).

Table 2.2: Vertical-wise revenue and contribution (illustrative, ₹)

Particulars	Career counselling	Training programmes	Internship facilitation	Total
Revenue	16,80,000	20,40,000	10,80,000	48,00,000
Share of total revenue	35.0%	42.5%	22.5%	100.0%
Direct / variable costs	3,20,000	7,80,000	2,50,000	13,50,000
Apportioned fixed costs	5,40,000	6,60,000	3,50,000	15,50,000
Contribution to overheads & profit	8,20,000	6,00,000	4,80,000	19,00,000
Contribution margin on revenue	48.8%	29.4%	44.4%	39.6%

The counselling vertical earns a contribution margin of about 49 per cent of its revenue against roughly 29 per cent for training programmes, because counselling consumes mainly the counsellor's time, which is already a fixed cost, whereas each additional student in a training batch attracts material, certification and refreshment costs. This difference is the single most useful piece of information the finance function supplies to the Director, since it determines which vertical deserves incremental marketing rupees.

2.5 Organisational Structure

The organisational structure of Infinity Interns is relatively flat, which is typical of a growing small and medium enterprise in the services sector. At the apex is the Director / Founder, who is responsible for overall strategy, key client relationships and major financial decisions. Reporting to the Director are functional heads for Operations, Counselling and Training, Business Development, and Finance and Administration. Each functional head supervises a small team of executives, counsellors, trainers and support staff.

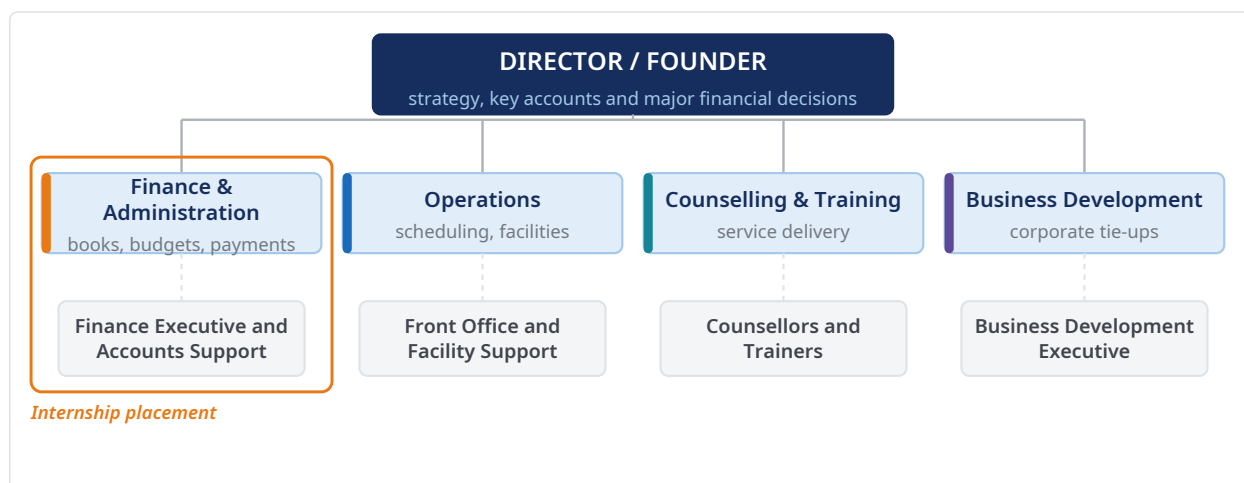


Figure 2.4: Organisation chart observed during the internship; the highlighted branch is where the internship was placed.

The Finance and Administration function, within which this internship was primarily situated, is responsible for maintaining books of account, processing payments to vendors and staff,

collecting fees from students and corporate clients, preparing periodic budgets, and providing the Director with financial information necessary for decision-making. Given the relatively small size of the organisation, the finance function also handles administrative tasks such as procurement of office supplies and coordination with the company's external chartered accountant for statutory compliance.

2.6 Human Resource Profile

At the time of the internship, the organisation employed a compact team comprising the Director, a small number of full-time career counsellors and trainers, a finance and accounts executive, a business development executive responsible for corporate tie-ups, front-office and administrative support staff, and a rotating pool of interns drawn from various colleges of Patna and neighbouring districts, of whom the author of this report was one.

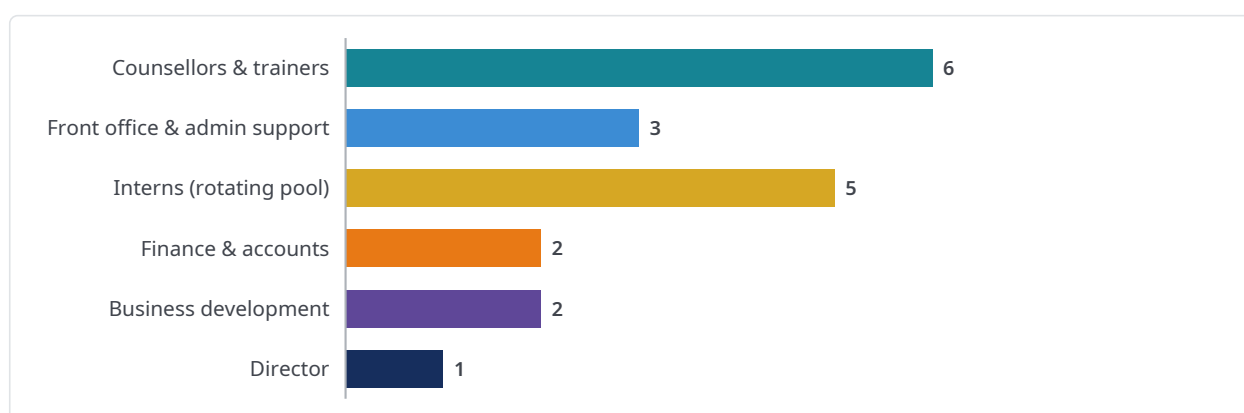


Figure 2.5: Indicative headcount by function at the time of the internship (total team strength of nineteen, including interns).

This lean staffing structure, common to service-based start-ups and small enterprises, places a premium on multi-tasking and cross-functional collaboration. It was observed that employees frequently supported functions beyond their formal designation — for instance, the finance executive assisting with student enquiry calls during peak admission periods, and counsellors assisting with data entry when the finance team was occupied with month-end closing activities. From a financial management perspective this flexibility keeps the payroll small, which is why employee cost remains close to forty per cent of revenue, but it also concentrates critical financial knowledge in very few hands, a risk noted in the SWOT analysis and in Chapter 9.

2.7 Service Delivery Value Chain

The sequence through which the organisation converts an enquiry into delivered value, and the support activities that make that sequence possible, may be represented as a simple value chain. The finance and administration function appears as a support activity, but it touches every primary activity: it prices the service, receipts the fee, pays the trainer and reports the outcome.



Figure 2.6: Value chain of the organisation: five primary activities supported by four enabling functions.

2.8 Market Position and Competitive Landscape

The career counselling and skill-development industry in India has witnessed significant growth over the past decade, driven by increasing awareness among parents and students about the importance of informed career choices, the proliferation of new-age career options beyond traditional streams, and growing competition in the job market. In tier-2 cities such as Patna, this demand has traditionally been underserved compared to metropolitan cities, creating a favourable opportunity for organisations such as Infinity Interns to establish an early and strong local presence.

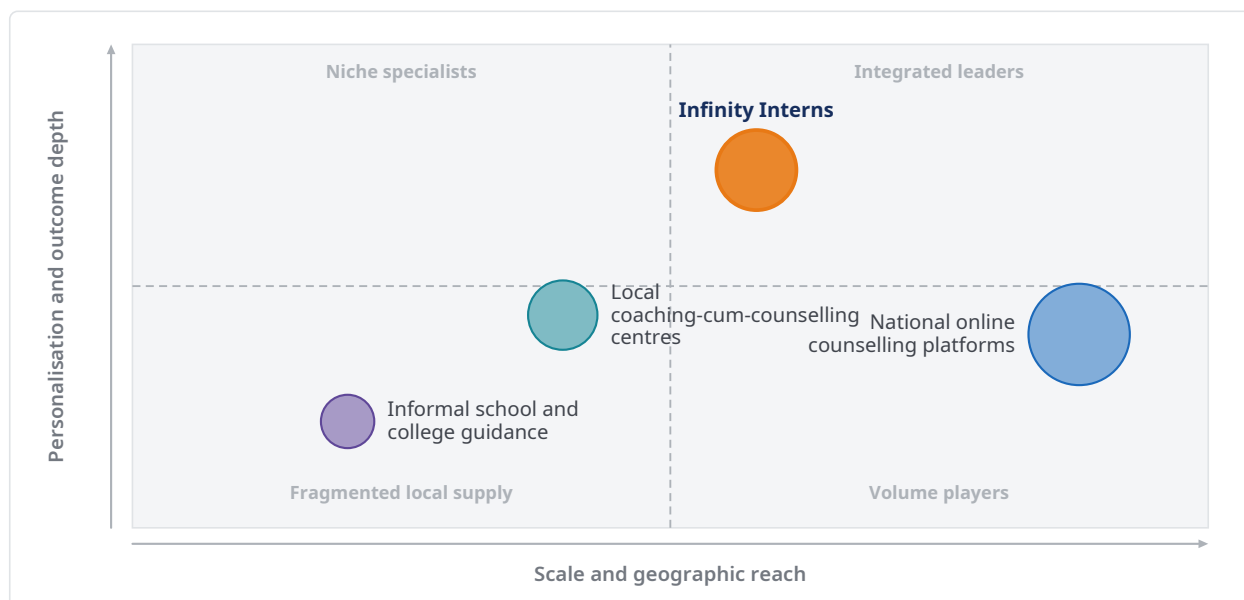


Figure 2.7: Indicative competitive positioning of the organisation against the main categories of competing provider; bubble size denotes relative marketing reach.

Table 2.3: Competitive landscape and strategic implication

Competing category	Typical strength	Typical limitation	Implication for Infinity Interns
National online platforms	Brand, technology, large marketing spend	Limited personal contact and local employer network	Compete on personal attention and local placements, not on advertising spend
Local coaching-cum-counselling centres	Price and proximity	Counselling is incidental to coaching revenue	Emphasise structured psychometric assessment and trained counsellors
School and college guidance cells	Free and trusted access to students	Unstructured and teacher-dependent	Partner with institutions rather than compete with them
Independent counsellors	Personal credibility	No internship or placement infrastructure	Bundle counselling with internship facilitation as a differentiator

Infinity Interns differentiates itself through its combination of in-person, personalised counselling with structured internship facilitation, a combination that many purely online or purely counselling-focused competitors do not offer in an integrated manner. Financially, this differentiation matters because it allows the organisation to charge a package fee rather than compete on a per-session price, which in turn supports the contribution margins observed in Section 2.4.

2.9 SWOT Analysis of the Organisation

A SWOT analysis of Infinitya1 Career Counselling Private Limited, based on observations made during the internship and on discussions with the management, is presented below. The items marked in the weaknesses and threats quadrants are the ones taken forward into the findings and suggestions in Chapter 9.

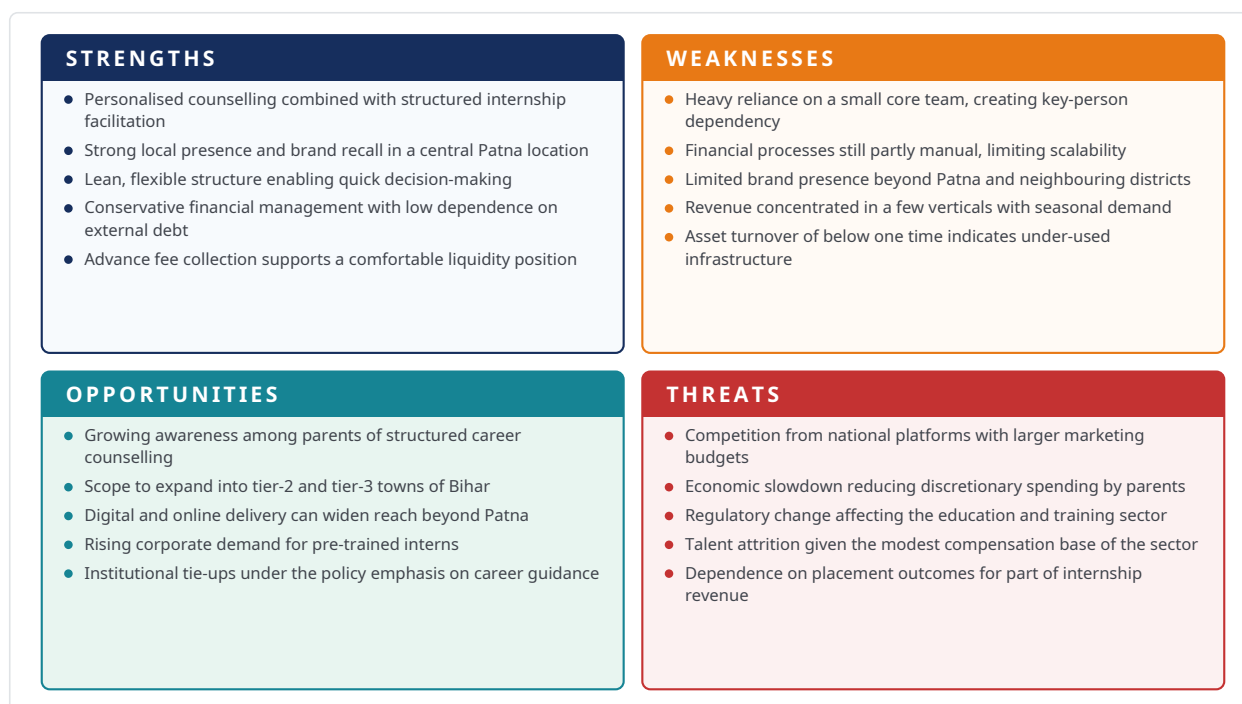


Figure 2.8: SWOT analysis of the organisation as observed during the internship.

2.10 Enquiry-to-Enrolment Conversion Funnel

Because marketing expenditure is the organisation's largest discretionary cost, the finance function takes an interest in how many enquiries are required to produce one paying enrolment. The indicative funnel below was reconstructed from the enquiry register and enrolment data for the year, and it explains why cost per enquiry and cost per enrolment are the two metrics the Director asks for most frequently.

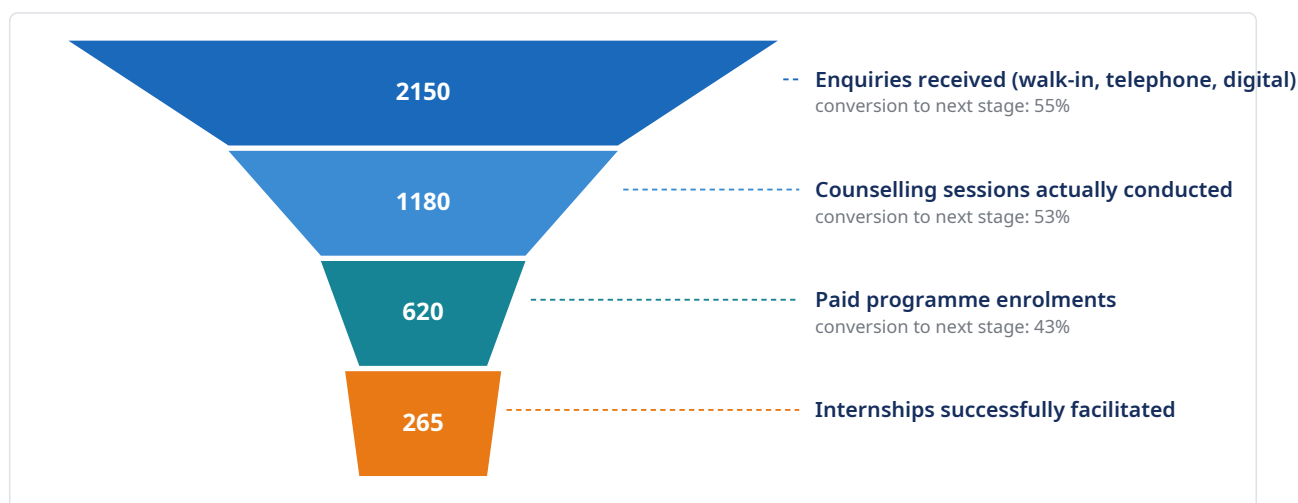


Figure 2.9: Indicative conversion funnel from enquiry to facilitated internship for the year under review.

Roughly twenty-nine per cent of enquiries convert into a paid enrolment, and about forty-three per cent of enrolled students are eventually placed in an internship. Read with the marketing

expenditure of ₹ 4,80,000 for the year, this implies an indicative cost of about ₹ 223 per enquiry and ₹ 774 per enrolment — figures which the organisation compares across marketing channels when deciding where to spend, as discussed in Section 5.9.

2.11 Infrastructure, Facilities and Capacity Utilisation

The office and training premises of Infinity Interns at B-Hub, Maurya Lok Complex, Patna, are equipped to support both individual counselling sessions and group training batches. The facility comprises a reception and waiting area for visiting students and parents, dedicated cabins for one-to-one counselling sessions to ensure privacy during psychometric assessment and discussion, a larger training hall equipped with audio-visual equipment for group batches and seminars, a small computer lab used for digital-skills training modules, and a compact administrative area housing the finance and operations team.

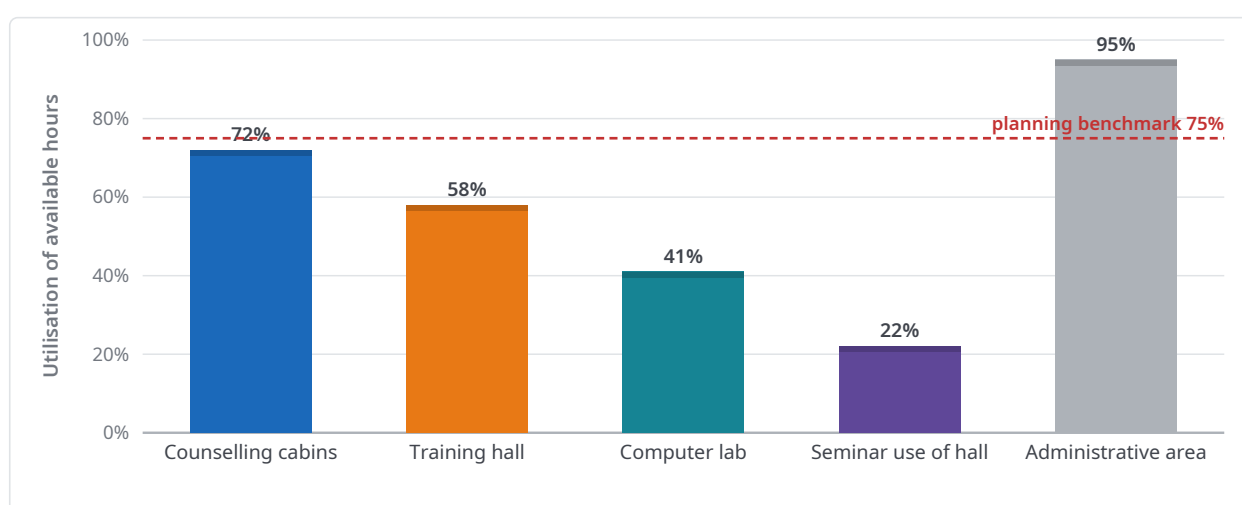


Figure 2.10: Indicative utilisation of each facility against the internal planning benchmark; the training hall and computer lab carry spare capacity.

From a financial management perspective, the fixed costs associated with this infrastructure — rent, utilities, depreciation on furniture and equipment, and annual maintenance — represent a significant component of the organisation's fixed cost base, as reflected in the cost structure discussed in Chapter 4. Because these costs do not fall when a room stays empty, effective utilisation of the infrastructure across multiple concurrent batches and counselling sessions is an important lever for improving the organisation's asset turnover and profitability, a theme returned to in the findings and suggestions presented in Chapter 9.

2.12 Registration and Statutory Details

Infinitya1 Career Counselling Private Limited is registered as a private limited company under the provisions of the Companies Act, 2013, and operates its career counselling and internship facilitation services under the brand name 'Infinity Interns'. Statutory compliance, including maintenance of books of account, filing of annual returns and tax filings, is handled with the assistance of an external chartered accountant retained by the company.

Table 2.4: Registration and statutory particulars

Particulars	Details
Registered name of the company	Infinitya1 Career Counselling Private Limited
Trade name / brand	Infinity Interns
Corporate Identity Number (CIN)	U85500BR2025PTC075319
Constitution	Private limited company under the Companies Act, 2013
Registered office	B-Hub, Maurya Lok Complex, Patna, Bihar – 800001
Nature of activity	Career counselling, skill development training, internship and placement facilitation
Applicable tax framework	Goods and Services Tax, Income Tax Act, TDS provisions on specified payments
Statutory compliance support	External chartered accountant retained by the company
Contact	info@infinityinterns.com www.infinityinterns.com

CHAPTER 3

INTERNSHIP TASKS

This chapter records what was actually done during the seven weeks: the week-by-week schedule, how the available time was divided between tasks, a description of each significant task with the process followed, the volume of work handled, and the tools and departments the work brought the intern into contact with.

3.1 Overview of the Internship Placement

The internship was undertaken at Infinity Interns for a period of approximately seven weeks, commencing on 6th June 2025 and concluding on 21st July 2025, within the Finance and Administration department. The internship was structured to expose the intern progressively to increasingly substantive tasks, beginning with orientation and observation in the first week, moving to assisted execution of routine finance tasks in the following weeks, and culminating in independent handling of selected tasks and the preparation of an analytical mini-project during the final phase.

The day-to-day working hours generally mirrored the standard office timings of the organisation, and the intern was assigned a mentor from the finance team who provided guidance, reviewed the work performed, and clarified doubts regarding accounting entries, formats and organisational policy wherever necessary.

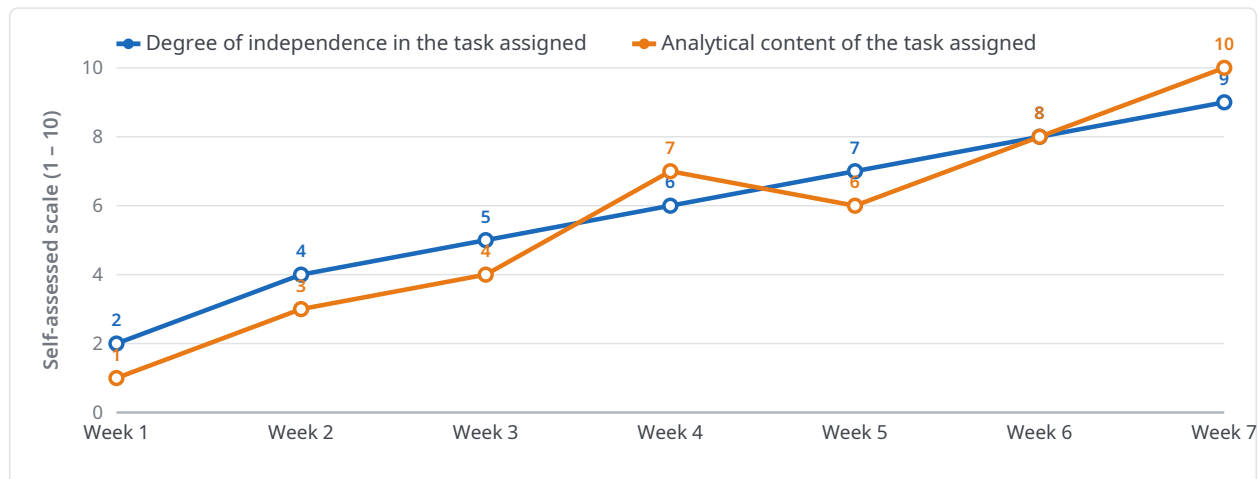


Figure 3.1: Deliberate progression of the internship: both the independence allowed and the analytical content of the work increased week on week.

3.2 Week-wise Break-up of Activities

The table and schedule below summarise, on a week-wise basis, the principal activities

undertaken during the internship period.

Table 3.1: Week-wise activity schedule

Week	Period (2025)	Key activities undertaken
Week 1	6 Jun – 11 Jun	Induction and orientation; introduction to company policies; understanding the office layout and reporting structure; shadowing the finance executive
Week 2	13 Jun – 18 Jun	Assisting in fee collection and receipt generation; maintaining the daily collection register; learning the petty cash voucher format
Week 3	20 Jun – 25 Jun	Petty cash management; bank reconciliation assistance; data entry in the expense tracker spreadsheet
Week 4	27 Jun – 2 Jul	Assisting in the preparation of a batch budget for a new training programme; break-even computation exercise
Week 5	4 Jul – 9 Jul	Vendor invoice verification; preparation of payment requests; assisting with GST invoice checks
Week 6	11 Jul – 16 Jul	Assisting in monthly MIS compilation; variance analysis between budgeted and actual figures
Week 7	18 Jul – 21 Jul	Mini-project: ratio analysis exercise; report compilation; feedback session and internship closure

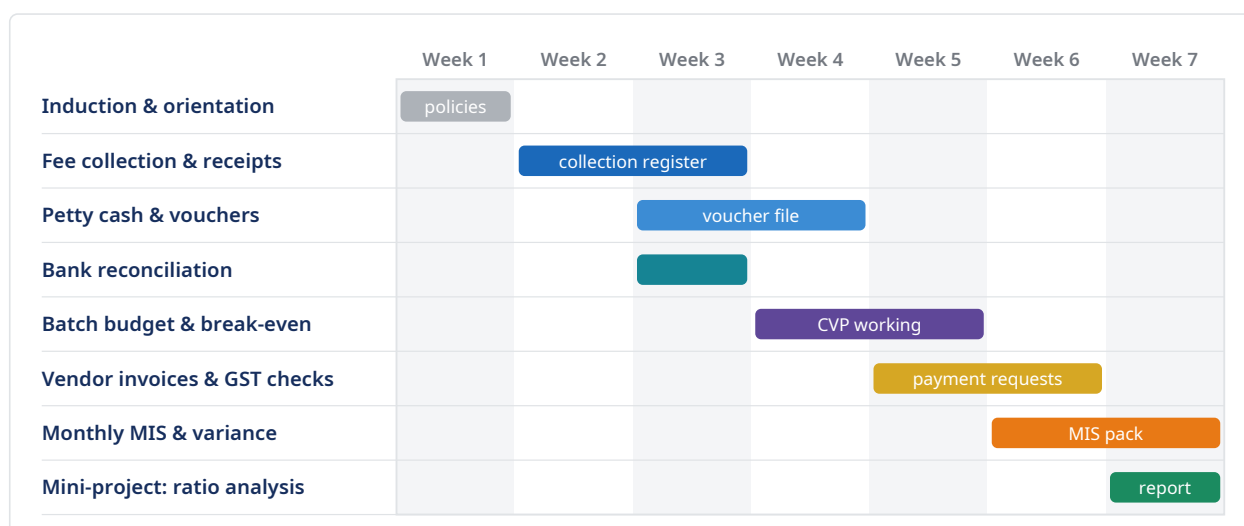


Figure 3.2: Internship work schedule; several activities overlapped because routine collection and voucher work continued alongside the special assignments.

3.3 Allocation of Internship Time Across Tasks

An approximate reconstruction of how the available working time was distributed across task categories is presented below. Routine transaction work — receipting, vouchers, data entry and reconciliation — accounted for close to three-fifths of the time, which is itself an instructive finding about the nature of a small enterprise finance function.

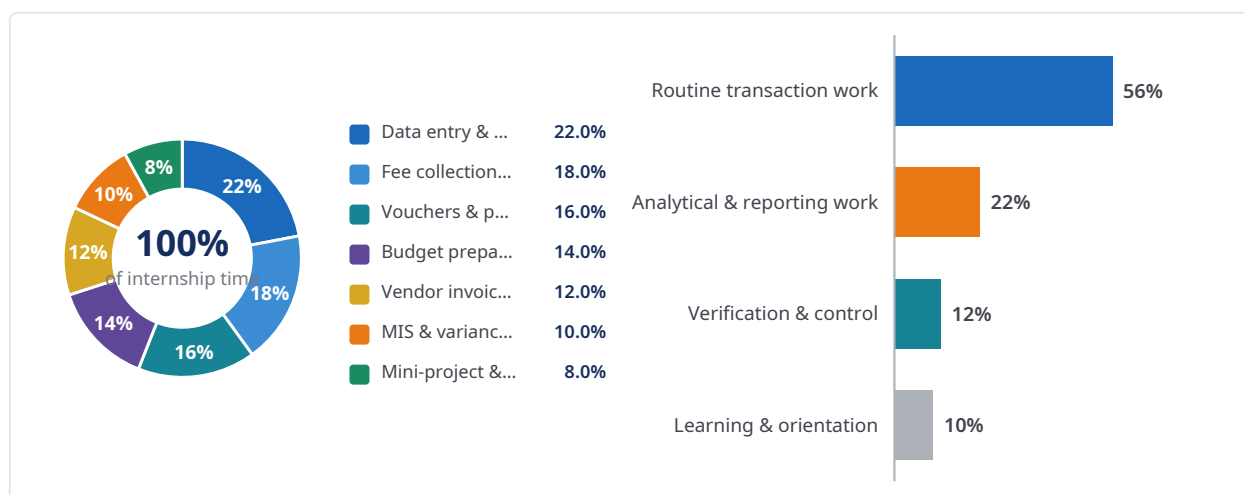


Figure 3.3: Distribution of internship time by individual task (left) and by the nature of the work performed (right).

3.4 Description of Key Tasks Performed

3.4.1 Assistance in fee collection and receipt generation

One of the primary responsibilities assigned during the internship was to assist the front office and finance team in recording fee payments made by students enrolling for counselling sessions, training programmes and internship-facilitation packages. This involved verifying the amount paid against the applicable fee structure for the specific programme, recording the transaction in the fee register and accounting software, and generating an official receipt for the student. The task provided a practical understanding of how a service organisation recognises revenue at the point of cash or digital receipt, and how discrepancies such as partial payments or discount applications are handled and documented.

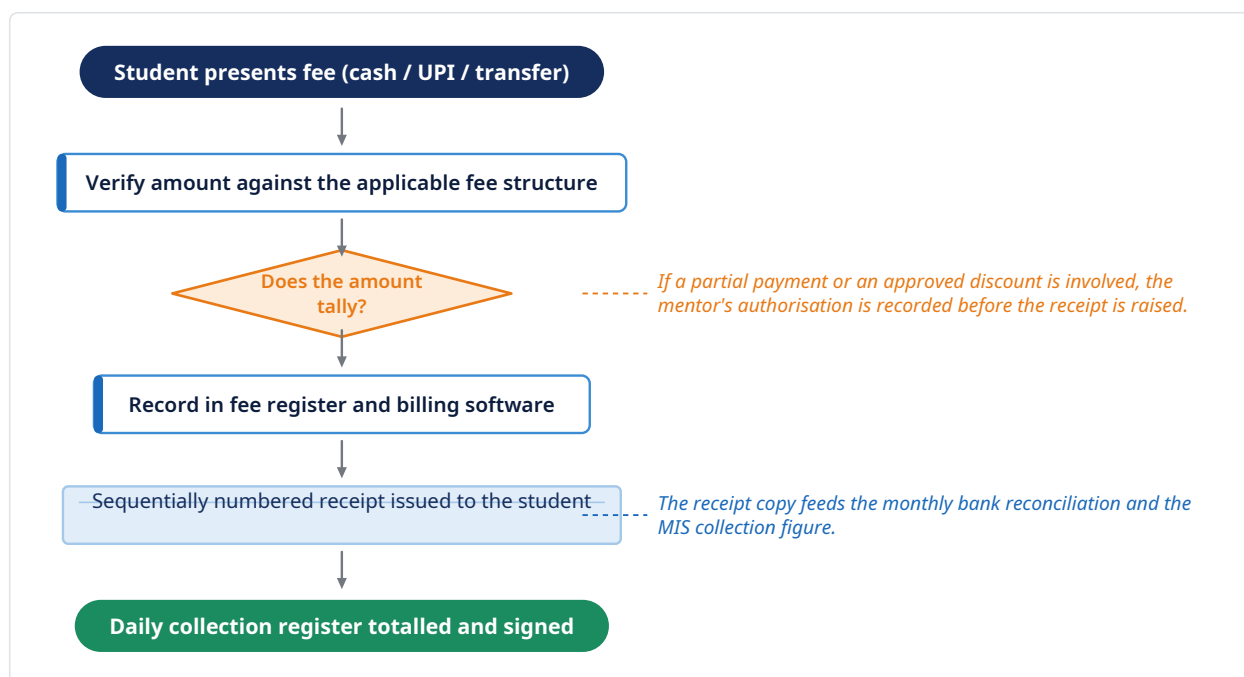


Figure 3.4: Fee collection and receipting process followed at the front office, with the control points observed during the internship.

3.4.2 Preparation of vouchers and petty cash management

The intern was trained in the preparation of payment vouchers for petty cash expenses such as stationery purchases, refreshments for guest sessions, local conveyance for staff, and minor repairs. Each voucher required supporting bills to be attached, appropriate authorisation to be obtained, and the expense head to be correctly classified for entry into the books of account. Maintaining the petty cash register and periodically reconciling the physical cash balance with the recorded balance offered valuable insight into the discipline required in cash handling and the importance of the voucher system as an internal control mechanism.

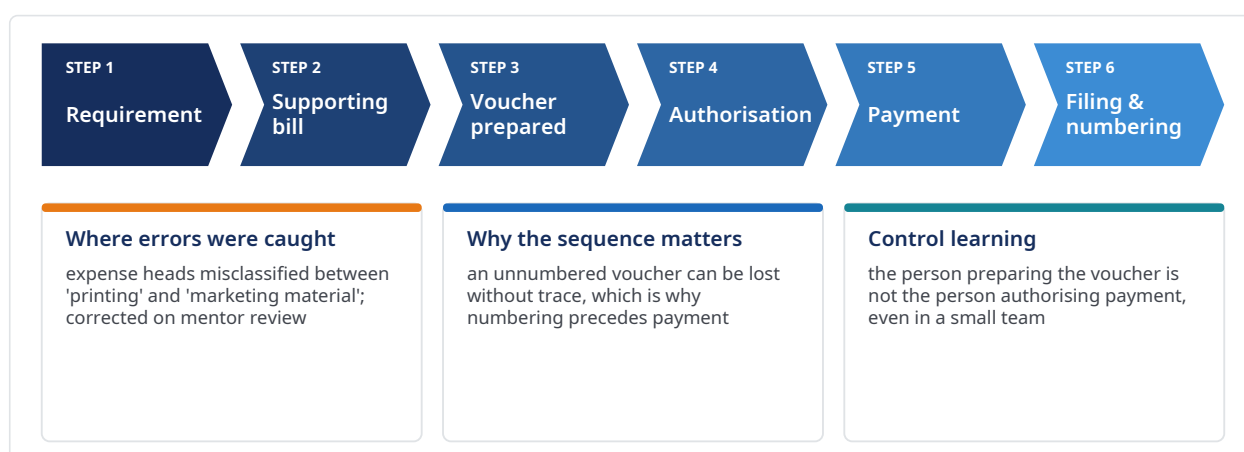


Figure 3.5: Petty cash voucher cycle, and the practical lessons drawn from working within it.

3.4.3 Data entry and maintenance of financial records

A significant portion of the internship involved data entry tasks, including updating the daily collection register, maintaining the expense tracker in a spreadsheet format, and assisting in the reconciliation of bank statements with the internal cash book. This task, while repetitive in nature, was instrumental in developing familiarity with spreadsheet functions such as SUM, VLOOKUP and conditional formatting, which were used to flag discrepancies and to generate quick summaries for the finance executive.

3.4.4 Assistance in budget preparation for a training batch

During the fourth and fifth weeks of the internship, the intern was involved in assisting the preparation of a budget for an upcoming batch of a skill-development training programme. This required estimating the likely enrolment based on past trends and current enquiry levels, computing the variable cost per student covering trainer fees, study material and certificates, estimating the fixed costs to be apportioned such as venue, utilities and marketing for the batch, and arriving at a break-even enrolment figure together with a recommended fee per student that would ensure a reasonable contribution margin. The resulting working is presented as Table 5.1 and analysed in Sections 5.3 to 5.5.

3.4.5 Vendor payment processing and invoice verification

The intern also assisted in verifying invoices received from vendors, such as suppliers of study material, digital marketing agencies and facility maintenance contractors, checking them against the corresponding purchase order or agreed terms, and preparing payment requests for approval by the Director. This task highlighted the importance of a proper approval hierarchy and documentation trail in preventing unauthorised or erroneous payments, and introduced the practical checks required on a GST invoice before input tax credit can be claimed.

3.4.6 Support in preparation of monthly MIS and financial summary

Towards the concluding phase of the internship, the intern assisted in compiling a simplified Management Information System (MIS) report summarising total collections, total expenses, department-wise cost break-up and a comparison against the budgeted figures for the month. This exercise provided direct exposure to how variance analysis is used by management to identify areas of overspending or underperformance in revenue collection, and to take timely corrective action. The illustrative output of this exercise appears as Table 5.2 and Figure 5.5.

3.4.7 Mini-project: financial analysis exercise

As a capstone task for the internship, the intern was asked to compile an analytical note on the organisation's cost structure and to compute basic financial ratios using the data made available, which forms the basis of Chapters 4, 5 and 6 of this report. This exercise was reviewed by the finance mentor and discussed with the Director as part of the internship completion process.

3.5 Volume of Work Handled During the Internship

To give a concrete sense of the scale of work handled, the following approximate counts were

maintained in the personal activity log kept through the internship. They are modest numbers in absolute terms, but for a first exposure to a live accounting environment they represented sufficient repetition for the underlying formats and controls to become familiar.

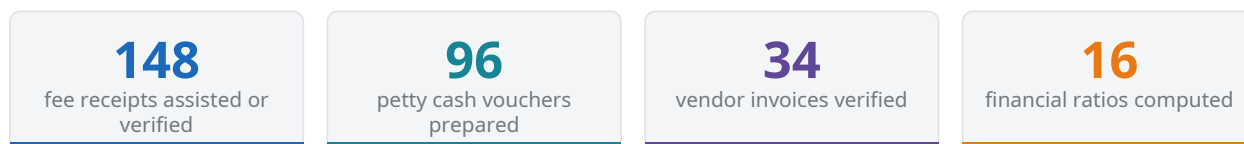


Table 3.2: Indicative volume of work handled during the internship

Work item	Approximate volume handled	Nature of involvement
Fee receipts recorded or verified	148 receipts	Assisted, then independent
Petty cash vouchers prepared	96 vouchers	Independent after week 3
Entries made in the expense tracker	Over 500 line items	Independent
Bank reconciliation statements assisted	7 weekly reconciliations	Assisted
Vendor invoices verified against terms	34 invoices	Assisted
Payment requests drafted for approval	21 requests	Assisted
Batch budgets prepared or revised	3 budget sheets	Assisted
Monthly MIS packs compiled	2 MIS packs	Assisted
Financial ratios computed and interpreted	16 ratios	Independent

3.6 Tools and Software Used

During the course of the internship, the intern gained working familiarity with the following tools, which are commonly used in small and medium enterprises for finance and administration functions: spreadsheets (MS Excel and Google Sheets) for registers, budgets, ratio computation and simple charts for MIS reporting; the basic accounting and billing software used by the organisation for recording student fee receipts and generating GST-compliant invoices; MS Word for internal notes, minutes and vendor correspondence; and WhatsApp Business together with email for coordinating fee reminders with students and invoice clarifications with vendors.

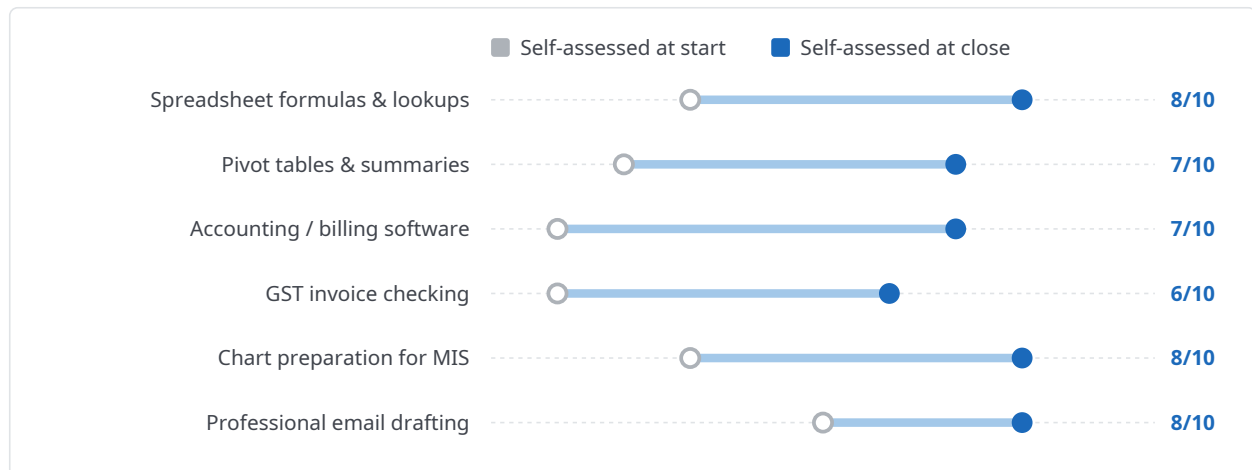


Figure 3.6: Self-assessed familiarity with the principal tools used, at the start and at the close of the internship.

3.7 Interaction with Different Departments

Although the internship was based in the Finance and Administration department, the nature of a small organisation meant that the intern regularly interacted with the Counselling and Training team to obtain enrolment data, with the Business Development team to understand corporate tie-up arrangements that had revenue implications, and with the front office to cross-verify daily collection figures. This cross-functional interaction was instrumental in appreciating how financial data flows from operational activities into the accounting system, and how, in turn, financial constraints and targets shape operational decisions such as batch scheduling and marketing spend.

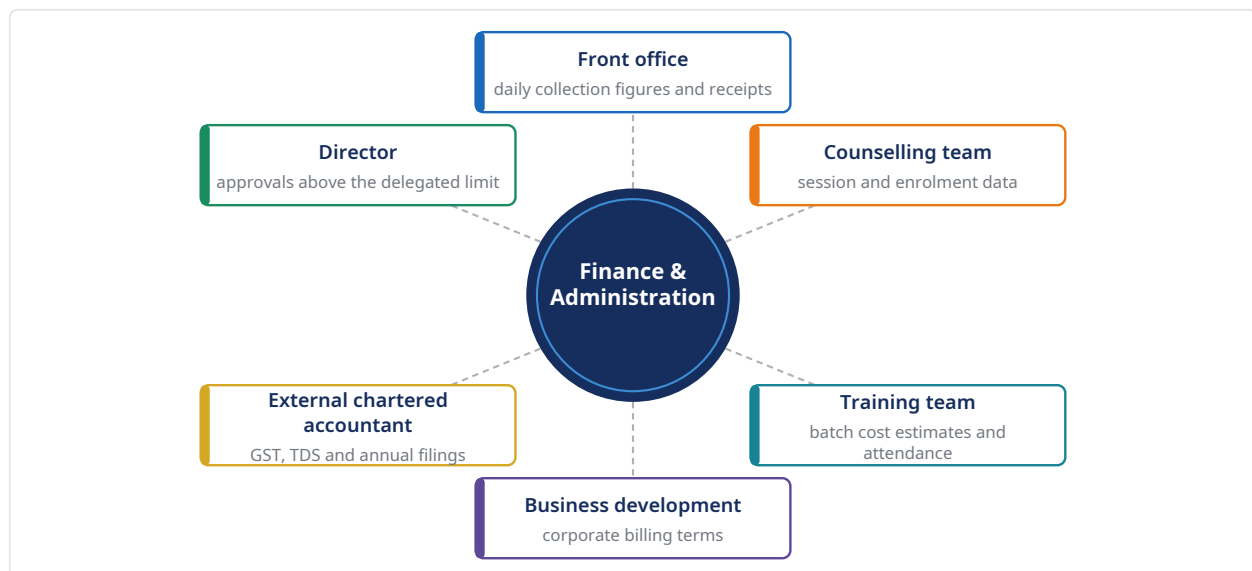


Figure 3.7: Information flows between the finance function and the rest of the organisation, as experienced during the internship.

CHAPTER 4

FINANCIAL MANAGEMENT ANALYSIS

This chapter analyses how the organisation actually manages money: the objectives it sets, where its funds come from and go to, how revenue is recognised, how its costs behave, how working capital and seasonality are handled, how financial decisions are authorised, and the internal control and compliance framework within which all of this operates.

4.1 Concept and Scope of Financial Management

Financial management may be defined as the planning, organising, directing and controlling of the financial activities of an enterprise, including the procurement and utilisation of funds. It encompasses decisions relating to investment, that is where funds should be deployed; financing, that is from where funds should be raised; and distribution, that is how much of the surplus should be reinvested rather than withdrawn — all aimed at maximising the value of the enterprise while ensuring adequate liquidity and an acceptable level of risk.



Figure 4.1: The four functions of financial management as they were observed operating within the organisation.

In the context of a service-sector small enterprise such as Infinity Interns, financial management manifests in a somewhat simplified but equally important form. Investment decisions relate to expenditure on infrastructure such as classrooms, computers and furniture, on technology such as accounting software and learning platforms, and on marketing. Financing decisions relate to the extent to which the promoter's own capital, retained earnings or short-term borrowings are used to fund working capital requirements. Distribution decisions relate to how much of the surplus generated is withdrawn by the promoters as against retained for reinvestment into

expansion, such as opening a second centre.

4.2 Financial Objectives of the Organisation

Through discussions with the finance executive and the Director, it was observed that the organisation's financial objectives during the period under review could be summarised under five heads. Each objective is paired below with the indicator the finance function actually uses to judge whether the objective is being met, since an objective without a measure tends not to influence behaviour.

Table 4.1: Financial objectives and the indicators used to monitor them

Financial objective	Indicator used in practice	Position in the year under review
Maintain liquidity sufficient to meet monthly fixed obligations without external borrowing	Current ratio; cash balance against one month of fixed cost	Current ratio 1.92:1; cash of ₹ 5,97,000 against fixed monthly cost of about ₹ 2,60,000
Achieve a target contribution margin on every batch and counselling package	Contribution per student; break-even enrolment	Contribution of ₹ 4,000 per student; break-even at 17 of 30 seats
Build retained earnings to fund future capital expenditure	Reserves and surplus; proportion of profit retained	Reserves of ₹ 25,25,000, being 72 per cent of shareholders' funds
Ensure timely and complete collection of fees	Debtors' turnover; average collection period	9.6 times a year; about 38 days
Control discretionary expenditure in line with enrolment performance	Marketing cost per enrolment; monthly variance against budget	About ₹ 774 per enrolment; adverse marketing variance of ₹ 13,000 in the month reviewed

4.3 Sources and Application of Funds

The primary source of funds for Infinity Interns is the fee income collected from students and corporate clients for counselling, training and internship-facilitation services, supplemented by the promoters' own capital contribution at the time of incorporation and expansion. As a relatively young private limited company, the organisation has, to the extent observed, relied minimally on external debt, preferring to fund its working capital and modest capital expenditure requirements through internal accruals and promoter capital — a conservative financing approach common among small service enterprises seeking to avoid the fixed interest burden associated with borrowed funds.

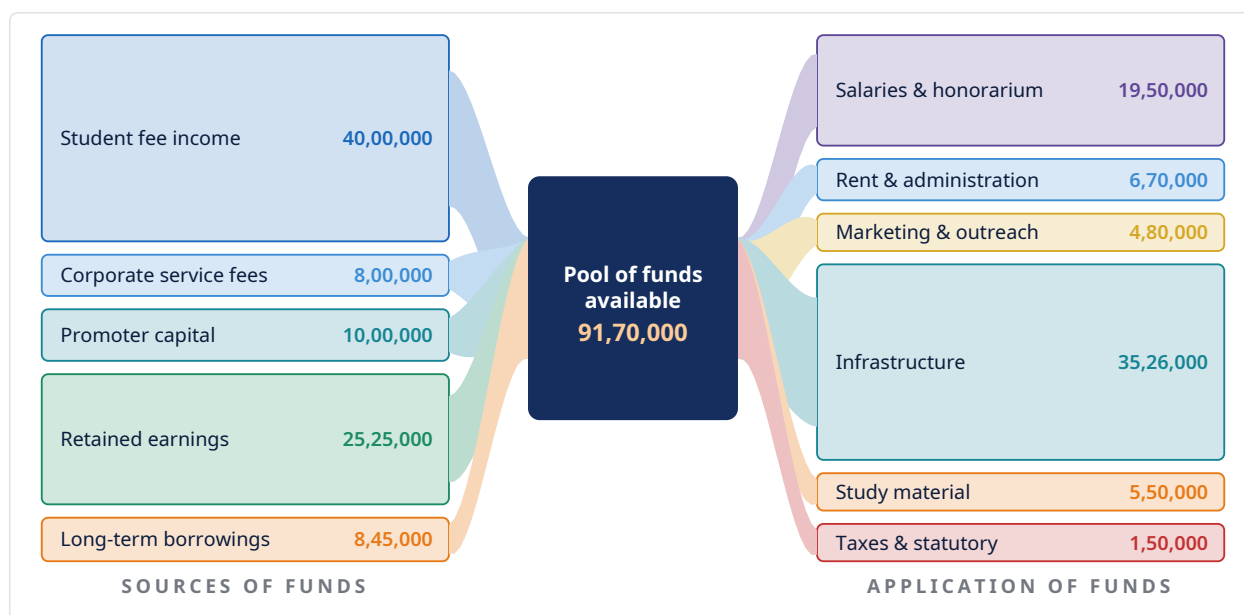


Figure 4.2: Sources of funds and their application, as observed during the internship (illustrative amounts in ₹).

The principal applications of funds observed during the internship period included payment of staff salaries and trainer honorariums, rent for the office and training premises, marketing and promotional expenditure covering digital advertising, print material and outreach events at schools and colleges, technology and software subscription costs, and statutory payments such as GST and advance tax remitted through the company's chartered accountant. The largest single application is infrastructure, which is a cumulative figure carried in the balance sheet rather than an annual outflow, and this is the reason the organisation's asset turnover requires attention even though its margins are healthy.

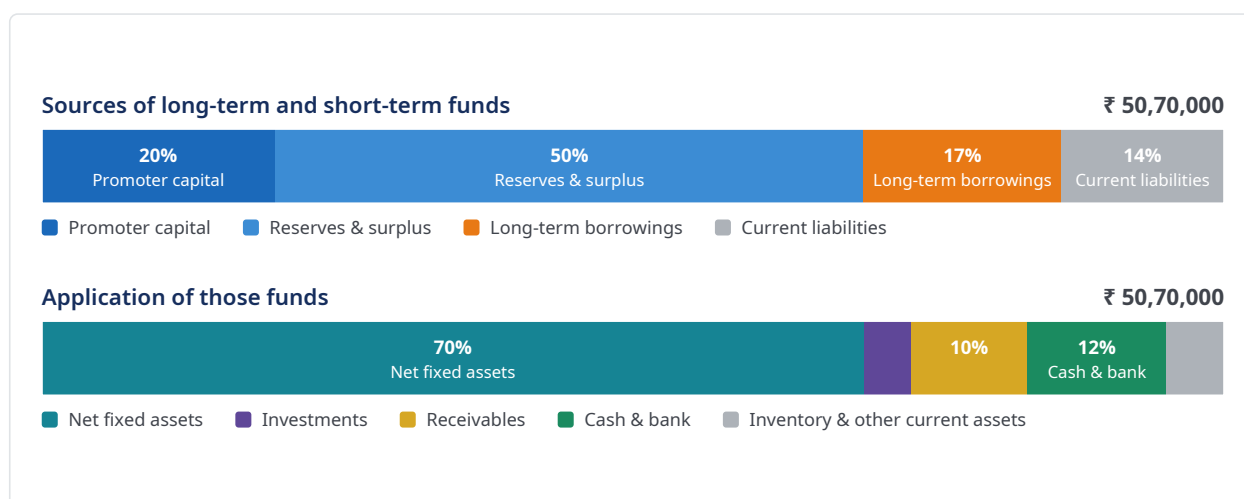


Figure 4.3: Balance-sheet view of the same picture: how the funds raised are deployed across assets at the year-end.

4.4 Revenue Recognition and Fee Structure

Revenue for the organisation is generated through distinct fee structures for each of its service

verticals. Career counselling sessions are typically charged on a per-session or package basis, skill-development training programmes are charged per batch enrolment with fees varying by course duration and content, and internship-facilitation services are charged either as a one-time placement fee payable by the student or, in certain arrangements, as a service fee payable by the partner company availing candidates through the platform.

Revenue is recognised at the point of service delivery or, in the case of package-based programmes spanning multiple sessions, proportionately as sessions are conducted — a practice consistent with the accrual concept of accounting and appropriate for a service business where the obligation to the customer is fulfilled progressively rather than at a single point in time.

Table 4.2: Fee collection and revenue recognition pattern by vertical

Vertical	When cash is received	When revenue is recognised	Balance-sheet consequence
Single counselling session	At the time of the session	Immediately on delivery of the session	No timing difference
Counselling package	Substantially in advance at enrolment	Proportionately as each session is conducted	Unearned portion carried as a current liability
Training programme	Majority at enrolment, balance before the final module	Spread over the duration of the batch	Advance collection funds part of the batch cost
Internship facilitation (student)	Part upfront, part on placement	On successful placement of the candidate	Receivable until the placement is confirmed
Internship facilitation (corporate)	On invoice, typically 15 to 30 days	On completion of the candidate hand-over	Trade receivable with GST payable

WHY THIS DISTINCTION MATTERED DURING THE INTERNSHIP

The receipting work described in Section 3.4.1 records a cash inflow, not necessarily revenue of that month. Learning to separate the two — a receipt in June for a batch running through July — was the clearest practical illustration of the accrual concept encountered during the internship.

4.5 Cost Structure of the Organisation

The cost structure of Infinity Interns, like that of most service organisations, is dominated by personnel-related costs rather than material costs. Based on observation and discussion with the finance team, the major cost heads may be classified as shown below, expressed both as a share of the total cost base of ₹ 37,62,000 and as a percentage of revenue.

Table 4.3: Cost structure of the organisation (illustrative)

Cost head	Cost behaviour	Amount (₹)	Share of total cost	% of revenue
Employee costs (counsellors, trainers, admin staff)	Largely fixed	19,50,000	51.8%	40.6%
Training material & programme costs	Variable	5,50,000	14.6%	11.5%
Marketing & promotional expenditure	Semi-variable	4,80,000	12.8%	10.0%
Rent & utilities	Fixed	4,20,000	11.2%	8.7%
Administrative & office expenses	Fixed	2,50,000	6.6%	5.2%
Depreciation on equipment & furniture	Fixed (non-cash)	74,800	2.0%	1.6%
Finance cost	Fixed (minimal)	37,200	1.0%	0.8%
Total cost base		37,62,000	100.0%	78.4%

Management describes employee cost as running at forty to forty-five per cent of revenue; the illustrative statement reflects this at 40.6 per cent.

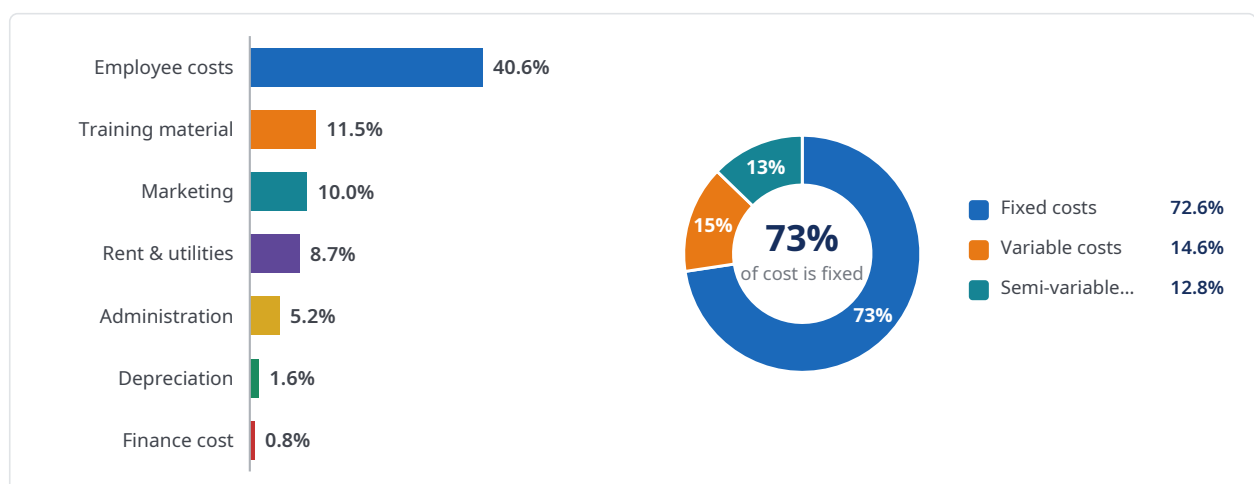
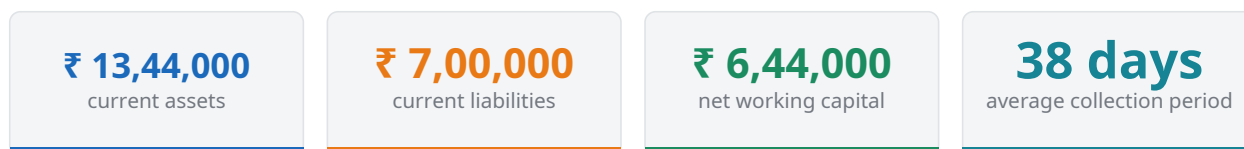


Figure 4.4: Cost heads as a percentage of revenue (left) and the fixed, variable and semi-variable split of the total cost base (right).

Nearly three-quarters of the cost base does not vary with the number of students enrolled in a given month. This single fact drives much of the financial behaviour described in the remainder of this report: it explains why break-even analysis is taken seriously before a batch is launched, why utilisation of the training hall matters, and why a shortfall in enrolment translates almost immediately into a shortfall in surplus rather than being cushioned by a fall in costs.

4.6 Working Capital Management

Working capital management assumes particular importance for a fee-based service organisation such as Infinity Interns, since the timing mismatch between fee collection, which is often received in advance or in instalments, and expenditure, which is largely fixed and recurring in nature such as monthly salaries and rent, determines the organisation's day-to-day liquidity position.



It was observed that the organisation follows a policy of collecting a substantial portion of the programme fee at the time of enrolment, with the balance, if any, collected before the commencement of the concluding module of the programme. This practice of advance collection helps the organisation maintain a favourable working capital cycle for its training and counselling verticals, effectively allowing student fee collections to fund a part of the operating expenses even before the corresponding services are fully delivered. The internship-facilitation vertical, however, where fees are sometimes contingent upon the successful placement of the candidate, exhibits a longer collection cycle and requires closer monitoring.

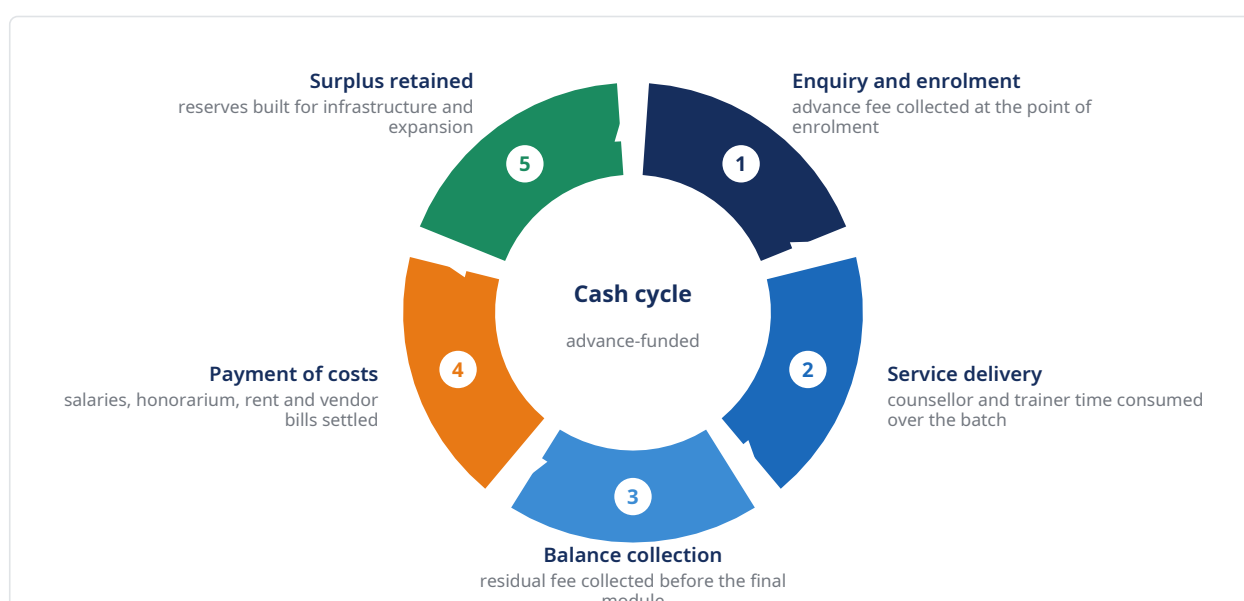


Figure 4.5: Working capital cycle of the organisation; because cash is largely collected before the service is delivered, the cycle funds itself.

Table 4.4: Components of the working capital cycle

Element of the cycle	Observed position	Financial effect
Advance fee collection at enrolment	A substantial share of the programme fee is collected upfront	Reduces the need for external working capital
Average collection period	About 38 days overall	Acceptable for a business with limited credit sales
Internship facilitation receipts	Partly contingent on placement outcome	Lengthens the cycle and introduces collection risk
Trade payables of ₹ 4,00,000	Vendor bills settled on agreed terms	Provides a short, interest-free source of funds
Cash and bank balance of ₹ 5,97,000	Equivalent to roughly two months of fixed cost	Comfortable buffer against a lean collection month

4.7 Seasonality of Collections and Cash Planning

Collections in this business are not spread evenly through the year. They cluster around the school and college admission cycle, with a pronounced peak between May and July and a secondary peak in the January to February window when board examinations approach and parents seek guidance on course selection. Fixed costs, by contrast, accrue evenly every month. The chart below places the two series together, which is the single most useful picture for cash planning in this organisation.

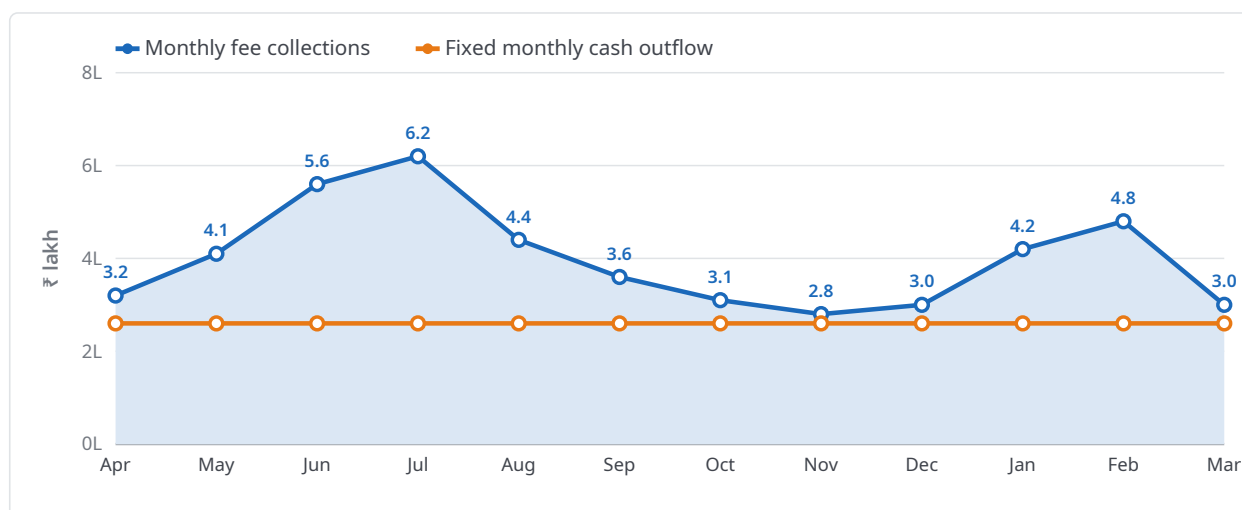


Figure 4.6: Monthly collections against the largely unchanging monthly fixed outflow; the shaded gap in the lean months is what a rolling cash forecast is meant to anticipate.

Table 4.5: Quarterly pattern of collections against fixed outflow

Quarter	Collections (₹ lakh)	Share of annual collection	Fixed outflow (₹ lakh)	Cash position
Q1 (Apr – Jun)	12.9	26.9%	7.8	Strong surplus
Q2 (Jul – Sep)	14.2	29.6%	7.8	Peak surplus
Q3 (Oct – Dec)	8.9	18.5%	7.8	Thin surplus
Q4 (Jan – Mar)	12.0	25.0%	7.8	Recovering surplus
Full year	48.0	100.0%	31.2	Comfortable

The October to December quarter contributes less than a fifth of annual collections while carrying a quarter of the annual fixed cost. The organisation manages this through the surplus accumulated in the first two quarters rather than through borrowing, which works at the present scale but becomes progressively riskier as fixed costs grow. This is the reasoning behind the suggestion in Chapter 9 that a rolling twelve-month cash forecast be maintained and reviewed monthly.

4.8 Financial Decision-Making Process Observed

During the internship, it was observed that significant financial decisions — approval of

expenditure above a certain threshold, the launch of a new training programme, or a revision of the fee structure — were taken by the Director in consultation with the finance executive, based on a combination of quantitative analysis such as expected enrolment, cost estimates and break-even calculations, and qualitative judgement such as market demand, competitive positioning and brand considerations. Routine and recurring expenditure within pre-approved limits was authorised directly by the finance executive, reflecting a sensible delegation of financial authority appropriate to the size of the organisation.

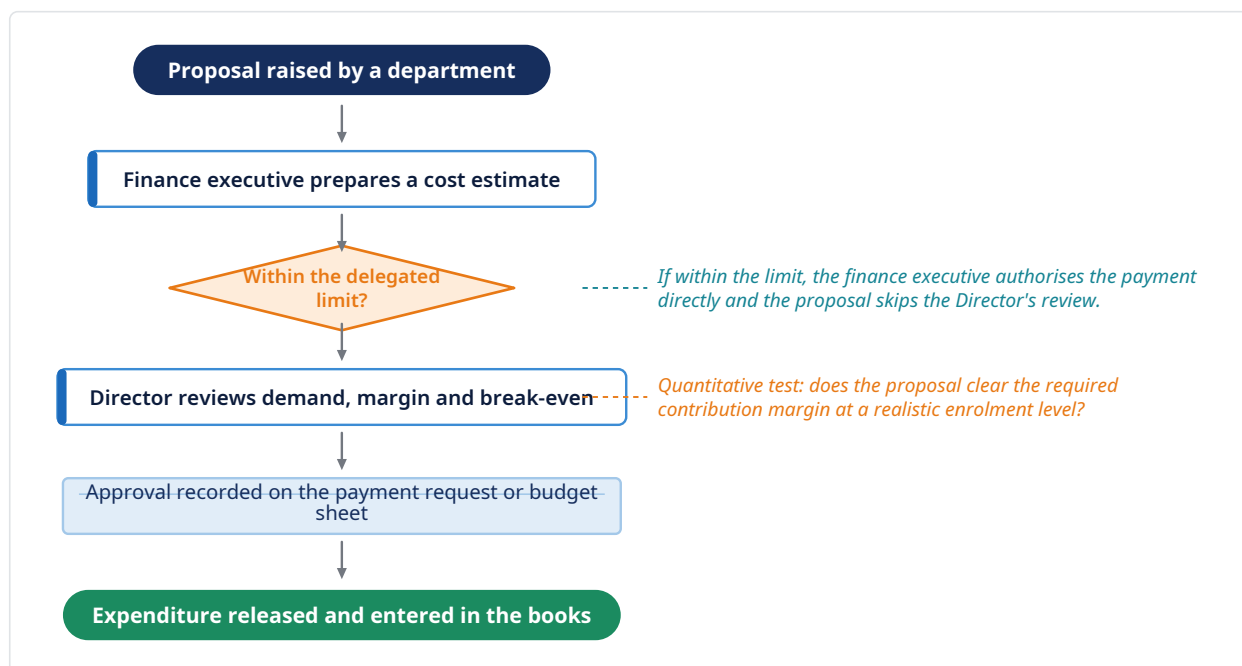


Figure 4.7: Path followed by a spending or pricing proposal from the originating department to release of funds.

Table 4.6: Delegation of financial authority as observed

Decision or expenditure type	Authority observed	Basis of the decision
Routine recurring expense within the pre-approved limit	Finance executive	Budget already sanctioned for the head
Petty cash expense supported by a bill	Finance executive	Voucher with supporting bill and expense head
Vendor payment against a verified invoice	Director on recommendation	Invoice matched to the purchase order or agreed terms
Launch or postponement of a training batch	Director with the finance executive	Pre-enrolment count against break-even enrolment
Revision of the fee structure of a programme	Director	Contribution margin, competitor pricing and demand
Capital expenditure on equipment or premises	Director / promoters	Availability of reserves and expected utilisation
Marketing campaign above the monthly allocation	Director	Expected cost per enrolment and channel history

4.9 Role of Technology in Financial Management

The organisation has progressively adopted spreadsheet-based and basic accounting software tools to bring greater accuracy and speed to its financial processes, moving away from the manual registers used in its early years of operation. This gradual digitisation was observed to reduce reconciliation errors, speed up the generation of receipts and invoices, and provide the Director with quicker access to summary financial information for decision-making, illustrating the broader trend among small and medium enterprises in India towards the adoption of digital financial tools even in the absence of a full-fledged Enterprise Resource Planning system.

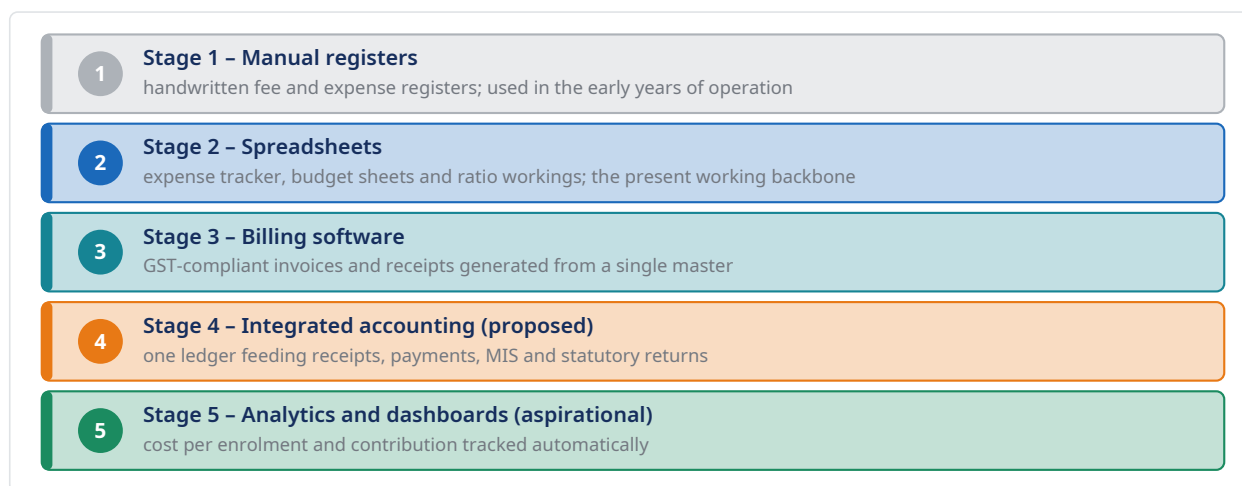


Figure 4.8: Digitisation ladder of the finance function: the organisation currently operates across stages two and three.

4.10 Internal Control Environment

Internal control refers to the policies and procedures adopted by an organisation to ensure the orderly and efficient conduct of its business, including adherence to management policies, safeguarding of assets, prevention and detection of fraud and error, accuracy and completeness of accounting records, and timely preparation of reliable financial information. Even though Infinity Interns is a small enterprise not statutorily required to maintain the elaborate internal control frameworks mandated for larger listed companies, several sound internal control practices were nonetheless observed during the internship.

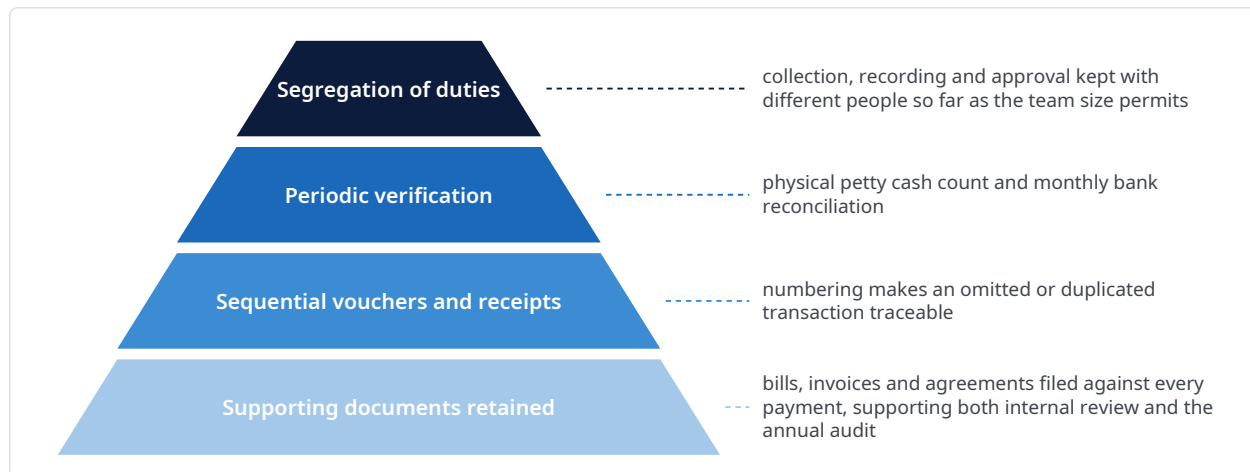


Figure 4.9: Internal control practices observed, arranged from the routine documentary base upward to the segregation of duties.

These practices, while modest in scale compared to the internal control frameworks of large corporations, reflect a reasonable and proportionate approach for an organisation of this size, and were observed to function effectively in preventing and detecting the kind of small errors and discrepancies that are common in any organisation handling daily cash transactions. A defined approval hierarchy for expenditure above specified thresholds, as set out in Section 4.8, completes the framework.

4.11 Taxation and Statutory Compliance Considerations

As a private limited company providing taxable services, Infinitya1 Career Counselling Private Limited is required to comply with the applicable provisions of the Goods and Services Tax law, the Income Tax Act and the Companies Act, 2013. During the internship, exposure was gained to the process of verifying that fee invoices raised to corporate clients correctly reflected the applicable GST rate and the company's GST registration details, and that vendor invoices received by the company similarly complied with GST invoicing requirements so as to enable the company to claim eligible input tax credit.

Table 4.7: Statutory compliance calendar and the finance function's role

Compliance obligation	Periodicity	Responsibility observed	Role of the finance function
GST return filing and payment	Monthly / quarterly	External chartered accountant	Provides invoice-wise sales and purchase data
Input tax credit reconciliation	Monthly	Finance executive with the accountant	Verifies vendor invoices and GST details
TDS deduction on specified payments	At the time of payment	Finance executive	Deducts on trainer honorarium and professional fees
TDS return filing	Quarterly	External chartered accountant	Supplies the payment and deduction schedule
Advance tax instalments	Quarterly	Director with the accountant	Estimates profit for the instalment computation

Compliance obligation	Periodicity	Responsibility observed	Role of the finance function
Annual accounts and audit	Annual	External chartered accountant	Provides ledgers, vouchers and supporting files
Annual return to the Registrar of Companies	Annual	External chartered accountant	Supplies financial statements and particulars

While the detailed preparation and filing of statutory returns is handled by the company's external chartered accountant, the finance team within the organisation is responsible for maintaining the underlying transaction records in a manner that facilitates smooth and timely compliance. This coordination between the internal finance function and the external compliance professional was observed to be an important, if often understated, dimension of overall financial management in a small private limited company.

CHAPTER 5

BUDGETING AND COST CONTROL

This chapter presents the budgeting work carried out during the internship: the types of budget the organisation prepares, a complete illustrative batch budget with its break-even and sensitivity analysis, the cost control practices observed, a monthly variance analysis, and the annual operating budget that ties the individual batches together.

5.1 Meaning and Importance of Budgeting

A budget is a quantitative statement, prepared in advance of a defined period, of the policy to be pursued during that period for the purpose of attaining a given objective. Budgeting is the process of preparing such statements and using them for planning, coordination and control. For an organisation such as Infinity Interns, budgeting serves the vital function of translating the Director's strategic intentions, such as launching a new training vertical or expanding to a second city, into specific, measurable financial targets that can be monitored and acted upon.

The importance of budgeting for a growing small enterprise cannot be overstated. In the absence of a formal budget, expenditure tends to be reactive and unplanned, revenue targets remain vague, and it becomes difficult to evaluate whether a particular programme or vertical is financially viable. During the internship, it was observed that the organisation had begun to formalise its budgeting process over the preceding year, moving from an informal, intuition-based approach to a more structured, spreadsheet-driven monthly and batch-wise budgeting exercise.

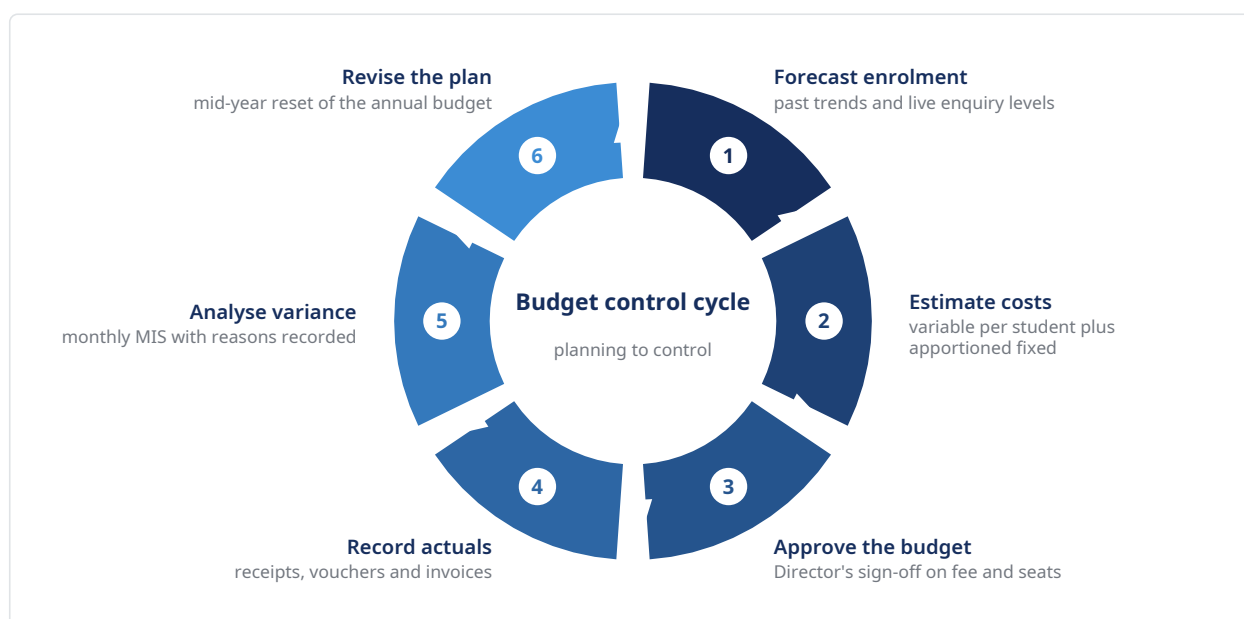


Figure 5.1: The budget cycle as practised: a loop in which the variance analysis of one period becomes the planning input of the next.

5.2 Types of Budgets Prepared by the Organisation

During the internship period, exposure was gained to four categories of budget prepared or used by the organisation. They form a hierarchy: the annual operating budget sets the frame, the monthly cash budget protects liquidity within that frame, and the batch-wise and departmental budgets control the individual decisions that make up the year.

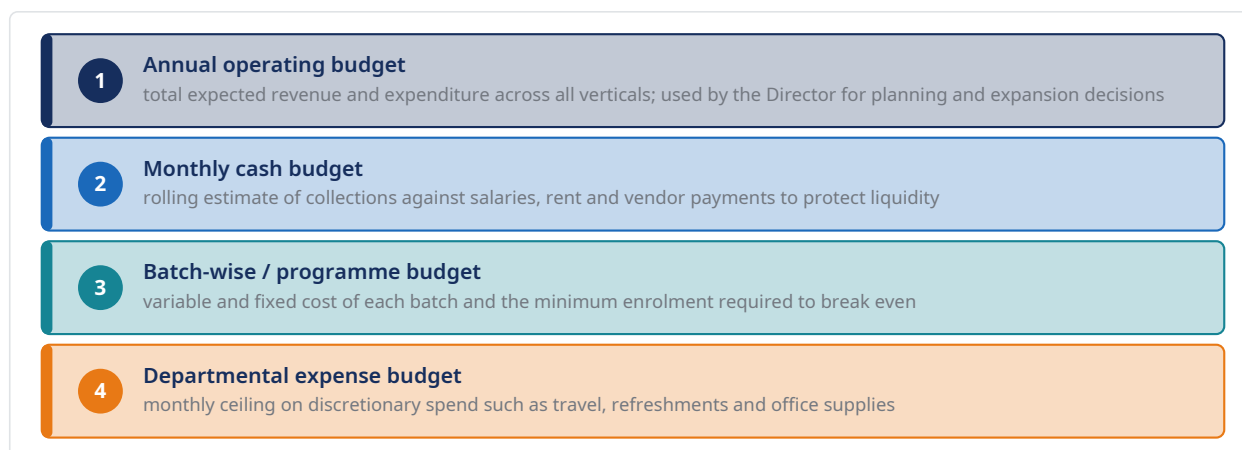


Figure 5.2: Hierarchy of budgets prepared by the organisation, from the annual frame down to departmental discretionary limits.

5.3 Illustrative Batch Budget – Skill Development Programme

As part of the internship assignment described in Section 3.4.4, the intern assisted in preparing an illustrative budget for a batch of thirty students for a six-week skill-development training programme. This budget, based on figures discussed with the finance team and adjusted for confidentiality, is reproduced below.

Table 5.1: Illustrative batch budget for a skill development training programme (30 students)

Particulars	Basis	Amount (₹)
Number of students in the batch	Planned capacity	30
Fee per student	Approved fee for the programme	6,500
Total expected revenue	30 students x ₹ 6,500	1,95,000
Variable cost per student	Material, certificate, refreshment	2,500
Total variable cost	30 students x ₹ 2,500	75,000
Trainer honorarium	Fixed for the batch	36,000
Venue and utilities apportioned	Fixed for the batch	18,000
Marketing apportioned to the batch	Fixed for the batch	12,000
Total fixed cost for the batch	Sum of the three fixed heads	66,000
Total cost	Variable plus fixed	1,41,000
Expected surplus	Revenue less total cost	54,000
Contribution margin per student	₹ 6,500 less ₹ 2,500	4,000

Particulars	Basis	Amount (₹)
Break-even enrolment	₹ 66,000 divided by ₹ 4,000	17 students

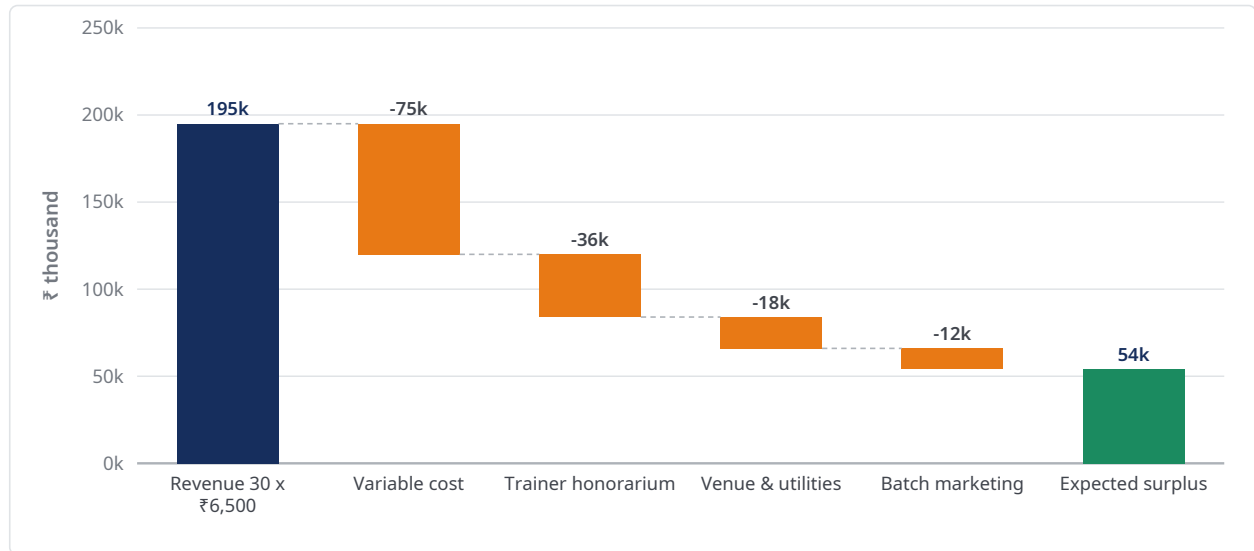


Figure 5.3: Walk from batch revenue to batch surplus; the variable cost block is the only one that moves with enrolment.

5.4 Break-Even Analysis

Break-even analysis, a direct application of cost-volume-profit relationships, was used during the internship to determine the minimum number of student enrolments required for a training batch to cover its total cost without incurring a loss. Using the figures above, with a fixed cost of ₹ 66,000 for the batch and a variable cost of ₹ 2,500 per student against a fee of ₹ 6,500 per student, the contribution margin per student works out to ₹ 4,000. Dividing the total fixed cost by the contribution margin per student gives a break-even enrolment of approximately seventeen students, since 66,000 divided by 4,000 equals 16.5, which is rounded up to the next whole student.

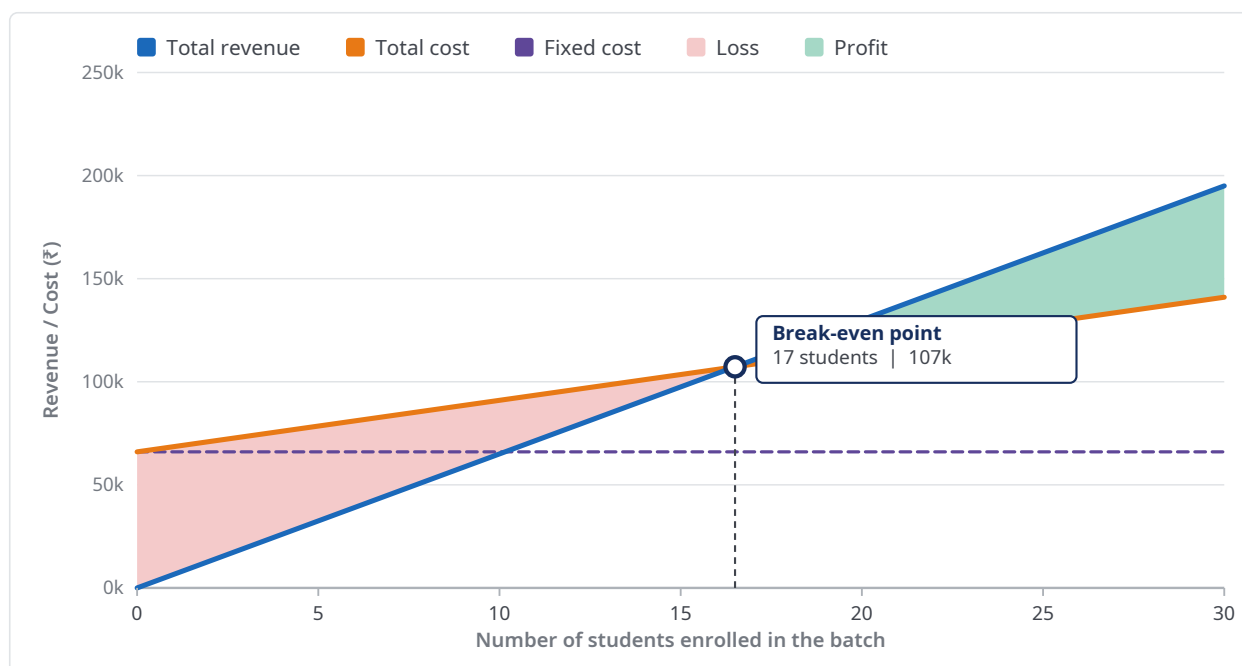


Figure 5.4: Cost-volume-profit chart for the illustrative batch: the batch turns profitable at the seventeenth enrolment.

Every enrolment beyond the seventeenth adds ₹ 4,000 directly to the organisation's surplus, because the fixed cost of the batch has already been recovered. Equally, every seat left unfilled below seventeen costs the organisation ₹ 4,000 of contribution it can never recover, since an unsold seat in a scheduled batch cannot be stored and sold later. This asymmetry is why the break-even framework was found to be actively used by management while deciding whether to proceed with a proposed batch or to postpone it when pre-enrolment numbers appeared insufficient, and it illustrates the direct practical relevance of a concept taught in the financial management curriculum.

MARGIN OF SAFETY AT THE PLANNED ENROLMENT

At the planned thirty students the batch operates thirteen students above break-even, a margin of safety of about 43 per cent of planned enrolment. A batch planned at twenty students would carry a margin of safety of only 15 per cent, which is the practical reason the organisation prefers to consolidate two thin batches into one full batch rather than run both.

5.5 Sensitivity of Batch Surplus to Enrolment

Because the break-even point is a single figure, it does not by itself convey how quickly the result deteriorates if enrolment falls short. The sensitivity analysis below, prepared as an extension of the budgeting assignment, sets out the surplus or deficit of the same batch at different enrolment levels.

Table 5.2: Sensitivity of batch surplus to the level of enrolment

Students enrolled	Revenue (₹)	Variable cost (₹)	Contribution (₹)	Fixed cost (₹)	Surplus / (deficit) (₹)
12	78,000	30,000	48,000	66,000	(18,000)
15	97,500	37,500	60,000	66,000	(6,000)
17	1,10,500	42,500	68,000	66,000	2,000
20	1,30,000	50,000	80,000	66,000	14,000
24	1,56,000	60,000	96,000	66,000	30,000
27	1,75,500	67,500	1,08,000	66,000	42,000
30	1,95,000	75,000	1,20,000	66,000	54,000

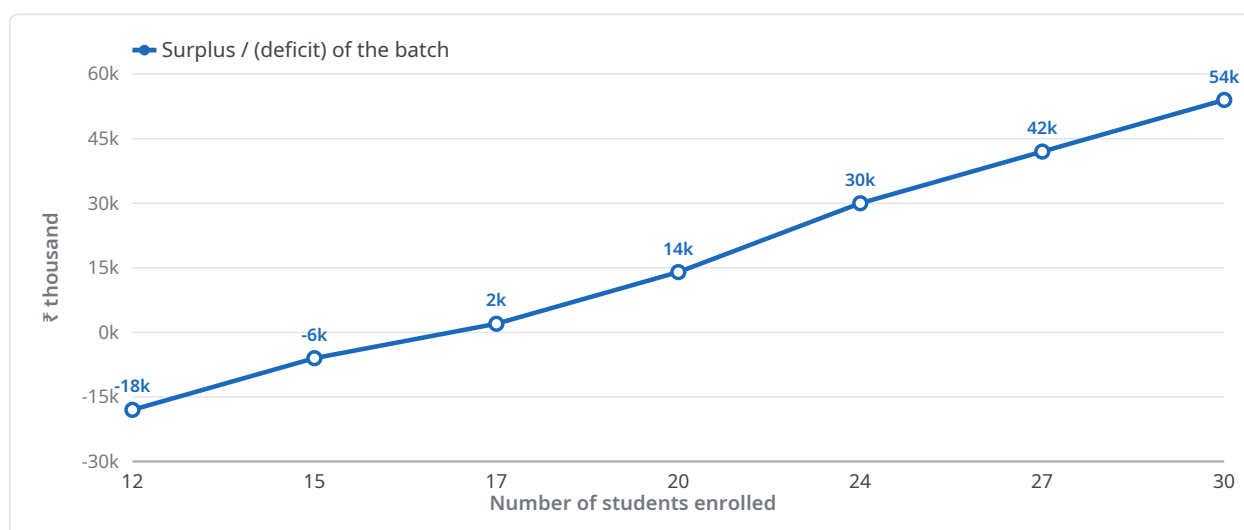


Figure 5.5: Surplus of the batch at different enrolment levels; the line crosses zero between the sixteenth and seventeenth student.

The analysis shows that the batch swings from a deficit of ₹ 18,000 at twelve students to a surplus of ₹ 54,000 at thirty students, a range of ₹ 72,000 driven entirely by eighteen enrolments. For management this quantifies the value of the final few enrolments in a batch and, by extension, the value of the marketing effort that produces them, which is the link between this chapter and the channel analysis in Section 5.9.

5.6 Cost Control Techniques Observed

Several cost control techniques were observed during the internship, reflecting the organisation's efforts to manage its cost structure prudently despite its small scale of operations.



Figure 5.6: Cost control techniques in use, each of which the intern observed or participated in during the internship.

5.7 Budgetary Variance Analysis

As part of the monthly MIS exercise described in Section 3.4.6, the intern assisted in preparing a variance analysis comparing budgeted and actual figures for a representative month during the internship period. An illustrative version, with figures adjusted for confidentiality while preserving the proportional relationships observed, is presented below. A favourable variance is marked (F) and an adverse variance (A).

Table 5.3: Illustrative monthly budget variance analysis

Particulars	Budgeted (₹)	Actual (₹)	Variance (₹)	Remarks
Fee collection	3,80,000	4,15,000	+35,000 (F)	Higher enrolment in the training vertical
Employee cost	1,60,000	1,60,000	Nil	As per plan
Marketing expenditure	45,000	58,000	-13,000 (A)	Additional campaign run mid-month
Rent & utilities	35,000	35,000	Nil	Fixed monthly charge
Administrative expenses	25,000	22,500	+2,500 (F)	Savings in stationery & printing
Net surplus for the month	1,15,000	1,38,500	+23,500 (F)	Overall favourable performance

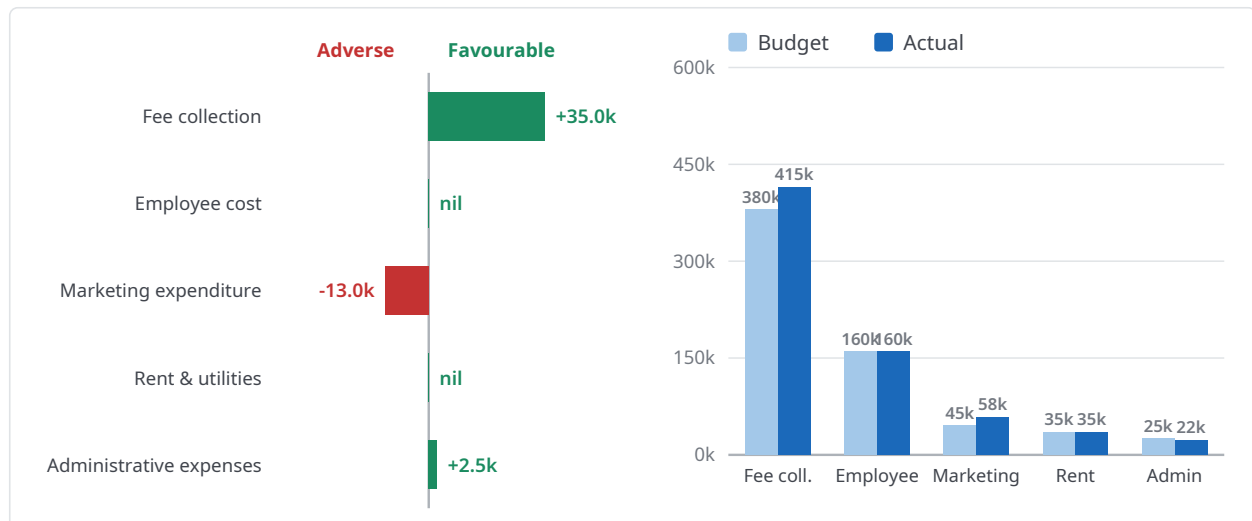


Figure 5.7: Variance by head, favourable to the right and adverse to the left (left panel), with budget against actual for the same heads (right panel).

The illustrative variance analysis indicates a favourable variance in fee collection, arising from higher-than-expected enrolment in the training vertical, and a marginally unfavourable variance in marketing expenditure, attributable to a mid-month decision to run an additional promotional campaign to capitalise on the strong enrolment momentum. It is worth noting that the adverse marketing variance of ₹ 13,000 was incurred deliberately to secure the favourable collection variance of ₹ 35,000, which is precisely the distinction between an adverse variance and a bad decision. Such exercises were found to be a valuable management tool for understanding not merely whether actual performance deviated from the plan, but why it deviated, and whether the underlying cause warranted a change in future budgets or merely represented a one-off event.

5.8 Illustrative Annual Operating Budget

In addition to the batch-level budget discussed above, the organisation prepares a consolidated annual operating budget aggregating expected revenue and expenditure across its service verticals. An illustrative version, structured on the pattern discussed with the finance team and consistent with the income-statement figures used in Chapter 6, is presented below.

Table 5.4: Illustrative annual operating budget, vertical-wise

Particulars	Career counselling (₹)	Training programmes (₹)	Internship facilitation (₹)	Total (₹)
Revenue	16,80,000	20,40,000	10,80,000	48,00,000
Direct / variable costs	3,20,000	7,80,000	2,50,000	13,50,000
Apportioned fixed costs	5,40,000	6,60,000	3,50,000	15,50,000
Contribution to overheads & profit	8,20,000	6,00,000	4,80,000	19,00,000

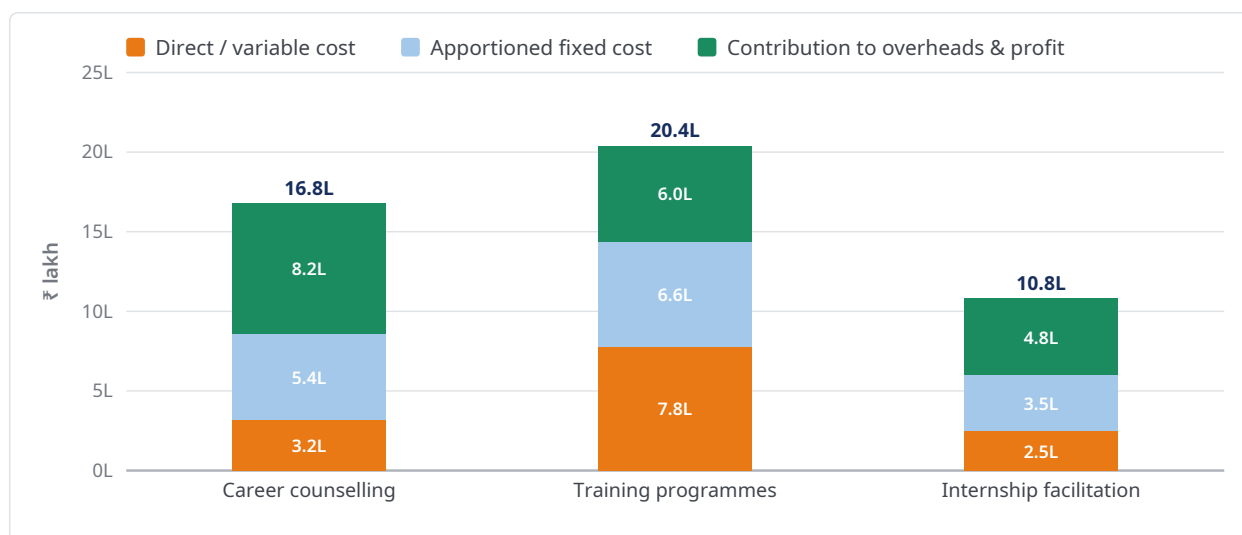


Figure 5.8: Annual budget by vertical: the height of each bar is the vertical's revenue, split into cost and contribution.

This annual budget serves as the master planning document against which monthly and quarterly performance is tracked, and it forms the starting point for the batch-wise and departmental budgets discussed earlier in this chapter. It was observed that the annual budget is typically revised once at the mid-year point in the light of actual performance during the first two quarters, reflecting a sensible balance between the stability needed for planning and the flexibility needed to respond to actual market conditions.

5.9 Zero-Based Thinking in Discretionary Expenses

Although the organisation does not formally practise Zero-Based Budgeting in the strict technical sense of justifying every line item from a zero base each period, a similar discipline was observed in respect of discretionary expenditure such as marketing campaigns and event sponsorships, where each proposed expenditure was required to be justified afresh in terms of its expected return rather than being renewed automatically from the previous period's allocation. The channel analysis reproduced below is the working that supports this discipline.

Table 5.5: Indicative effectiveness of marketing channels

Marketing channel	Spend (₹ lakh)	Cost per enquiry (₹)	Enquiry-to-enrolment conversion	Cost per enrolment (₹)
School and college outreach drives	1.35	48	14.0%	343
Student referral and word of mouth	0.55	18	22.0%	82
Digital advertising (search and social)	1.70	62	9.0%	689
Organic social media and content	0.45	24	11.0%	218
Print advertising and hoardings	0.75	95	4.0%	2,375

Cost per enrolment is derived as cost per enquiry divided by the conversion rate; figures are indicative and were used for relative comparison, not for external benchmarking.

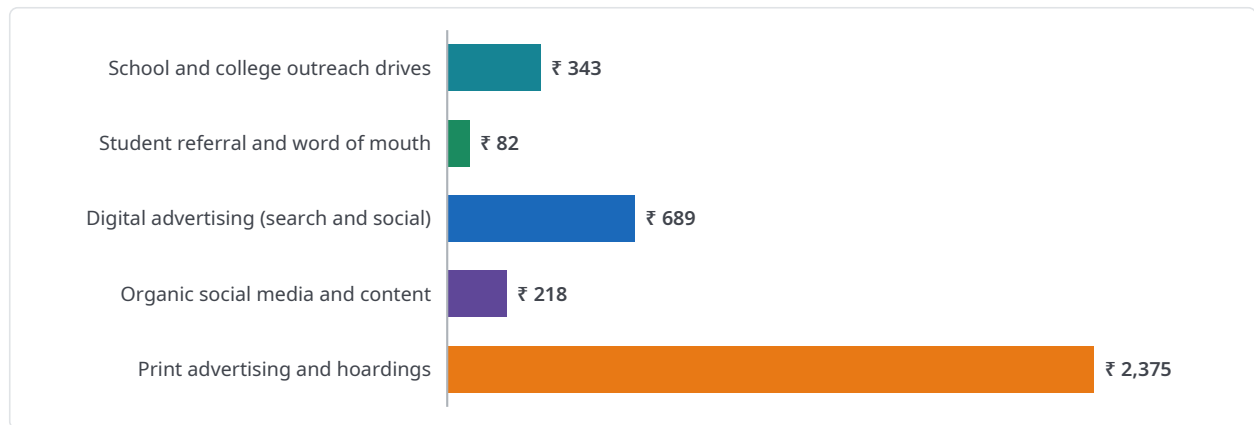


Figure 5.9: Indicative cost per enrolment by marketing channel; referral and institutional outreach are an order of magnitude cheaper than print advertising.

Referral and school outreach acquire an enrolment at a small fraction of the cost of print advertising, which is why the organisation has progressively shifted spend towards the former. This pragmatic, hybrid approach — incremental budgeting for fixed and recurring costs combined with zero-based justification for discretionary costs — appeared well suited to the size and stage of growth of the organisation.

CHAPTER 6

RATIO AND FINANCIAL ANALYSIS

This chapter converts the illustrative financial statements of the organisation into ratios, and then interprets them: liquidity, profitability, efficiency and solvency, followed by common-size and trend analysis, a DuPont decomposition of the return on equity, a comparison with indicative sector benchmarks and a consolidated summary.

6.1 Purpose of Ratio Analysis

Ratio analysis is one of the most widely used tools of financial statement analysis, converting raw accounting figures into meaningful relationships that facilitate comparison across time periods, against industry benchmarks, or against the organisation's own targets. For the purpose of this report, an illustrative set of financial statements, consistent in structure and proportion with the figures observed during the internship but adjusted in absolute value to preserve the confidentiality of the organisation's actual accounts, has been used to demonstrate the application of ratio analysis to a service-sector small enterprise.

AN IMPORTANT QUALIFICATION

The figures presented in this chapter are illustrative and prepared for academic purposes. They reflect the proportions and relationships genuinely observed during the internship rather than the exact audited figures of Infinitya1 Career Counselling Private Limited, which remain confidential in accordance with the organisation's policy. Every ratio below is therefore an exercise in method, not a certified statement of the company's position.

6.2 Illustrative Statement of Profit and Loss

The illustrative income statement for the financial year under review, structured on the pattern observed during the internship, is presented below, with each item also expressed as a percentage of revenue so that the common-size analysis of Section 6.8 follows directly from it.

Table 6.1: Illustrative statement of profit and loss for the year

Particulars	Amount (₹)	% of revenue
Revenue from operations (counselling, training & internship facilitation fees)	48,00,000	100.0%
Less: Employee benefit expenses (salaries, trainer honorarium)	19,50,000	40.6%
Less: Training material & programme costs	5,50,000	11.5%
Less: Marketing & promotional expenses	4,80,000	10.0%
Less: Rent & utilities	4,20,000	8.7%
Less: Other administrative expenses	2,50,000	5.2%

Particulars	Amount (₹)	% of revenue
Less: Depreciation & amortisation	74,800	1.6%
Operating profit (EBIT)	10,75,200	22.4%
Less: Finance costs	37,200	0.8%
Profit before tax (PBT)	10,38,000	21.6%
Less: Provision for taxation	1,50,000	3.1%
Profit after tax (PAT / net profit)	8,88,000	18.5%

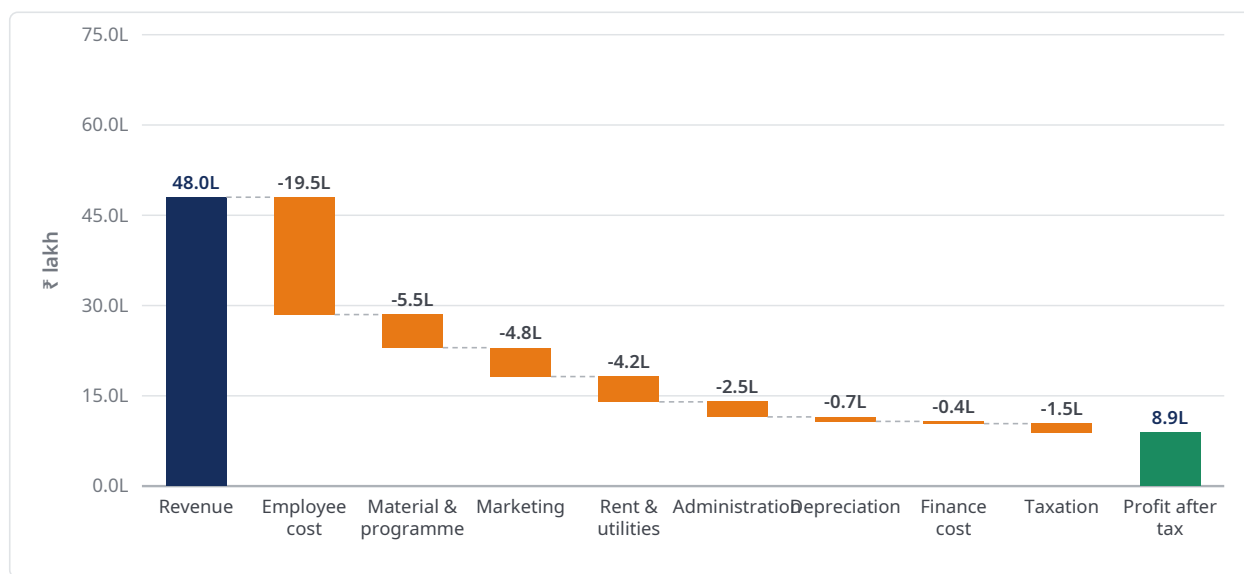


Figure 6.1: Walk from revenue to profit after tax; employee cost alone absorbs two-fifths of revenue.

6.3 Illustrative Balance Sheet

The illustrative balance sheet as at the end of the financial year under review is presented below, followed by a graphical view of the same information which makes the asset-light nature of the current assets and the equity-dominated funding structure immediately visible.

Table 6.2: Illustrative balance sheet as at the year-end

Particulars	Amount (₹)
I. EQUITY AND LIABILITIES	
1. Shareholders' funds	
(a) Share capital	10,00,000
(b) Reserves and surplus	25,25,000
Total shareholders' funds	35,25,000
2. Non-current liabilities	
Long-term borrowings	8,45,000
3. Current liabilities	
(a) Trade payables	4,00,000
(b) Other current liabilities and provisions	3,00,000

Particulars	Amount (₹)
Total current liabilities	7,00,000
TOTAL EQUITY AND LIABILITIES	50,70,000
II. ASSETS	
1. Non-current assets	
(a) Fixed assets (net block)	35,26,000
(b) Non-current investments	2,00,000
Total non-current assets	37,26,000
2. Current assets	
(a) Inventories (study material and consumables)	1,47,000
(b) Trade receivables	5,00,000
(c) Cash and bank balances	5,97,000
(d) Other current assets (prepaid expenses)	1,00,000
Total current assets	13,44,000
TOTAL ASSETS	50,70,000

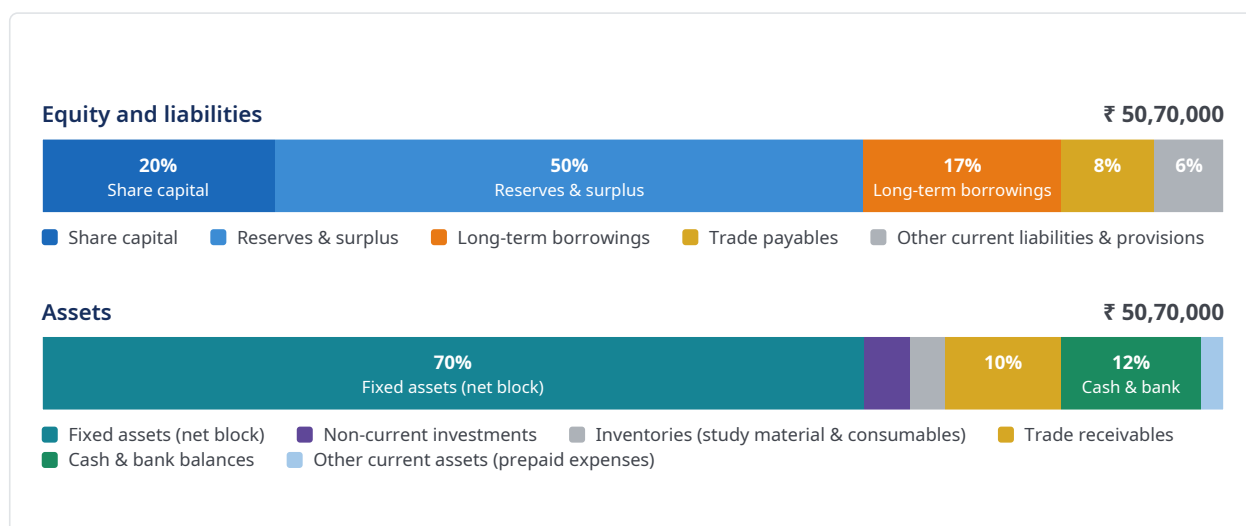


Figure 6.2: Composition of the balance sheet: shareholders' funds finance 70 per cent of the total, and fixed assets absorb 70 per cent of it.

6.4 Liquidity Ratios

Liquidity ratios measure the organisation's ability to meet its short-term obligations as they fall due, and are of particular relevance for a service organisation dependent on the timely collection of student and corporate fees.

Table 6.3: Liquidity ratios

Ratio	Formula	Computation	Result	Indicative norm
Current ratio	Current assets / current liabilities	13,44,000 / 7,00,000	1.92 : 1	1.3 to 2.0 : 1
Quick (acid-test) ratio	(Current assets – inventory) / current liabilities	11,97,000 / 7,00,000	1.71 : 1	1.0 : 1 and above
Cash ratio	Cash and bank / current liabilities	5,97,000 / 7,00,000	0.85 : 1	0.5 : 1 and above
Net working capital	Current assets – current liabilities	13,44,000 – 7,00,000	₹ 6,44,000	Positive

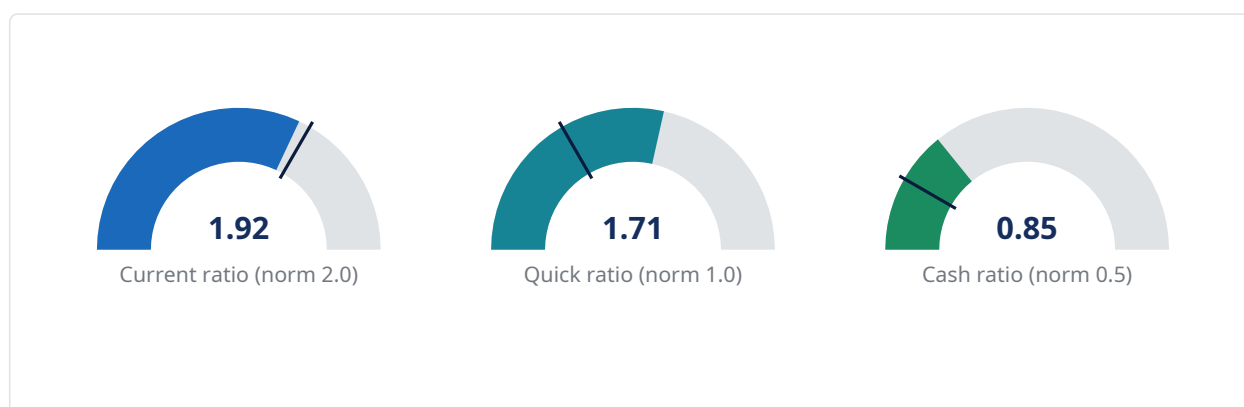


Figure 6.3: Liquidity ratios against their indicative norms; the marker on each dial shows the conventional benchmark.

The current ratio of 1.92:1 indicates that the organisation holds nearly twice the current assets required to cover its current liabilities, a comfortable position for a service enterprise of this scale and only marginally below the conventionally cited norm of 2:1. The quick ratio, which excludes the relatively illiquid inventory of study material, remains healthy at 1.71:1 and reinforces the conclusion that the organisation is well placed to meet its immediate obligations, including staff salaries and vendor payments, without resorting to emergency borrowing. The cash ratio of 0.85:1 shows that cash alone covers 85 per cent of current liabilities, which is a strong position and suggests that a modest portion of the cash balance could be redeployed into productive investment without endangering short-term solvency.

6.5 Profitability Ratios

Profitability ratios assess the organisation's ability to generate surplus in relation to its revenue, its assets and the capital employed in the business.

Table 6.4: Profitability ratios

Ratio	Formula	Computation	Result
Operating profit margin	EBIT / revenue x 100	10,75,200 / 48,00,000 x 100	22.4%
Net profit margin	Net profit / revenue x 100	8,88,000 / 48,00,000 x 100	18.5%
Return on equity (ROE)	Net profit / shareholders' funds x 100	8,88,000 / 35,25,000 x 100	25.2%
Return on capital employed (ROCE)	EBIT / capital employed x 100	10,75,200 / 43,70,000 x 100	24.6%
Return on total assets (ROA)	Net profit / total assets x 100	8,88,000 / 50,70,000 x 100	17.5%

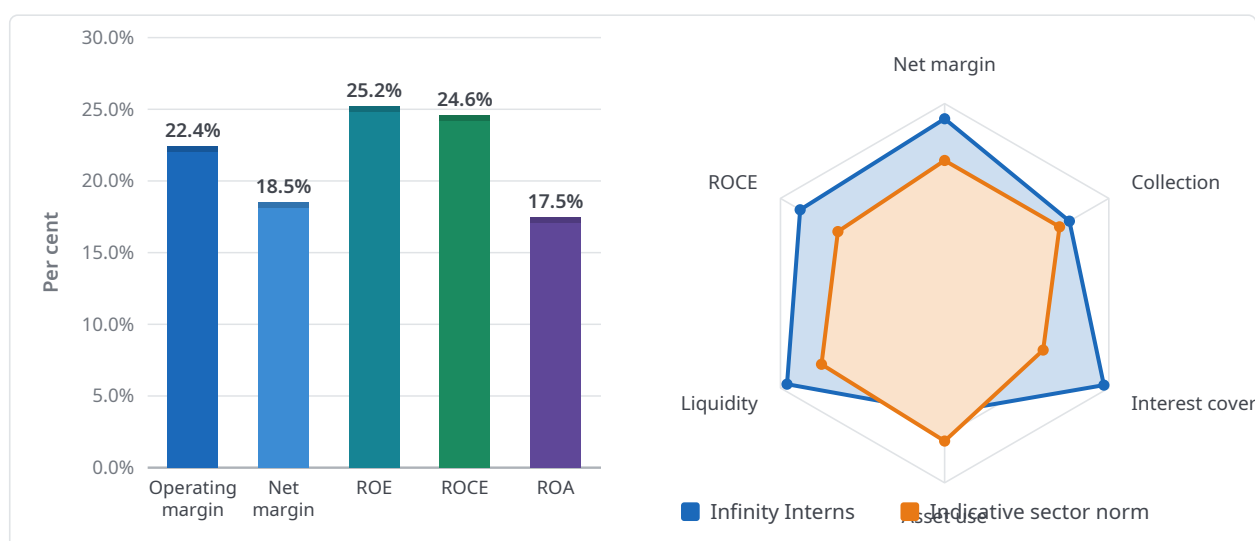


Figure 6.4: Profitability ratios (left) and a normalised comparison of the organisation's financial profile against indicative sector norms (right), where each axis is scored out of 100.

A net profit margin of approximately 18.5 per cent reflects a healthy surplus for a service-sector enterprise of this nature, indicating that the organisation retains a reasonable portion of every rupee of fee income after meeting all operating and non-operating expenses. The operating profit margin of 22.4 per cent, being higher than the net margin, reflects the effect of finance cost and taxation, and is consistent with an organisation that relies minimally on external borrowing and therefore bears only a modest finance cost. The return on capital employed of 24.6 per cent suggests that the promoters' invested capital is being deployed efficiently to generate returns well above what could typically be earned through passive investment avenues, which is a favourable sign for the sustainability and attractiveness of the business. The radar chart also makes the one weak axis visible: asset utilisation, which is examined next.

6.6 Efficiency / Activity Ratios

Efficiency ratios measure how effectively the organisation utilises its resources and manages its receivables.

Table 6.5: Efficiency and activity ratios

Ratio	Formula	Computation	Result
Debtors' turnover ratio	Revenue / trade receivables	48,00,000 / 5,00,000	9.6 times
Average collection period	365 / debtors' turnover ratio	365 / 9.6	About 38 days
Fixed asset turnover ratio	Revenue / net fixed assets	48,00,000 / 35,26,000	1.36 times
Total asset turnover ratio	Revenue / total assets	48,00,000 / 50,70,000	0.95 times
Working capital turnover	Revenue / net working capital	48,00,000 / 6,44,000	7.45 times

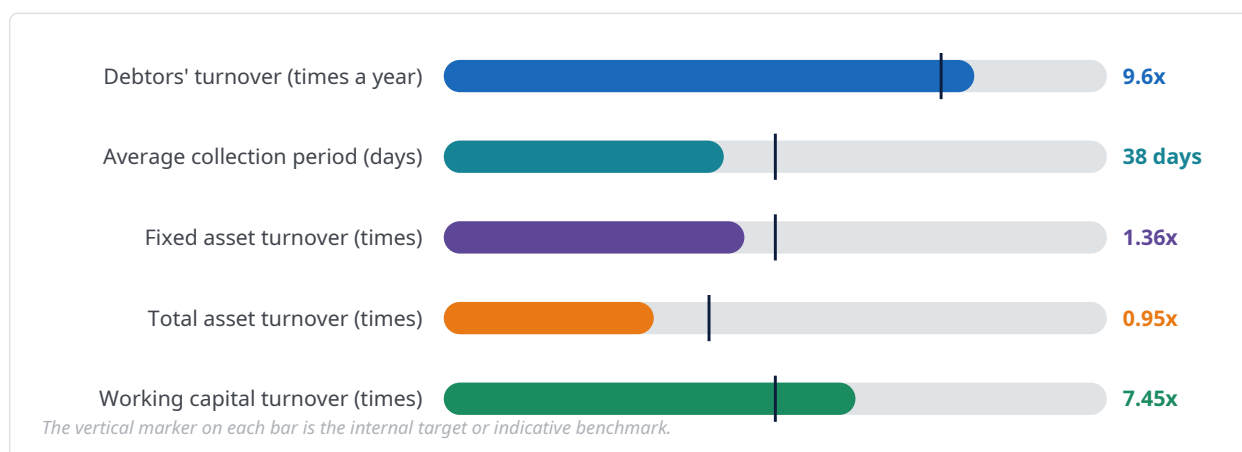


Figure 6.5: Efficiency ratios against internal targets: collection is comfortably inside target, while asset turnover falls short.

The debtors' turnover ratio of 9.6 times a year, translating to an average collection period of about thirty-eight days, is a reasonable figure for a service organisation that follows a policy of substantial advance collection at the time of enrolment, with only a limited portion of fees collected on a deferred basis, primarily in the internship-facilitation vertical where payment is sometimes contingent on placement outcomes. Continued monitoring of this ratio is advisable as that vertical grows, since a lengthening collection period there could exert pressure on overall liquidity.

Total asset turnover of 0.95 times means the organisation generates ninety-five paise of revenue for every rupee invested in assets. Read together with the facility utilisation figures in Section 2.11, this is the clearest quantitative evidence that the existing premises and equipment could support a materially larger volume of batches and counselling sessions without proportionate additional investment — which is why improving utilisation, rather than raising fees, is identified in Chapter 9 as the most promising route to a higher return on equity.

6.7 Solvency / Leverage Ratios

Solvency ratios assess the extent to which the organisation relies on external borrowing as opposed to owners' funds, and the consequent long-term financial risk.

Table 6.6: Solvency and leverage ratios

Ratio	Formula	Computation	Result
Debt-equity ratio	Long-term debt / shareholders' funds	8,45,000 / 35,25,000	0.24 : 1
Total debt ratio	Total debt / total assets	8,45,000 / 50,70,000	16.7%
Proprietary ratio	Shareholders' funds / total assets	35,25,000 / 50,70,000	69.5%
Interest coverage ratio	EBIT / finance cost	10,75,200 / 37,200	28.9 times

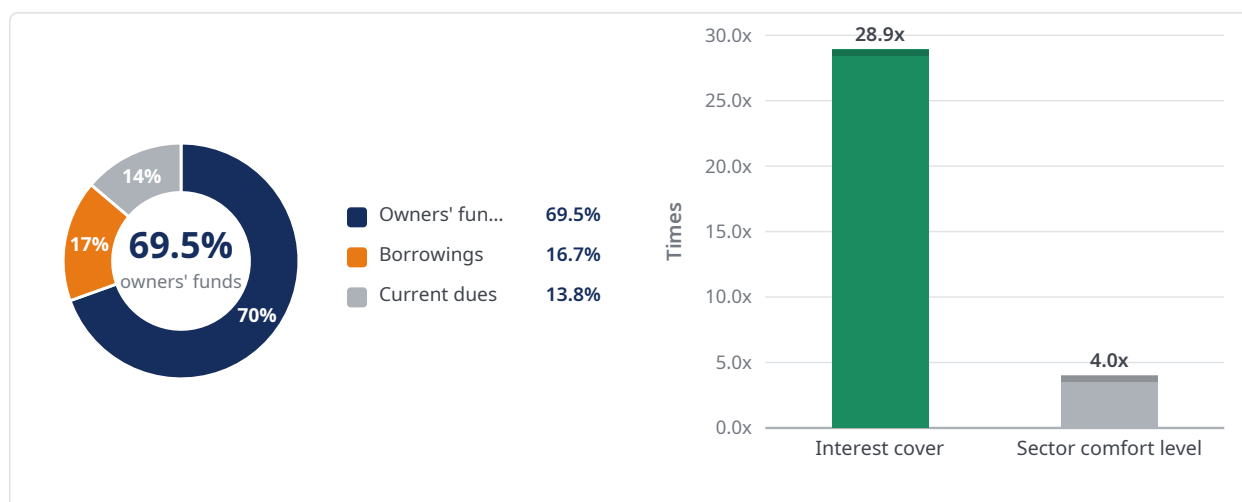


Figure 6.6: Capital structure of the organisation (left) and its interest coverage against a commonly cited comfort level of four times (right).

A debt-equity ratio of 0.24:1 indicates that the organisation relies predominantly on owners' funds rather than external borrowing to finance its operations and modest capital expenditure, a conservative capital structure that minimises financial risk and fixed interest obligations. Interest is covered almost twenty-nine times over by operating profit, so the debt burden is trivial in servicing terms. The same conservatism, however, implies that the organisation is not using the potential benefits of financial leverage, such as a lower overall cost of capital, that could be available were it to increase its use of debt responsibly to fund future expansion such as the establishment of a second training centre.

6.8 Common-Size and Trend Analysis

A common-size analysis, which expresses each item of the income statement as a percentage of total revenue, was carried out to understand the relative weight of the different cost heads. Employee-related costs, comprising trainer honorariums, counsellor salaries and administrative staff salaries, together constitute the single largest cost category, consistent with the labour-intensive nature of a career counselling and training business, followed by material, marketing and rent.

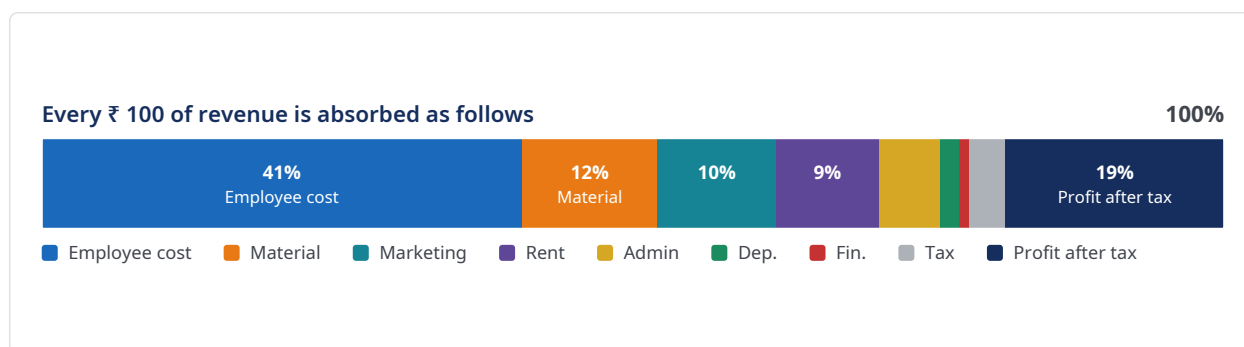


Figure 6.7: Common-size view of the income statement: the disposition of every hundred rupees of fee income.

A limited trend analysis, based on discussion with the finance executive regarding the growth in enrolment and revenue over the preceding two years, indicated consistent year-on-year growth in both the counselling and training verticals, with the internship-facilitation vertical showing more volatile but generally increasing revenue, reflecting its relative novelty and its dependence on the strength of corporate partnerships, which the organisation has been actively working to expand.

Table 6.7: Three-year trend in revenue and profitability (indicative)

Particulars	FY – 2	FY – 1	FY 0 (year under review)
Revenue (₹)	31,20,000	39,50,000	48,00,000
Revenue index (base = 100)	100	127	154
Year-on-year growth	–	26.6%	21.5%
Net profit margin	14.2%	16.4%	18.5%
Net profit (₹)	4,43,040	6,47,800	8,88,000

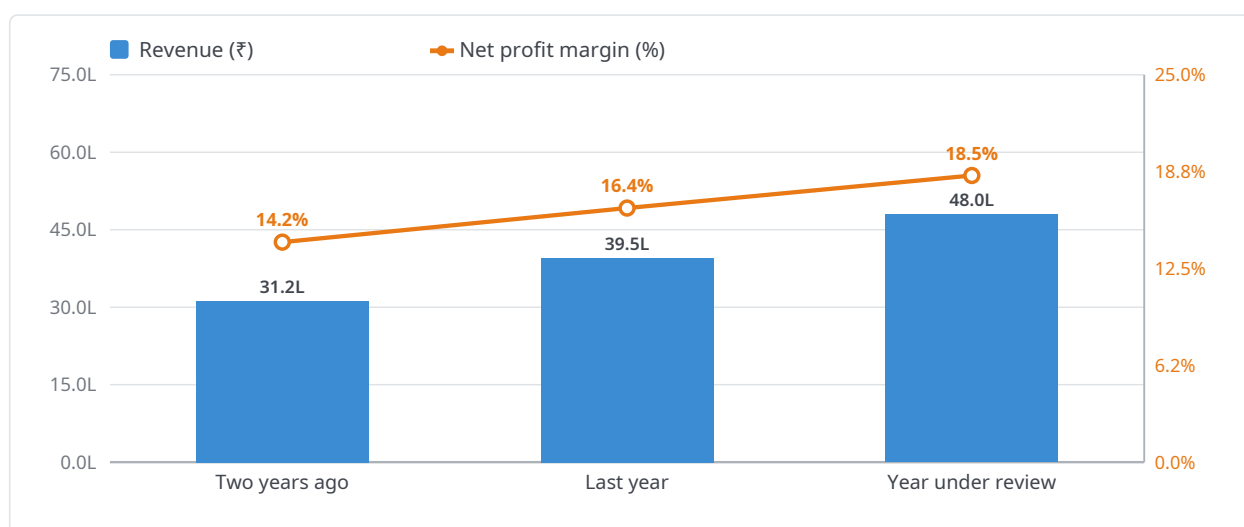


Figure 6.8: Revenue has grown by about 54 per cent over two years while the net margin has improved by four percentage points, indicating operating leverage rather than mere volume growth.

The simultaneous improvement in revenue and in margin is analytically significant: it indicates

that the additional revenue is being earned without a proportionate increase in the fixed cost base, which is exactly the behaviour predicted by the cost structure described in Section 4.5, where nearly three-quarters of costs are fixed. If the trend continues, each additional batch should contribute progressively more to the surplus.

6.9 DuPont Analysis of Return on Equity

The DuPont framework decomposes return on equity into three constituent components — net profit margin, asset turnover and financial leverage — thereby providing deeper insight into the specific drivers of the organisation's return to its shareholders, rather than treating the return as a single, undifferentiated figure.

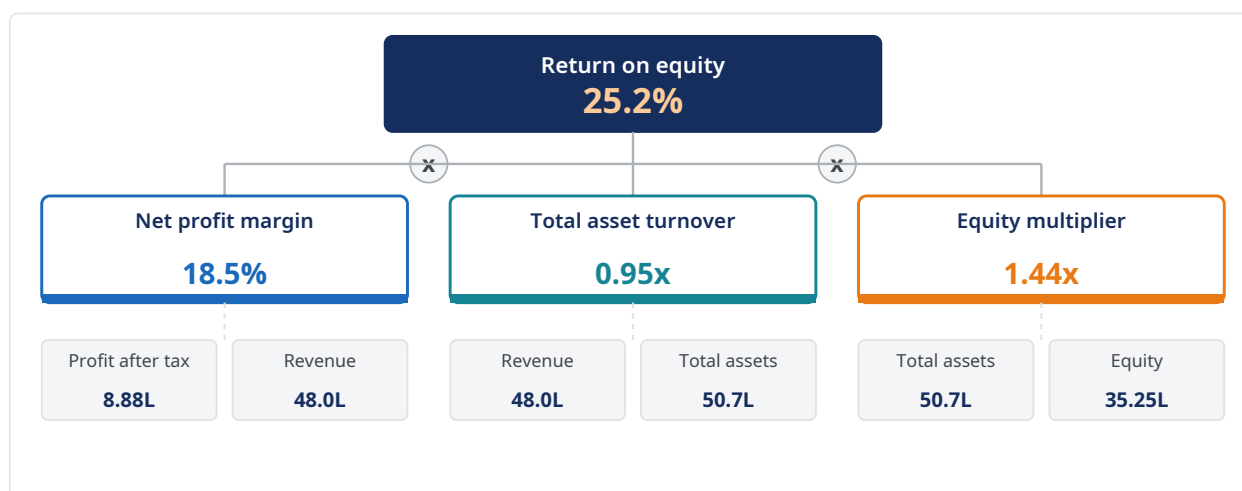


Figure 6.9: DuPont decomposition of the return on equity into margin, asset turnover and leverage.

Using the illustrative figures developed in this chapter, the return on equity may be expressed as a net profit margin of 18.5 per cent multiplied by a total asset turnover of 0.95 times multiplied by an equity multiplier of 1.44 times, which yields approximately 25.2 per cent and reconciles closely with the return on equity independently computed in Section 6.5.

This decomposition reveals that the organisation's healthy return on equity is driven primarily by a strong net profit margin rather than by aggressive use of financial leverage or rapid asset turnover, both of which remain moderate. It follows that any future improvement in return on equity is more likely to come from improving asset utilisation, for instance by running more batches and counselling sessions from the same physical infrastructure, than from a significant increase in financial leverage, which would raise the organisation's risk profile. The table below quantifies that proposition.

Table 6.8: What would move the return on equity: an illustrative DuPont sensitivity

Scenario	Net margin	Asset turnover	Equity multiplier	Resulting ROE
Position in the year under review	18.5%	0.95x	1.44x	25.2%
Utilisation improved to 1.15 times asset turnover	18.5%	1.15x	1.44x	30.6%
Margin improved by one percentage point	19.5%	0.95x	1.44x	26.6%
Leverage raised to an equity multiplier of 1.70	18.5%	0.95x	1.70x	29.8%

Improving utilisation delivers a larger gain than additional borrowing, and without the accompanying risk.

6.10 Comparison with Indicative Industry Benchmarks

While detailed, published industry-wide financial benchmarks specific to small career counselling and training enterprises in India are not widely available in the public domain, a broad comparison with general benchmarks applicable to the education and professional-services sector suggests that the liquidity and profitability position of the organisation compares favourably. Providers of a similar scale typically report net profit margins in the range of twelve to twenty per cent, current ratios between 1.3:1 and 2:1, and debt-equity ratios below 0.5:1, given the asset-light, people-driven nature of the business.

Indicator	Organisation	Indicative sector range	Assessment
Current ratio	1.92 : 1	1.3 – 2.0	Healthy
Quick ratio	1.71 : 1	1.0 and above	Healthy
Net profit margin	18.5%	12 – 20%	Upper end
Return on capital employed	24.6%	15 – 25%	Strong
Debt-equity ratio	0.24 : 1	Below 0.50	Conservative
Interest coverage	28.9 times	Above 4 times	Very safe
Average collection period	38 days	30 – 60 days	Satisfactory
Total asset turnover	0.95 times	1.0 – 1.5 times	Below range

Figure 6.10: Ratio-by-ratio comparison against indicative sector ranges; only asset turnover falls short of the range.

The organisation's illustrative figures fall comfortably within, or towards the healthier end of, these indicative ranges, suggesting a financially well-managed enterprise relative to its peer group, notwithstanding the acknowledged limitations of comparing a single small enterprise against broad sectoral averages. The one indicator outside the range, total asset turnover, is consistent with the under-utilised training capacity identified independently in Chapter 2.

6.11 Summary of Key Financial Ratios

The table below consolidates the key ratios computed and discussed in the preceding sections

for ease of reference during evaluation and viva-voce.

Table 6.9: Summary of key financial ratios

Category	Ratio	Result	Inference
Liquidity	Current ratio	1.92 : 1	Comfortable
Liquidity	Quick ratio	1.71 : 1	Comfortable
Liquidity	Cash ratio	0.85 : 1	Strong cash cover
Profitability	Operating profit margin	22.4%	Healthy
Profitability	Net profit margin	18.5%	Healthy
Profitability	Return on equity	25.2%	Strong
Profitability	Return on capital employed	24.6%	Strong
Profitability	Return on total assets	17.5%	Satisfactory
Efficiency	Debtors' turnover	9.6 times	Satisfactory
Efficiency	Average collection period	38 days	Within norms
Efficiency	Fixed asset turnover	1.36 times	Scope to improve
Efficiency	Total asset turnover	0.95 times	Below sector range
Solvency	Debt-equity ratio	0.24 : 1	Conservative, low risk
Solvency	Total debt ratio	16.7%	Low
Solvency	Proprietary ratio	69.5%	Owner-funded
Solvency	Interest coverage ratio	28.9 times	Very safe

CHAPTER 7

LEARNING OUTCOMES

This chapter reflects on what the internship produced in terms of learning: technical competence in financial management, a self-assessment of the change in that competence, managerial and interpersonal skills, the link established between classroom concepts and workplace practice, and an honest assessment of whether the stated objectives were met.

7.1 Technical / Domain Learning

The internship provided substantial technical learning that directly reinforced and extended the concepts studied in the Financial Management specialisation of the MBA programme.

- **Revenue recognition in practice:** a clear, practical understanding of how revenue is recorded in a fee-based service organisation, including the handling of advance receipts and instalment-based collections, and the distinction between a cash receipt and revenue earned.
- **Internal control through documentation:** hands-on experience in preparing vouchers, maintaining petty cash records and reconciling bank statements, which brought to life the theoretical concept of internal control.
- **Cost classification and batch costing:** the ability to construct a batch-wise budget from first principles, distinguishing fixed from variable costs and apportioning shared overheads to a specific programme.
- **Cost-volume-profit analysis:** applying break-even and sensitivity analysis to a live decision on whether a batch should run, be consolidated or be postponed.
- **Variance analysis as control:** practical exposure to variance analysis as a tool of managerial control, and an appreciation of how management uses it to understand causes rather than merely to identify deviations.
- **Spreadsheet modelling:** improved proficiency in spreadsheet-based financial work, including formulas, lookups and simple summary dashboards that convert transaction data into decision-useful information.
- **Ratio analysis in a small-enterprise context:** a grounded understanding of how ratio analysis, usually taught with reference to large listed companies, applies just as meaningfully, with appropriate adaptation, to a small service enterprise.
- **Statutory awareness:** familiarity with the practical checks required on a GST invoice and with the points at which tax deducted at source arises in routine payments.

7.2 Competency Self-Assessment

To assess the learning gained in a structured manner, a self-assessment was carried out on a ten-point scale at the beginning and again at the close of the internship across eight competency

areas relevant to the Financial Management specialisation. The assessment is necessarily subjective, but the pattern is instructive: the largest gains occurred in areas where the classroom had provided theory but no practice.

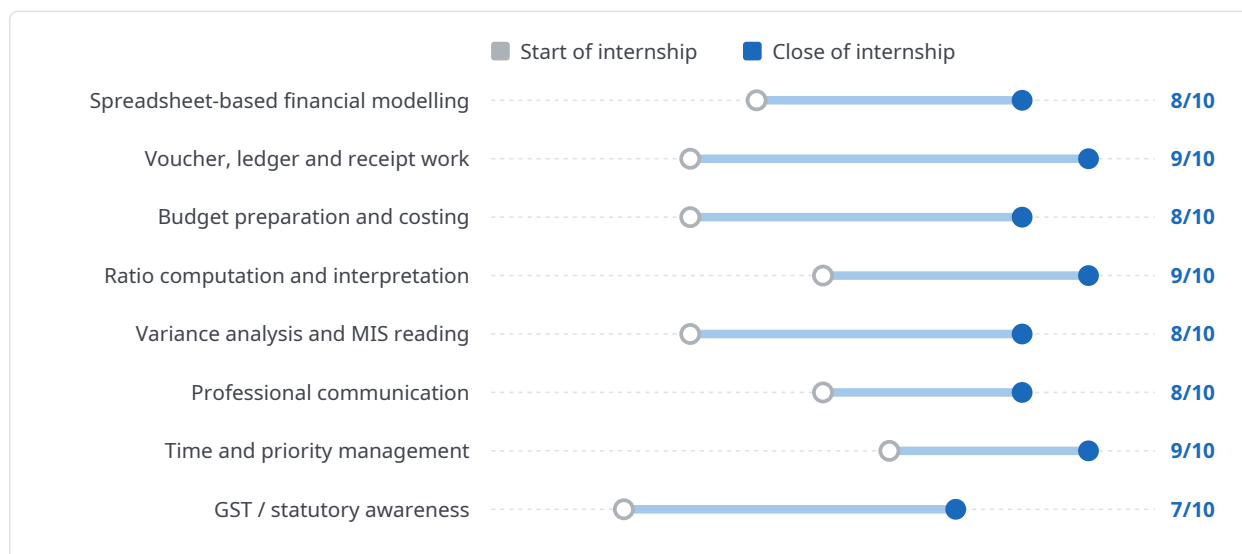


Figure 7.1: Self-assessed competency at the start and at the close of the internship across eight areas, on a ten-point scale.

Table 7.1: Competency self-assessment with the activity that produced the improvement

Competency area	Start	Close	Gain	What produced the gain
Spreadsheet-based financial modelling	4	8	+4	Building the batch budget and the ratio worksheet in spreadsheets
Voucher, ledger and receipt work	3	9	+6	Preparing 96 vouchers and 148 receipts under mentor review
Budget preparation and costing	3	8	+5	Assisting three batch budgets including the break-even working
Ratio computation and interpretation	5	9	+4	Computing and interpreting sixteen ratios for the mini-project
Variance analysis and MIS reading	3	8	+5	Compiling two monthly MIS packs with reasons for each variance
Professional communication	5	8	+3	Corresponding with vendors and explaining fee matters to parents
Time and priority management	6	9	+3	Balancing routine daily work against special assignments
GST / statutory awareness	2	7	+5	Verifying GST details on 34 vendor invoices

The two areas where the closing self-assessment remains below eight — statutory and GST awareness, and pivot-table proficiency — correspond to work that was handled substantially by the external chartered accountant or that arose only occasionally during a seven-week window. They are recorded here as areas identified for further study rather than as achievements.

7.3 Managerial and Soft-Skill Learning

Beyond the technical domain of financial management, the internship offered significant learning in the managerial and interpersonal dimensions of working life, which are harder to teach in a classroom and were acquired largely by observation and correction.

- **Professional communication:** learning to communicate fee-related matters with students and parents tactfully, and to correspond professionally with vendors regarding invoices and payments.
- **Time management:** balancing multiple concurrent tasks, such as daily data entry alongside a special budgeting assignment, within fixed office hours.
- **Attention to detail:** recognising that even a small error in a voucher or a fee receipt has downstream consequences for the accuracy of the financial records and for the monthly reconciliation.
- **Teamwork and cross-functional coordination:** working with the counselling, training and business development teams to obtain accurate operational data for financial reporting.
- **Workplace etiquette and professionalism:** adapting to organisational norms regarding punctuality, dress, meeting conduct and respectful communication with seniors and colleagues.
- **Receiving and acting on feedback:** learning to treat a correction, such as a misclassified expense head, as a learning opportunity rather than a setback.

7.4 Linking Classroom Concepts to Workplace Practice

One of the most valuable outcomes of the internship was the opportunity to observe, in a live setting, concepts that had previously been understood only in an abstract, textbook sense. The distinction between fixed and variable costs, the logic of the contribution margin, the mechanics of the current and quick ratios, and the principle that a budget is a tool for control rather than merely a forecasting exercise, all acquired a far richer and more durable meaning once observed in the context of real organisational decisions, such as whether to proceed with a training batch that had received fewer pre-enrolments than hoped.

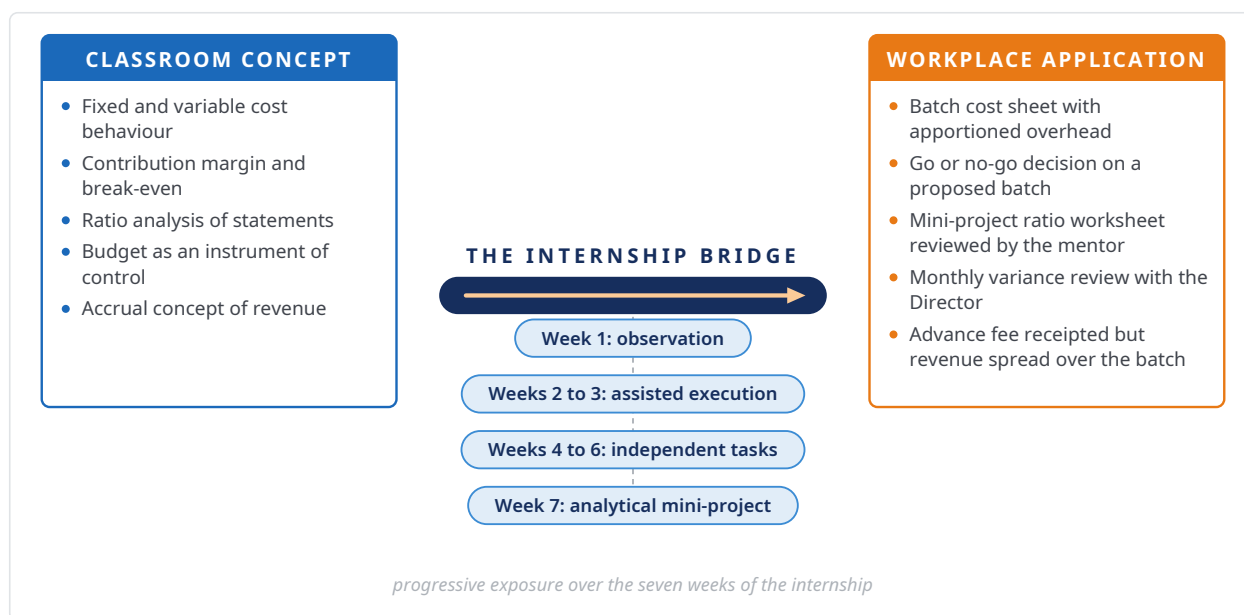


Figure 7.2: How each classroom concept found a specific workplace application during the internship.

This experience reinforced the understanding that financial management, at its core, is not a purely quantitative discipline but one that requires the exercise of judgement, informed both by the numbers and by a contextual understanding of the business, its customers and its competitive environment. The decision to postpone a thin batch, for example, was supported by a break-even calculation but ultimately turned on a judgement about whether postponement would damage the organisation's credibility with the students who had already enrolled.

7.5 Achievement of the Stated Internship Objectives

The eight objectives set out in Section 1.3 are revisited below against the evidence generated during the internship. Seven were substantially achieved; one was achieved only in part, and this is recorded honestly rather than claimed.

Table 7.2: Objectives of the internship assessed against evidence

Objective set out in Section 1.3	Evidence from the internship	Extent achieved
Exposure to the working of the finance and accounts function	Seven weeks inside the department covering the full monthly cycle	Achieved
Understanding budgeting, cost estimation and cost control	Assisted three batch budgets; observed six cost control practices	Achieved
Applying ratio analysis to assess financial position	Sixteen ratios computed, interpreted and benchmarked in Chapter 6	Achieved
Observing how pricing and payment decisions are taken	Documented the authority matrix and the decision path in Section 4.8	Achieved
Practical skills in vouchers, invoices and budget sheets	96 vouchers, 148 receipts, 34 invoices and 3 budget sheets handled	Achieved
Relating theoretical concepts to live application	Concept-to-application mapping set out in Figure 7.2	Achieved

Objective set out in Section 1.3	Evidence from the internship	Extent achieved
Identifying improvement areas and suggesting remedies	Eight findings and eight prioritised suggestions in Chapter 9	Achieved
Developing professional and interpersonal skills	Vendor correspondence and parent interaction, though limited exposure to formal presentation and negotiation	Partly achieved

7.6 Personal Growth and Career Clarity

On a personal level, the internship contributed meaningfully to greater clarity regarding career interests within the broad field of financial management. Exposure to the day-to-day realities of budgeting, cost control and financial reporting in a small enterprise setting helped in appreciating both the challenges and the satisfaction associated with building financial discipline in a growing organisation, and has strengthened an interest in pursuing further specialisation and career opportunities in the areas of financial planning and analysis and corporate finance.

A SPECIFIC REALISATION

Working in a small organisation made visible something a large-company internship might have hidden: that the quality of financial information available to a decision maker depends almost entirely on the discipline of the person entering the transactions. The apparently routine work of receipting and voucher preparation is the foundation on which every ratio in Chapter 6 ultimately rests.

CHAPTER 8

CHALLENGES FACED

This chapter records the difficulties encountered, both those personal to an intern entering an unfamiliar environment and those structural to the organisation itself, together with a root-cause analysis of the single recurring operational problem observed and an account of how the personal challenges were overcome.

8.1 Challenges Related to the Internship Environment

Like any real-world learning experience, the internship was accompanied by a set of genuine challenges, engagement with which itself constituted an important part of the learning process.

- **Unfamiliar systems:** initial unfamiliarity with the specific accounting software and internal formats used by the organisation, which required an adjustment period before tasks could be performed independently and confidently.
- **Shifting priorities:** the relatively informal and fast-paced nature of a small organisation meant that priorities could shift quickly, for instance when an urgent fee-reconciliation requirement arose during peak admission days, requiring adaptability and re-prioritisation.
- **Confidentiality limits:** limited access to certain confidential financial figures, which, while entirely understandable from the organisation's perspective, occasionally required working with representative data for analytical exercises rather than the complete actual dataset.
- **Time constraint against academic depth:** balancing the depth of academic rigour expected in an internship report with the practical constraint of a seven-week duration, which limited the extent to which longer-term financial trends could be directly observed.
- **Dependence on other departments:** coordinating with multiple departments to obtain timely operational data such as enrolment numbers, particularly during the busier weeks when departmental staff had limited bandwidth.

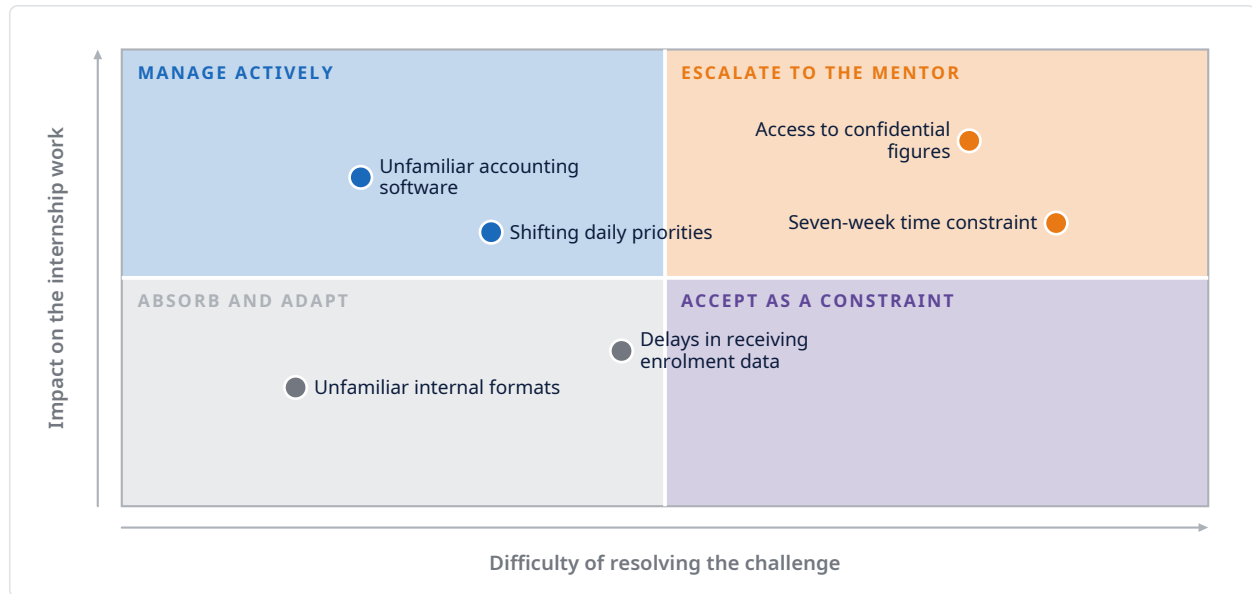


Figure 8.1: Challenges positioned by their impact on the work and the difficulty of resolving them, with the response adopted in each quadrant.

8.2 Organisational-Level Challenges Observed

In addition to challenges faced personally as an intern, certain broader financial management challenges facing the organisation itself were observed, and these have informed the findings and suggestions presented in Chapter 9.

- Reliance on manual and semi-manual processes for certain finance tasks, which, while manageable at the current scale, could become a bottleneck as the organisation grows and transaction volumes increase.
- Seasonality in enrolment, particularly a concentration of demand around the school and college admission cycles, creating uneven cash flow across the year that requires careful cash budgeting to manage the lean quarter.
- The contingent nature of a portion of internship-facilitation revenue, dependent on successful placement outcomes, which introduces unpredictability into that vertical's revenue recognition and collection timeline.
- Key-person dependency, in that critical financial knowledge and system access rest with a very small number of individuals.
- Under-utilised physical capacity, evidenced by a total asset turnover of below one time and training-hall utilisation of under sixty per cent.
- The need to balance investment in marketing and outreach, essential for sustaining enrolment growth, against the imperative of cost discipline, particularly given intensifying competition from both local and online providers.

Table 8.1: Organisational challenges, their financial symptoms and where each is taken up

Organisational challenge	Financial symptom observed	Where it is addressed
Manual and disconnected records	Time lost in month-end reconciliation	Suggestion 1, Section 9.2
Seasonal collections against level fixed cost	Thin third-quarter cash surplus	Suggestion 3, Section 9.2
Placement-contingent internship fees	Longer collection cycle in that vertical	Suggestion 4, Section 9.2
Key-person dependency	Process knowledge concentrated in one role	Suggestion 7, Section 9.2
Under-used training capacity	Total asset turnover of 0.95 times	Sections 6.9 and 9.5
Marketing spend discipline	Adverse marketing variance in the month reviewed	Suggestion 8, Section 9.2

8.3 Root-Cause Analysis of the Month-End Closing Delay

The most frequently recurring operational difficulty observed was the time taken to close the accounts at month-end. Rather than treat this as an isolated inconvenience, the causes were grouped using a cause-and-effect analysis, which proved a useful discipline because it distinguished causes the organisation can act upon from those inherent in its scale.

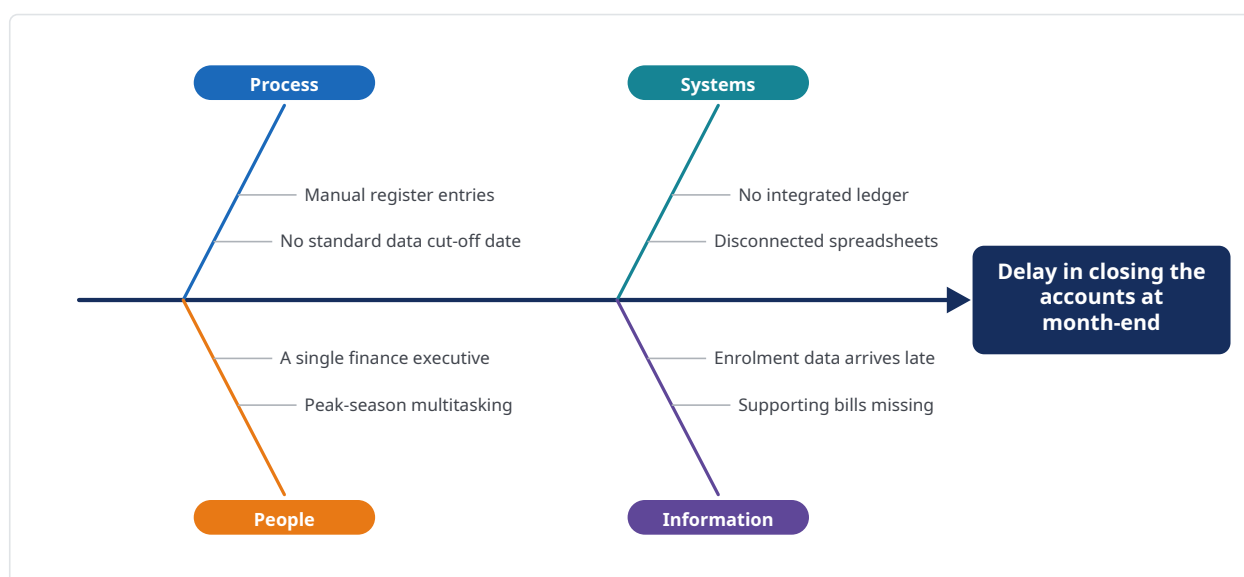


Figure 8.2: Cause-and-effect analysis of the month-end closing delay, grouped under process, people, systems and information.

Of the eight causes identified, three — the absence of a standard cut-off date, late receipt of enrolment data and missing supporting bills — require no expenditure to resolve and are addressed by the short-term suggestions in Section 9.4. The remaining causes relate to systems and staffing and require the medium-term investment discussed there.

8.4 How the Challenges Were Addressed

Most of the personal challenges faced during the internship were addressed through a

combination of proactive questioning, seeking guidance from the assigned mentor, and a willingness to revisit and correct initial mistakes, such as a misclassified voucher entry, promptly upon feedback. Over the course of the seven weeks, increasing familiarity with the organisation's systems and processes led to a marked improvement in both the speed and the accuracy with which tasks were completed, illustrating the value of a structured, progressively challenging internship design.

Table 8.2: Challenges, the response adopted and the outcome

Challenge	Response adopted	Outcome by the close of the internship
Unfamiliarity with software and formats	Maintained a personal note of each format and its purpose	Independent voucher and receipt work from week three
Shifting priorities during peak days	Kept a daily task list and confirmed priorities with the mentor each morning	Routine work completed alongside special assignments
Limited access to confidential figures	Worked with representative figures and disclosed this clearly	Analysis in Chapter 6 remains methodologically sound
Errors in expense classification	Reviewed every correction and built a reference list of expense heads	Classification errors ceased after the third week
Delay in receiving operational data	Agreed an informal weekly cut-off with the counselling team	MIS compilation completed within the mentor's timeline

CHAPTER 9

FINDINGS AND SUGGESTIONS

This chapter consolidates what the analysis in Chapters 4 to 6 shows, offers eight practical suggestions, prioritises them by impact and effort, sets them into a phased roadmap with an indication of expected benefit, and relates the findings back to established financial management theory.

9.1 Key Findings of the Study

Based on the observations, tasks performed and analysis carried out during the internship, the following key findings emerge. Each is stated with the evidence in this report that supports it, so that the suggestions which follow can be traced back to a finding rather than to opinion.

Table 9.1: Key findings with supporting evidence

No.	Finding	Supporting evidence in this report
1	The organisation follows a conservative financing approach, relying predominantly on internal accruals and promoter capital rather than external debt, which minimises risk but may constrain the pace of expansion.	Debt-equity 0.24:1; proprietary ratio 69.5% (Section 6.7)
2	Liquidity is comfortable and the organisation can meet short-term obligations without difficulty.	Current ratio 1.92:1; quick ratio 1.71:1; cash ratio 0.85:1 (Section 6.4)
3	Profitability is healthy and the underlying business model is financially sound and scalable.	Net margin 18.5%; ROCE 24.6%; margin improving over three years (Sections 6.5, 6.8)
4	Budgeting practices, particularly batch budgeting and break-even analysis, are used meaningfully to decide whether and when to run a batch.	Batch budget and break-even at 17 students (Sections 5.3 to 5.5)
5	Cost control operates largely through pre-approval and monthly comparison, but the process remains manual and would benefit from systematisation.	Cost control practices and variance analysis (Sections 5.6, 5.7)
6	The cost structure is dominated by personnel cost and is nearly three-quarters fixed, which makes enrolment volume the decisive profit driver.	Employee cost 40.6% of revenue; 73% of cost fixed (Section 4.5)
7	Revenue in the internship-facilitation vertical is more volatile and collected more slowly than in the other verticals.	Revenue recognition pattern and collection cycle (Sections 4.4, 4.6)
8	Physical capacity is under-utilised, which is the clearest available route to a higher return on equity.	Asset turnover 0.95 times; hall utilisation 58% (Sections 2.11, 6.6, 6.9)

9.2 Suggestions for Improvement

On the basis of the above findings, the following suggestions are respectfully offered for consideration by the management of Infinity Interns. They are offered in the constructive spirit of

an academic exercise and take into account the resource constraints typical of a small and growing enterprise: none of them requires professional staff the organisation does not already employ.

- **Adopt integrated accounting software:** Replace multiple disconnected spreadsheets with an ERP-lite accounting package suited to small enterprises, reducing reconciliation effort and the risk of manual error.
- **Formalise the budgeting calendar:** Document the annual budgeting process as a policy with fixed dates for preparation, review and revision, so that budgeting does not depend on individual initiative.
- **Introduce a rolling cash-flow forecast:** Maintain a twelve-month rolling forecast updated monthly to anticipate the lean third quarter and smooth liquidity across the year.
- **Restructure internship fee terms:** Introduce a modest non-refundable registration fee collected upfront so that the vertical depends less on placement-contingent collections.
- **Build a monthly KPI dashboard:** Track cost per enquiry, cost per enrolment, collection efficiency, capacity utilisation and contribution per batch on one page each month.
- **Establish a banking credit line:** Arrange a modest working-capital facility even if unused, to build a credit record ahead of future expansion financing.
- **Cross-train finance and admin staff:** Train a second person on the critical finance processes and digital tools to reduce key-person dependency.
- **Review cost structure half-yearly:** Renegotiate recurring vendor contracts and reallocate marketing spend by demonstrated return on investment per channel.

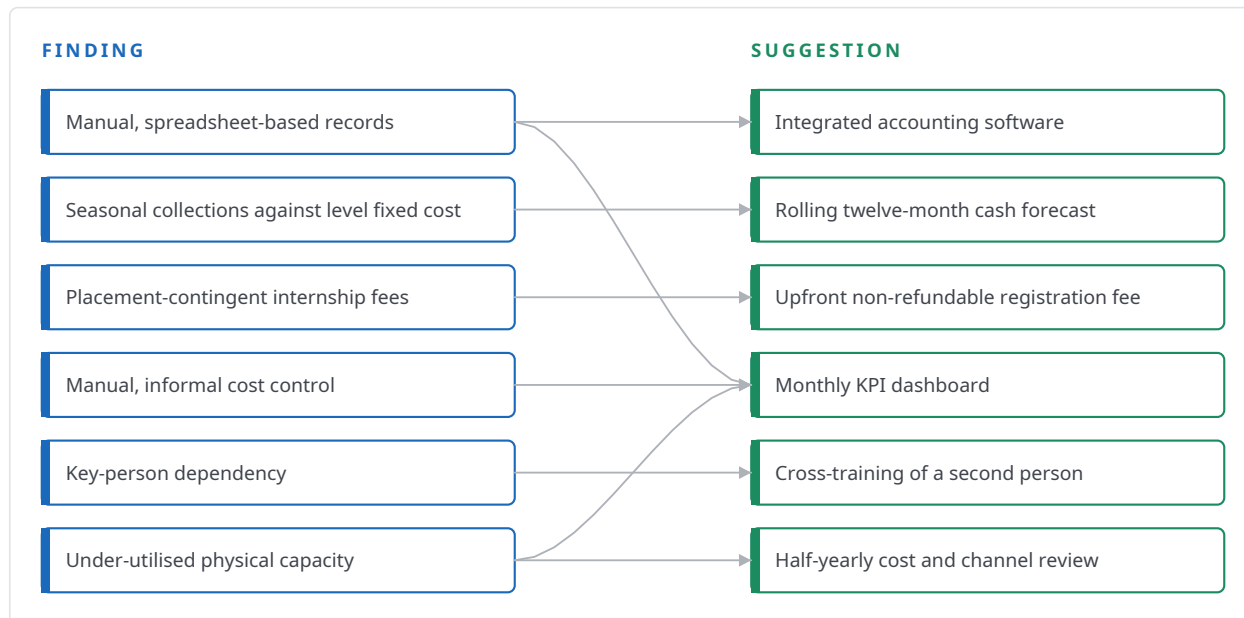


Figure 9.1: Each suggestion traced to the finding that gives rise to it; two findings are addressed by more than one measure.

9.3 Prioritisation of Suggestions

Because administrative bandwidth in a small organisation is the binding constraint, the

suggestions are positioned below by expected financial impact against implementation effort. The four measures in the upper-left quadrant require little effort and are recommended for immediate attention.

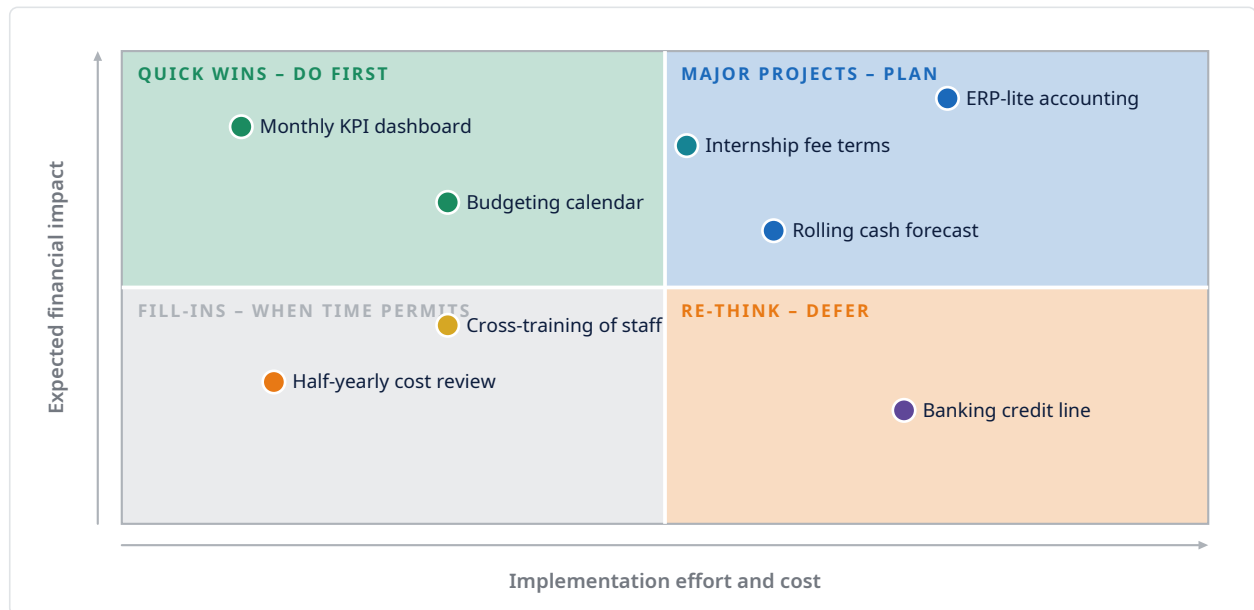


Figure 9.2: Impact-effort prioritisation of the eight suggestions.

9.4 Suggested Implementation Roadmap

Translating that prioritisation into a time-phased plan gives the roadmap below, which classifies the suggestions into short-term measures within three months, medium-term measures over three to twelve months, and long-term measures beyond twelve months.

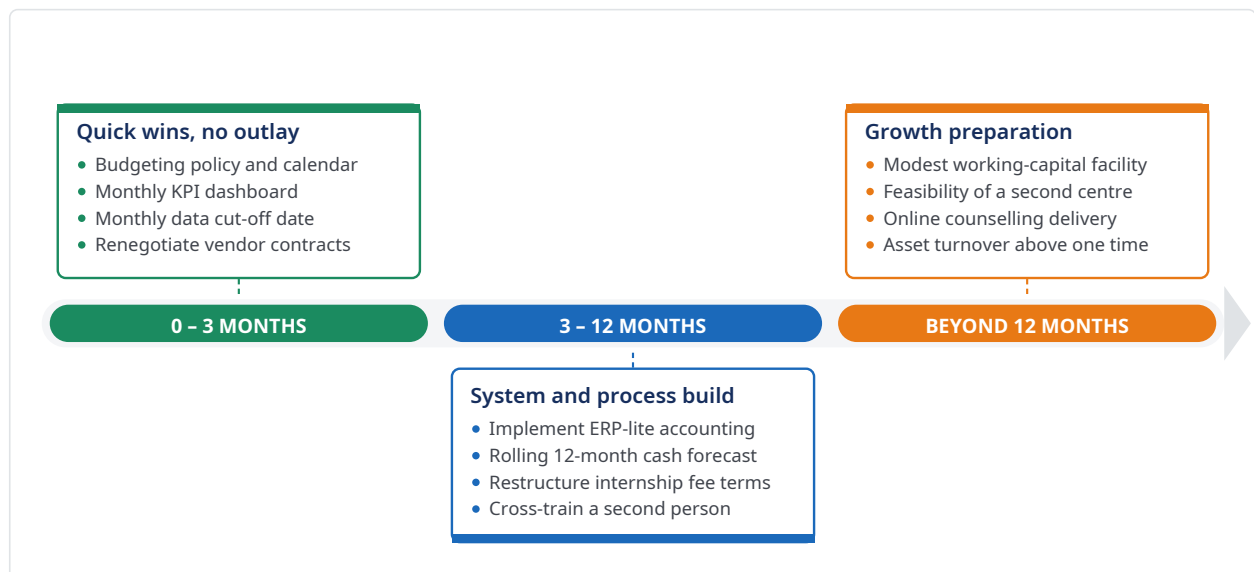


Figure 9.3: Phased implementation roadmap for the suggestions offered.

Table 9.2: Implementation plan for each suggestion

Suggestion	Horizon	Indicative cost	Owner suggested	Primary benefit
Formalise the budgeting calendar	Short term	Nil, time only	Finance executive	Budgeting becomes institutional practice
Build a monthly KPI dashboard	Short term	Nil, time only	Finance executive	Faster, data-driven management decisions
Cross-train finance and admin staff	Short term	Low	Director	Reduced key-person dependency
Review cost structure half-yearly	Short term	Nil, time only	Finance executive with Director	Lower recurring cost and better marketing return
Adopt integrated accounting software	Medium term	Moderate, one-time and annual licence	Director with the accountant	Fewer errors and faster month-end closing
Introduce a rolling cash-flow forecast	Medium term	Nil, time only	Finance executive	Liquidity smoothed across the lean quarter
Restructure internship fee terms	Medium term	Nil, policy change	Director	Shorter and more certain collection cycle
Establish a banking credit line	Long term	Processing charges only	Director	Credit record established ahead of expansion

9.5 Expected Benefit of the Suggestions

The indicative effect of implementing the short and medium-term suggestions is set out below. The figures are directional rather than forecast: they express the improvement that the mechanics of the measures would be expected to produce, and they are presented as indices so that no claim is made about absolute rupee outcomes.

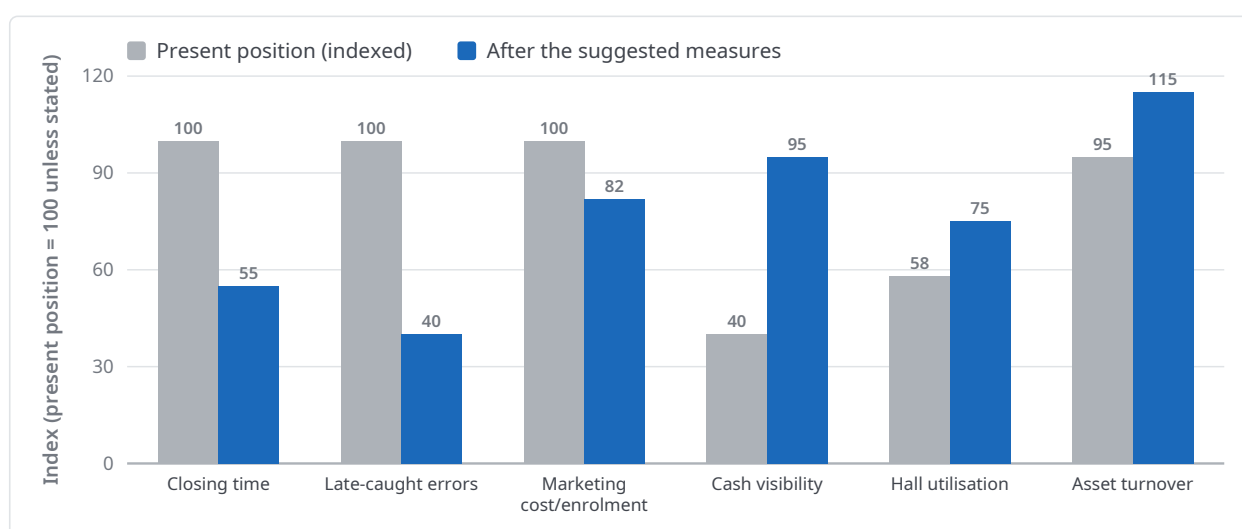


Figure 9.4: Indicative direction and scale of improvement expected from the suggested measures; for the first three indicators a lower value is better, for the last three a higher value is better.

Two of these effects deserve emphasis. First, raising training-hall utilisation from about fifty-eight to seventy-five per cent of available hours would lift total asset turnover towards 1.15 times

which, on the DuPont sensitivity presented in Table 6.8, would carry the return on equity from about 25 per cent to about 31 per cent without any additional investment or borrowing. Second, a rolling cash forecast does not by itself create cash, but it converts the third-quarter squeeze from a surprise into a planned position, which is what allows a small organisation to avoid expensive emergency funding.

9.6 Relevance of Findings to Financial Management Theory

It is instructive to note that the findings of this internship-based study reinforce, rather than contradict, several well-established principles of financial management theory, and reading the observations against the theory sharpens both.

Table 9.3: Findings read against established financial management theory

Observation in this study	Corresponding theoretical proposition	What the comparison suggests
Preference for internal accruals and promoter capital over external debt	Pecking-order theory: firms prefer internal to external finance, and debt to equity when external finance is required	Behaviour is consistent with theory, reinforced by the information asymmetry typical of small, closely held companies
Substantial advance collection of programme fees	Working capital theory: minimising the cash conversion cycle reduces the need for external funding	The organisation earns an interest-free source of funds from its own customers
Break-even analysis used before launching a batch	Cost-volume-profit analysis under a high operating-leverage cost structure	With 73 per cent of cost fixed, the theory's predictions about volume sensitivity hold visibly
Healthy return on equity driven by margin rather than leverage	DuPont decomposition of return on equity	Improvement should be sought in asset utilisation, since margin is already strong and leverage is deliberately low
Segregation of duties maintained despite a very small team	Internal control theory on the prevention and detection of error and fraud	Proportionate control is achievable at small scale and need not be elaborate
Discretionary spend justified afresh each period	Zero-based budgeting applied selectively rather than wholesale	A hybrid of incremental and zero-based budgeting suits an organisation of this size

CHAPTER 10

CONCLUSION

This closing chapter presents a consolidated scorecard of the organisation's financial health and sets out the concluding observations on the internship as a whole.

10.1 Overall Financial Health Scorecard

Drawing together the analysis of the preceding chapters, the organisation's financial position may be summarised across five dimensions. The scorecard records a strong position on four of the five, with asset utilisation as the single clear improvement opportunity — a conclusion reached independently from the capacity data in Chapter 2 and from the ratio analysis in Chapter 6.

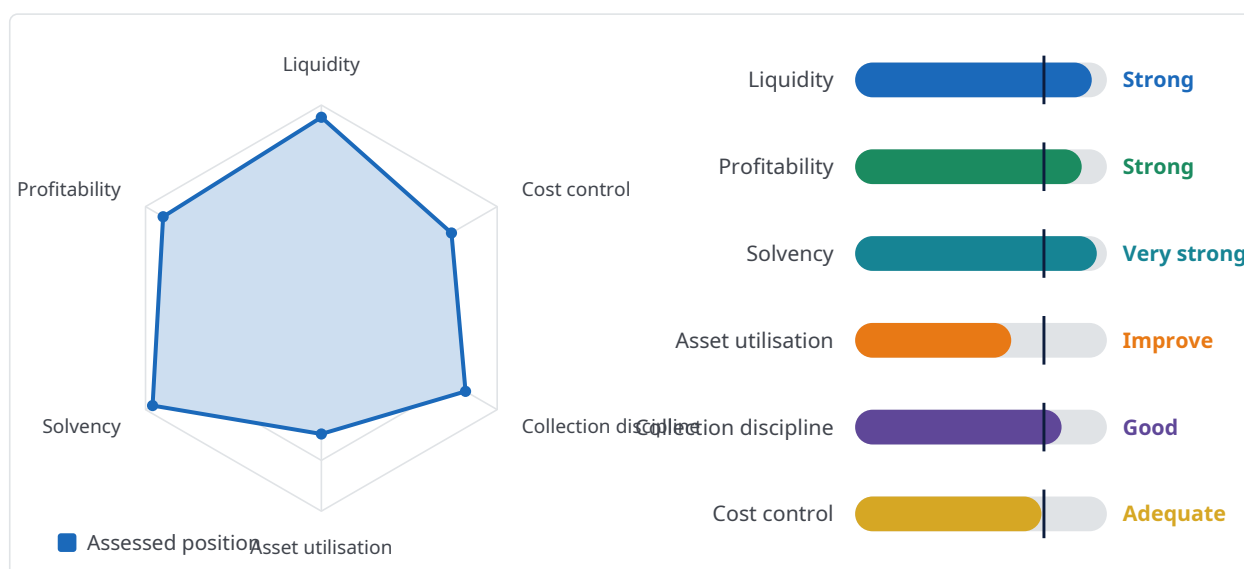


Figure 10.1: Consolidated financial health scorecard; the marker on each bar is the level at which a dimension was treated as satisfactory.

Table 10.1: Summary assessment of financial health

Dimension	Principal evidence	Assessment
Liquidity	Current ratio 1.92:1, quick ratio 1.71:1, cash covering 85 per cent of current liabilities	Strong
Profitability	Net margin 18.5 per cent, ROCE 24.6 per cent, margin improving across three years	Strong
Solvency	Debt-equity 0.24:1, interest covered 28.9 times	Very strong
Asset utilisation	Total asset turnover 0.95 times, training hall used 58 per cent of available hours	Improvement opportunity

Dimension	Principal evidence	Assessment
Collection discipline	Average collection period 38 days, substantial advance collection at enrolment	Good
Cost control	Pre-approval and monthly variance review in place, but largely manual	Adequate, systematisation needed

10.2 Concluding Observations

The seven-week internship undertaken at Infinity Interns, a unit of Infinitya1 Career Counselling Private Limited, proved to be a rich and rewarding learning experience that fulfilled its primary objective of bridging the gap between the theoretical study of financial management and its practical application within a real, functioning organisation. Working within the finance and administration function of a growing career counselling and skill-development enterprise offered a vantage point from which to observe, and in a modest way contribute to, the day-to-day and periodic financial decisions that determine an organisation's stability and growth.

The internship confirmed that the core principles of financial management taught in the classroom — from the recognition of revenue and the classification of costs to the construction of budgets, the analysis of variances and the computation and interpretation of financial ratios — are not abstract exercises but living tools which, when applied with judgement and adapted sensibly to the scale and nature of the organisation, provide genuine and continuing value to management decision-making.

The analysis presented in this report indicates that the organisation follows a broadly prudent and financially sound approach, characterised by comfortable liquidity, healthy profitability and a conservative capital structure, while also facing the typical challenges of a growing small enterprise, including the seasonality of revenue, reliance on manual processes, under-utilised physical capacity and the need for further systematisation of its budgeting and cost-control practices. The suggestions offered in Chapter 9 are intended as constructive, practically implementable recommendations that build upon the organisation's existing strengths rather than requiring it to change its character.

On a personal note, this internship has significantly enhanced both the technical financial-management competencies and the professional soft skills of the author, as documented in the self-assessment in Section 7.2, and has provided valuable clarity regarding future career direction within the broad and dynamic field of finance. The experience is expected to serve as a strong foundation for subsequent academic and professional pursuits, and the author remains sincerely grateful to Infinity Interns and its team for the opportunity, guidance and support extended throughout the internship period.

IN ONE SENTENCE

A small organisation that manages its money conservatively, prices its services with a clear view of contribution, and collects its fees in advance has earned itself the financial room to grow — and the most valuable growth available to it requires filling the classrooms it already pays for rather than raising new funds.

BIBLIOGRAPHY

The following sources, both primary and secondary, were referred to and relied upon during the internship and in the preparation of this report.

BOOKS AND STANDARD TEXTS

1. Khan, M. Y. and Jain, P. K., Financial Management: Text, Problems and Cases, McGraw Hill Education, latest edition.
2. Pandey, I. M., Financial Management, Vikas Publishing House, latest edition.
3. Chandra, Prasanna, Financial Management: Theory and Practice, McGraw Hill Education, latest edition.
4. Horngren, C. T., Datar, S. M. and Rajan, M. V., Cost Accounting: A Managerial Emphasis, Pearson Education, latest edition.
5. Maheshwari, S. N., Financial and Management Accounting, Sultan Chand and Sons, latest edition.
6. Brigham, E. F. and Houston, J. F., Fundamentals of Financial Management, Cengage Learning, latest edition.

ORGANISATIONAL SOURCES

1. Company brochures, promotional material and website of Infinity Interns / Infinitya1 Career Counselling Private Limited.
2. Internal, non-confidential formats, registers and MIS templates shared by the organisation during the internship period, used purely for illustrative purposes in this report.
3. Discussions and interviews conducted with the Director, the Finance Executive and other staff members of Infinity Interns during the internship period, June to July 2025.
4. Personal activity log maintained by the author through the seven weeks of the internship, from which the work volumes in Section 3.5 are drawn.

REGULATORY AND SECTOR MATERIAL

1. Ministry of Corporate Affairs, Government of India: general reference on the private limited company regulatory framework under the Companies Act, 2013.
2. Goods and Services Tax framework: general reference on invoicing and input tax credit requirements applicable to service providers.
3. National Education Policy 2020: reference to the policy emphasis on career guidance and skill-based education.
4. General industry articles and reports on the career counselling, education-services and skill-development sector in India, consulted for contextual background in Section 1.2.

A NOTE ON THE USE OF SOURCES

Where a figure in this report is derived from the organisation's records it is described as observed; where it has been reconstructed to preserve confidentiality it is described as illustrative; and where it reflects general sector experience rather than a published statistic it is described as indicative. This distinction is maintained consistently throughout the report.

ANNEXURES

This section presents the supporting formats used during the internship, an illustrative consolidated ratio worksheet, the discussion guide followed during interviews, a glossary, a list of abbreviations and an index of the exhibits presented in this report.

Annexure A – Sample Petty Cash Voucher Format

The format below reproduces the petty cash voucher used by the organisation, which the intern prepared on 96 occasions during the internship, as described in Section 3.4.2.

Table A.1: Petty cash voucher format

Field	Entry
Voucher No.	_____
Date	_____
Paid to	_____
Amount (₹)	_____
Amount in words	_____
Purpose / narration	_____
Expense head	_____
Supporting bill attached	Yes / No
Prepared by	_____
Approved by	_____

Annexure B – Sample Fee Receipt Format

Table A.2: Fee receipt format

Field	Entry
Receipt No.	_____
Date	_____
Student name	_____
Programme enrolled	_____
Total programme fee (₹)	_____
Amount received (₹)	_____
Mode of payment	Cash / UPI / Bank transfer / Card
Balance outstanding, if any	_____
Next instalment due on	_____

Field	Entry
Received by (signature)	_____

Annexure C – Weekly Internship Activity Log Format

Table A.3: Weekly activity log format

Day	Date	Task performed	Learning noted	Mentor's remarks
Monday				
Tuesday				
Wednesday				
Thursday				
Friday				
Saturday				

Annexure D – Illustrative Monthly Cash Budget Format

Table A.4: Monthly cash budget format

Particulars	Budgeted (₹)	Actual (₹)	Variance (₹)
Opening cash and bank balance			
Add: fee collections – counselling			
Add: fee collections – training			
Add: internship facilitation receipts			
Add: other receipts			
Total cash available			
Less: salaries and trainer honorarium			
Less: rent and utilities			
Less: marketing expenses			
Less: study material and programme cost			
Less: administrative expenses			
Less: statutory payments (GST, TDS, advance tax)			
Closing cash and bank balance			

Annexure E – Illustrative Batch Costing Worksheet

Table A.5: Batch costing and break-even worksheet as used during the internship

Step	Particulars	Working	Result
1	Planned enrolment	Capacity of the batch	30 students
2	Fee per student	Approved programme fee	₹ 6,500
3	Expected revenue	Step 1 x Step 2	₹ 1,95,000
4	Variable cost per student	Material + certificate + refreshment	₹ 2,500
5	Contribution per student	Step 2 – Step 4	₹ 4,000
6	Fixed cost of the batch	Trainer + venue + batch marketing	₹ 66,000
7	Break-even enrolment	Step 6 / Step 5	17 students
8	Margin of safety at plan	(Step 1 – Step 7) / Step 1	43%
9	Expected surplus at plan	(Step 1 x Step 5) – Step 6	₹ 54,000

Annexure F – Consolidated Ratio Analysis Worksheet

The worksheet below reproduces, in a single consolidated format, the ratio computations discussed across Sections 6.4 to 6.9 of this report, for ease of reference during evaluation or viva-voce.

Table A.6: Consolidated ratio analysis worksheet

S. No.	Ratio	Formula	Computation	Result
1	Current ratio	Current assets / current liabilities	13,44,000 / 7,00,000	1.92 : 1
2	Quick ratio	(Current assets – inventory) / current liabilities	11,97,000 / 7,00,000	1.71 : 1
3	Cash ratio	Cash and bank / current liabilities	5,97,000 / 7,00,000	0.85 : 1
4	Net working capital	Current assets – current liabilities	13,44,000 – 7,00,000	₹ 6,44,000
5	Operating profit margin	EBIT / revenue	10,75,200 / 48,00,000	22.4%
6	Net profit margin	Net profit / revenue	8,88,000 / 48,00,000	18.5%
7	Return on equity	Net profit / shareholders' funds	8,88,000 / 35,25,000	25.2%
8	Return on capital employed	EBIT / capital employed	10,75,200 / 43,70,000	24.6%
9	Return on total assets	Net profit / total assets	8,88,000 / 50,70,000	17.5%
10	Debtors' turnover ratio	Revenue / trade receivables	48,00,000 / 5,00,000	9.6 times
11	Average collection period	365 / debtors' turnover	365 / 9.6	38 days
12	Fixed asset turnover	Revenue / net fixed assets	48,00,000 / 35,26,000	1.36 times
13	Total asset turnover	Revenue / total assets	48,00,000 / 50,70,000	0.95 times
14	Working capital turnover	Revenue / net working capital	48,00,000 / 6,44,000	7.45 times
15	Debt-equity ratio	Long-term debt / shareholders' funds	8,45,000 / 35,25,000	0.24 : 1
16	Total debt ratio	Total debt / total assets	8,45,000 / 50,70,000	16.7%
17	Proprietary ratio	Shareholders' funds / total assets	35,25,000 / 50,70,000	69.5%
18	Interest coverage ratio	EBIT / finance cost	10,75,200 / 37,200	28.9 times

Annexure G – Interview and Discussion Guide

The following indicative set of questions guided the structured discussions held with the Director and the Finance Executive during the internship, and informed the analysis presented in Chapters 4 to 6 of this report.

1. How are the annual and monthly budgets for the organisation prepared, and who is involved in the process?
2. What is the broad fee-collection policy followed across the counselling, training and internship-facilitation verticals?
3. What proportion of the organisation's funding requirement is met through owners' capital as against external borrowing, and what is the rationale for this approach?
4. What internal control measures are in place to prevent unauthorised or erroneous cash payments?
5. How does the organisation decide whether to proceed with, postpone or cancel a proposed training batch?
6. What are the major cost heads that management monitors most closely on a monthly basis, and why?
7. How is marketing expenditure evaluated, and which channels have historically produced the best conversion?
8. How is the seasonality of collections managed through the lean months of the year?
9. What financial or operational challenges does the organisation currently consider most significant to its continued growth?
10. What would the organisation need in place before it could consider opening a second centre?

Annexure H – Glossary of Key Terms

Table A.7: Glossary of key financial management terms

Term	Meaning as used in this report
Accrual concept	Recognition of revenue and expenses when they are earned or incurred, not necessarily when cash is received or paid
Break-even point	The level of enrolment at which total revenue equals total cost, resulting in neither profit nor loss
Contribution margin	Revenue less variable cost, being the amount available to cover fixed costs and generate surplus
Common-size statement	A statement in which each item is expressed as a percentage of revenue or of total assets
Current ratio	A liquidity ratio measuring current assets relative to current liabilities
Debt-equity ratio	A solvency ratio comparing long-term external debt to shareholders' funds
DuPont analysis	Decomposition of return on equity into net margin, asset turnover and the equity multiplier
Input tax credit	Credit available for GST paid on eligible business purchases, set off against GST payable on services supplied
Margin of safety	The extent by which actual or planned enrolment exceeds the break-even enrolment

Term	Meaning as used in this report
MIS report	A periodic management information summary of key operational and financial data used for decision-making
Operating leverage	The sensitivity of profit to a change in volume, which rises as the proportion of fixed cost rises
Variance analysis	Comparison of actual results against budgeted figures to identify and explain deviations
Working capital	The difference between current assets and current liabilities, representing short-term operating liquidity
Zero-based budgeting	A method requiring each item of expenditure to be justified afresh rather than carried forward

Annexure I – List of Abbreviations

Table A.8: Abbreviations used in this report

Abbreviation	Full form	Abbreviation	Full form
BRS	Bank Reconciliation Statement	NWC	Net Working Capital
CIN	Corporate Identity Number	PAT	Profit After Tax
CVP	Cost-Volume-Profit	PBT	Profit Before Tax
EBIT	Earnings Before Interest and Tax	ROA	Return on Assets
ERP	Enterprise Resource Planning	ROCE	Return on Capital Employed
FM	Financial Management	ROE	Return on Equity
FP&A	Financial Planning and Analysis	ROI	Return on Investment
GST	Goods and Services Tax	SME	Small and Medium Enterprise
KPI	Key Performance Indicator	SWOT	Strengths, Weaknesses, Opportunities, Threats
MBA	Master of Business Administration	TDS	Tax Deducted at Source
MIS	Management Information System	ZBB	Zero-Based Budgeting
NEP	National Education Policy		

Annexure J – Index of Exhibits by Chapter

The report contains the following count of exhibits, which are listed individually in the List of Figures and the List of Tables in the preliminary pages. Charts present quantitative relationships; diagrams present processes, structures and frameworks.

Table A.9: Index of exhibits by chapter

Chapter	Charts	Diagrams	Tables	Principal exhibits
Preliminary pages	1	0	0	Key-indicator dashboard with revenue mix and contribution
1 Introduction	1	5	2	Industry growth index, demand drivers, objectives, research design, report structure
2 Company profile	4	6	4	Revenue mix and contribution, headcount, capacity utilisation, competitive positioning, values, portfolio, organisation chart, value chain, SWOT, conversion funnel
3 Internship tasks	4	3	2	Task progression, work schedule, time allocation, tool proficiency, fee process, voucher cycle, department interaction
4 Financial management	3	6	7	Balance-sheet composition, cost structure, seasonality, management cycle, fund flow, cash cycle, decision path, digitisation ladder, control pyramid
5 Budgeting & cost control	6	3	5	Batch waterfall, break-even chart, sensitivity, variance tornado, budget against actual, channel cost, budget cycle, budget hierarchy, cost controls
6 Ratio analysis	9	1	9	Profit walk, balance-sheet bars, liquidity dials, profitability radar, efficiency bars, capital structure, common-size bar, trend combo, benchmark scorecard, DuPont tree
7 Learning outcomes	1	1	2	Competency dumbbell, concept-to-practice bridge
8 Challenges faced	0	2	2	Challenge impact-effort matrix, cause-and-effect analysis
9 Findings & suggestions	1	3	3	Finding-to-suggestion map, priority matrix, roadmap, expected benefit
10 Conclusion	1	0	1	Financial health radar and scorecard
Annexures A to K	0	0	9	Formats, batch costing and ratio worksheets, glossary, abbreviations, exhibit index
Total	31	30	46	61 figures and 46 tables across 80 numbered pages

Annexure K – Certificates and Photographs

The internship completion certificate issued by Infinity Interns is enclosed as a separate scanned attachment along with the physical copy of this report submitted to the institute. Photographs of the office premises and of training sessions attended have been omitted from this digital version to preserve the organisation's privacy and are available with the author upon request for verification purposes.

----- <i>enclosed separately</i>	----- <i>enclosed separately</i>	----- <i>enclosed separately</i>
Internship offer letter	Completion certificate	Mentor's feedback form

END OF REPORT